

2023

INTEGRATED REPORT

Operational Excellence

ABOUT THIS REPORT

This is a comprehensive report that combines financial and non-financial information that provides a holistic view of a company's performance, strategy, governance, and value creation. This report aims at giving stakeholders a broader understanding of the company's activities and how it creates value. The Report has been prepared for the period of 1st January 2023 to 31st December 2023.

REPORTING STANDARDS AND FRAMEWORK

The report has been prepared in compliance with global best practice and prudent accounting frameworks for existing and prospective investors. The report is aligned to Companies Act, 2015, Capital Markets Authority (CMA) guidelines and the Nairobi Securities Exchange (NSE). This Report is also in compliance with the International Integrated Reporting Council (IIRC) Guidelines.

STAKEHOLDERS

The year 2023 marks the fifth year since TC PLC adopted integrated reporting. The objective of this report is to provide a clear and meaningful understanding of the Group's purpose, strategy, business model, governance, risk management and how these factors lead to value creation. We welcome all related feedback which can be shared via email via investorrelations@transcentury.co.ke

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COMPANY OVERVIEW

ABOUT US

TC PLC is an investment holding company that concentrates its investments in the infrastructure sectors, including Energy, Transport, Water, Industrial, and Agriculture.

TC is listed on the Nairobi Securities Exchange and operates across East, Central and Southern Africa.

The company takes an active approach to its investments by adding value through three key strategies:

1. **Capital Deployment:** TC PLC invests flexible patient capital in businesses within the infrastructure sector. The Company provides financial resources, as it aims to help these businesses expand and develop.
2. **Strategic Direction:** The company is actively involved in shaping the strategic direction of the businesses it invests in. This involvement includes setting goals, defining targets, and guiding overall business strategies to ensure alignment with TC's vision and mission.
3. **Synergy:** TC PLC leverages its position as an investment holding company to create synergy among its portfolio businesses. This involves facilitating collaboration and knowledge sharing between different subsidiaries to accelerate growth and efficiency.
4. **Expertise:** The company offers specialized expertise in key areas to its portfolio businesses. This includes turnaround strategies, managing business complexities, legal and structuring customized funding solutions.

OUR BUSINESS PHILOSOPHY

1. **African Focus:** TC PLC invests in companies and projects within the African continent which indicates the company's commitment to contributing to the development and growth of the region.
2. **Infrastructure Investment:** The company's primary focus is on investment within the infrastructure sector which underscores the crucial role that infrastructure development plays in driving economic progress and improving the quality of life for people in Africa.
3. **Addressing under-penetration and inefficiencies:** TC recognizes that inadequate infrastructure and inefficiencies can hinder overall African development. By focusing on addressing these challenges, the company aims to have a positive impact on the region's growth and prosperity.
4. **Infrastructure Value Chain:** The company's investments cover the entire infrastructure value chain, indicating a comprehensive approach to addressing infrastructure deficiencies. This approach includes investing in various stages of infrastructure projects, from planning and construction to operation and maintenance.
5. **Sectoral focus:** Our strategic focus is distributed across key sectors, such as power, transport, water, industrial and agriculture. This allows the company to contribute to various aspects of infrastructure development, catering to different needs in the region.



Operational Excellence

COMPANY OVERVIEW

OUR FOCUS IS IN:

1. **Infrastructure Products:** TC is involved in manufacturing and distributing innovative products specifically designed for local use in infrastructure development. This indicates a commitment to providing tailored solutions that cater to the unique needs and conditions of the region.
2. **Engineering and Construction:** The company is engaged in engineering and construction activities related to infrastructure projects. This involves the planning, designing and implementing of quality infrastructure solutions across the different infrastructure sectors.
3. **Management and Maintenance:** TC is responsible for managing and maintaining infrastructure assets. This indicates a long-term commitment to ensuring that the infrastructure remains operational, efficient, and well-maintained even after construction.
4. **Investment in Infrastructure Assets:** The company not only participates in developing and ownership of infrastructure but also invests in existing infrastructure assets. This could involve acquiring or partnering with projects already operational or in advanced stages of development.

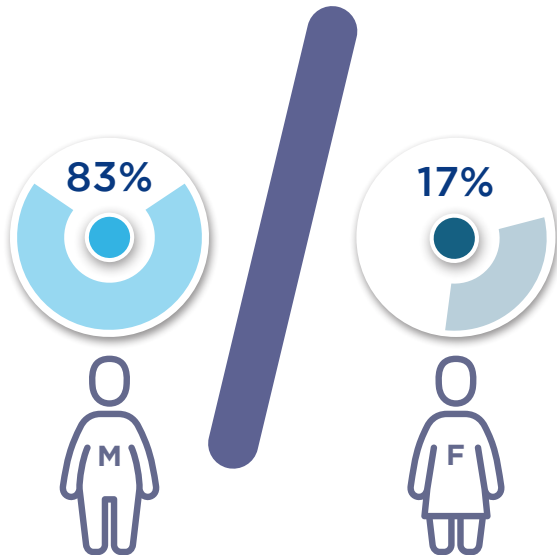
TC'S OFFERING TO INVESTEE COMPANIES

1. **Capital Enhancement:** TC provides investee companies with capital enhancement, indicating its commitment to providing financial resources for growth and development.
2. **Strategy Formulation and Execution:** The company supports investee companies in formulating and executing effective strategies. This assistance helps align business goals and actions for optimal outcomes.
3. **Corporate Governance Framework:** TC emphasizes on the importance of a strong corporate governance framework, which helps ensure transparency, accountability, and ethical behaviour within the investee companies.
4. **Established Platform with Structures and Systems:** The company provides an established platform that investee companies can tap into. This platform includes structures, systems, and resources contributing to excellence and synergy and promoting efficient operations.
5. **Development of Strong Brands:** TC assists investee companies in developing strong and recognizable brands. This is crucial for enhancing market presence and customer trust.
6. **Business Support:** The company offers various business support to investee companies, including expertise in turnaround strategies, customized funding structures, and managing complexities.

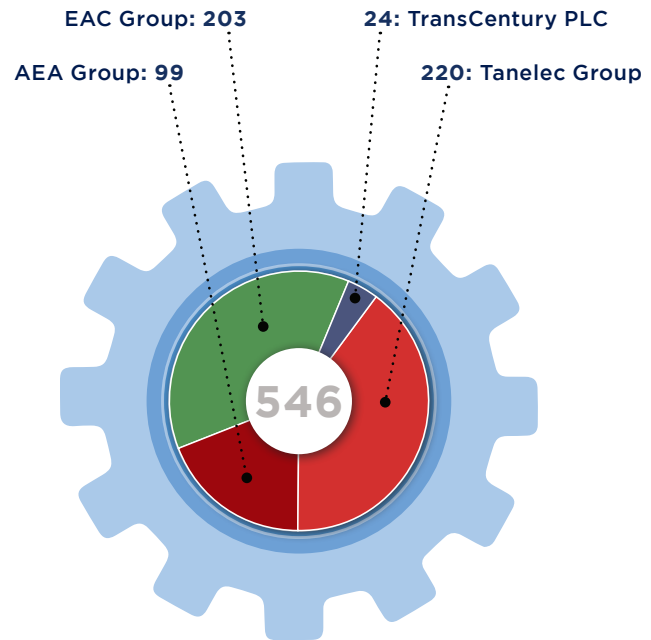


TC AT A GLANCE

STAFF GENDER RATIO



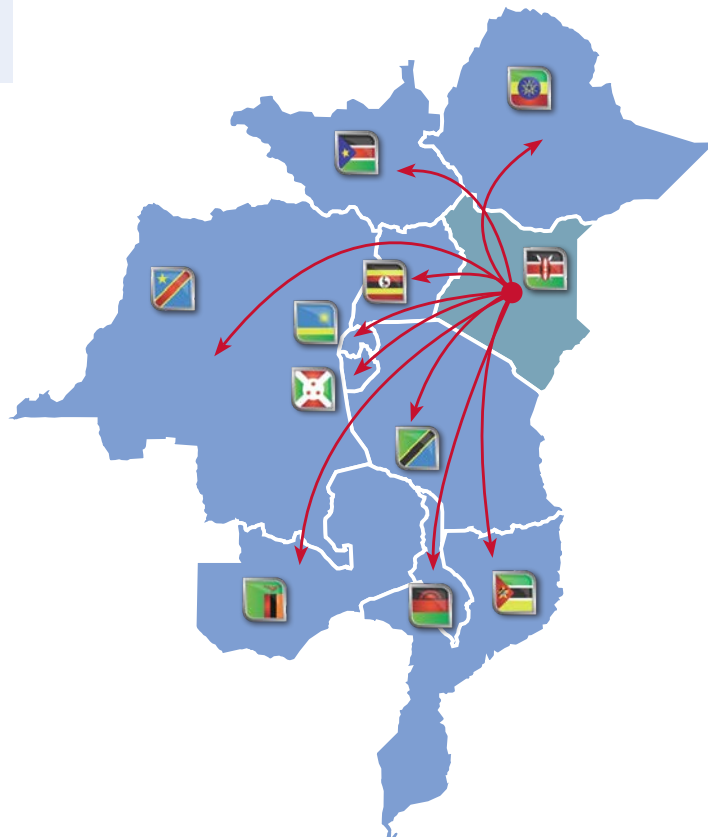
GROUP EMPLOYEES DISTRIBUTION



199.17
TOTAL No.
OF TRAINING
HOURS



OUR PRIORITY MARKETS



97.75%
STAFF
RETENTION
IN 2023



0.01%
TOTAL LOST
TIME DUE
TO INJURY



TRANSCENTURY STRATEGY 2022 – 2025



Achieve together

The strategic plan covers the period starting 2022 and ending 2025; a period we envision to be characterized by TransCentury's (TC) return to profitability and solidifying TC's position as the lead indigenous infrastructure investment company in Africa. We are leveraging on our experience and the robust platform we have created.

OUR GUIDING PRINCIPLES



OUR VISION

To be the premier investment partner in Africa.

OUR MISSION

Improving lives in Africa through investment in infrastructure products, projects, and services

OUR CORE VALUES

Entrepreneurial

We are professionals in all our dealings and believe in the power of sheer hard work.

Pioneering

We are pioneering in nature, passionate, daring, innovative and always marching forward.

Innovative

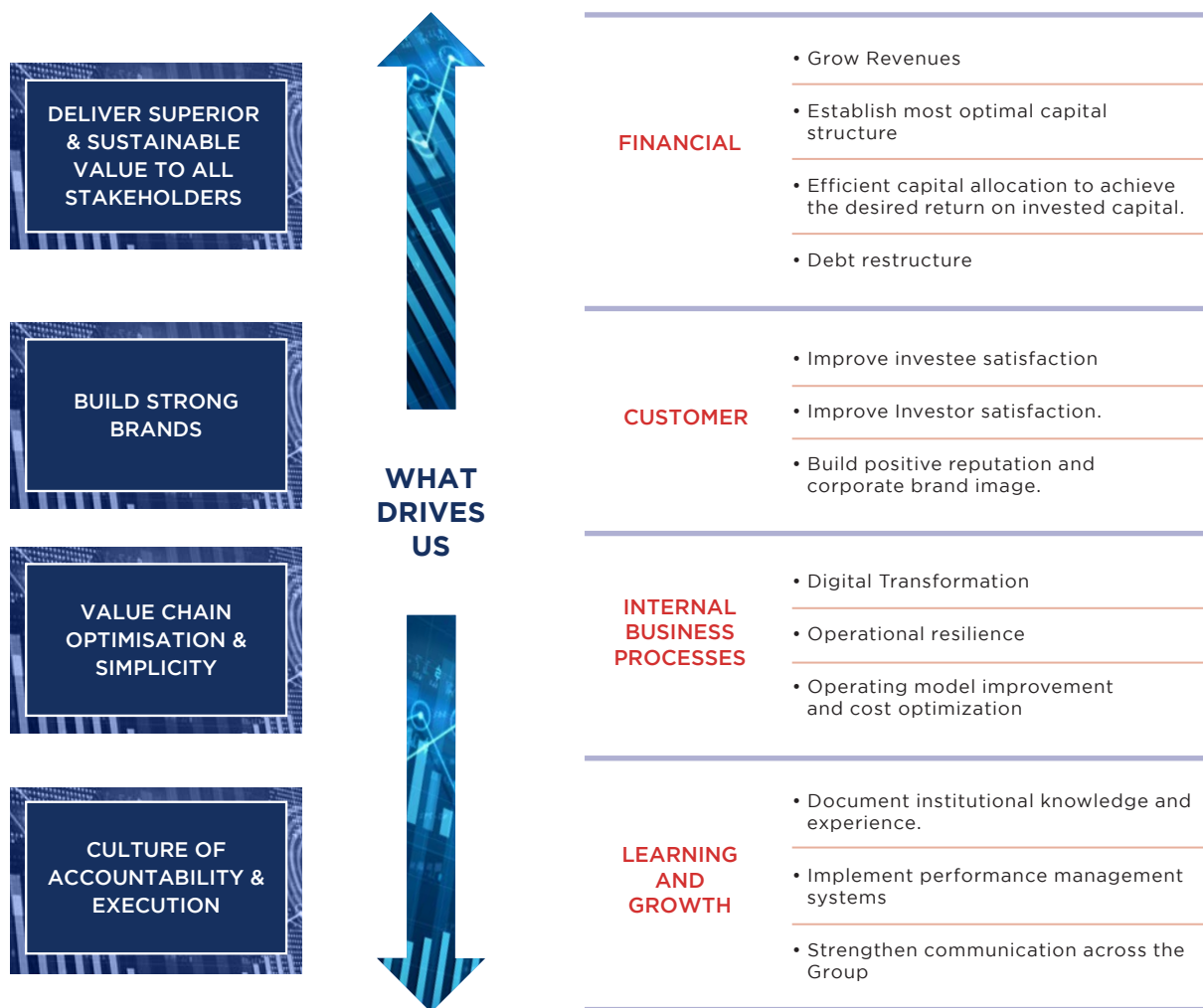
We give you the tools and room to create new ideas, methods, and systems.

Collaborative

We value each other, and we leverage our collective genius to succeed.

OUR STRATEGIC THEMES AND PILLARS

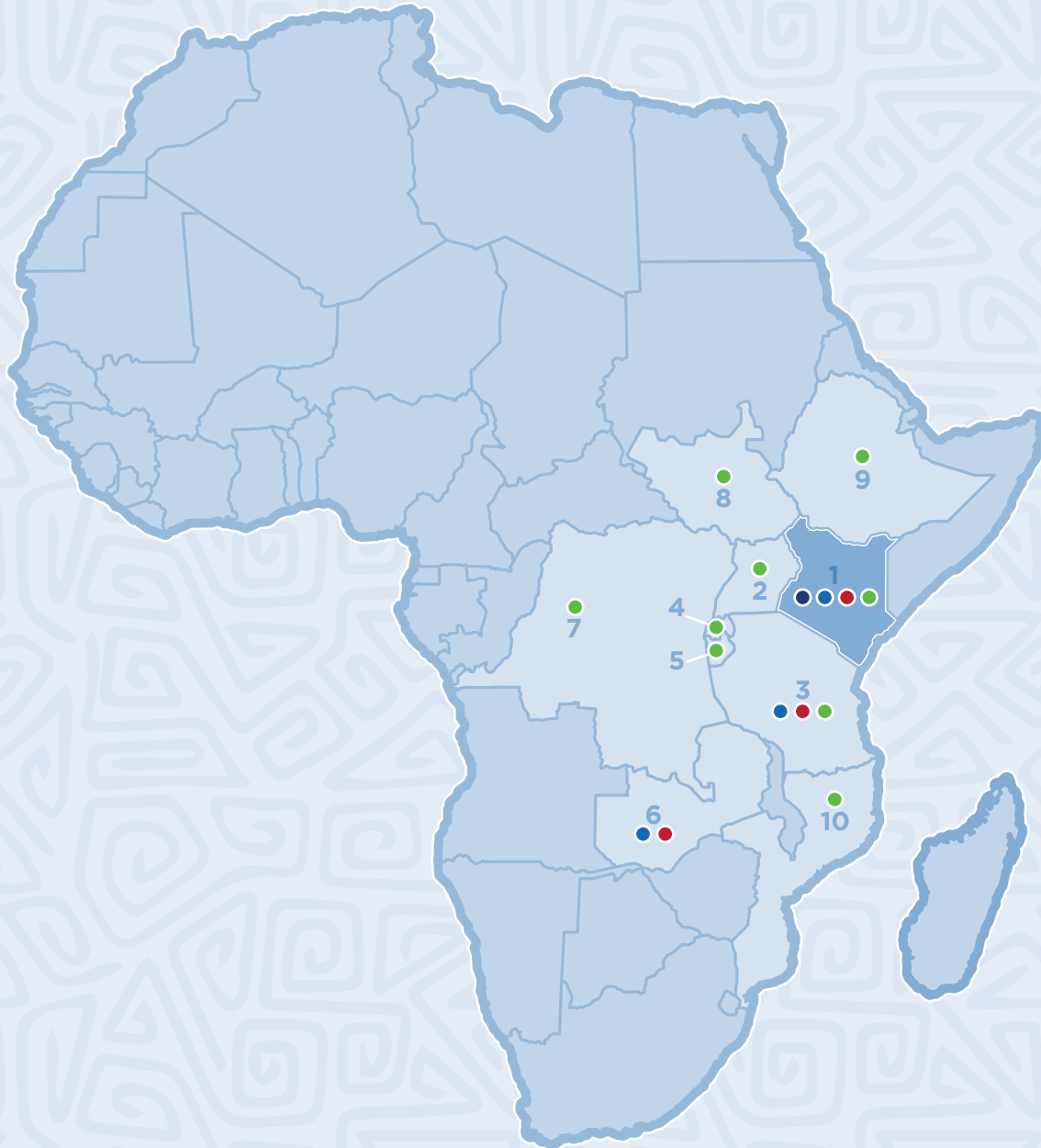
In the 4-year period, the Group will focus on the following strategic themes as we work towards the set vision and mission.



The successful execution of our strategy is backed by:

- DATA-DRIVEN DECISION MAKING.
- FOCUS ON OUR CORE-INVESTMENTS
- BUILD STRONG BRANDS.
- CULTURE OF EXECUTION AND ACCOUNTABILITY.

OUR FOOTPRINT



1. Kenya



2. Uganda



3. Tanzania



4. Rwanda



5. Burundi



6. Zambia



7. DRC



8. S. Sudan



9. Ethiopia



10. Mozambique



HOLDING COMPANY

Kenya: TransCentury PLC



HEADQUARTERS

Kenya: East African Cables PLC
Tanzania: Tanelec Ltd., AEA Ltd.



TRADE AND OPERATIONS

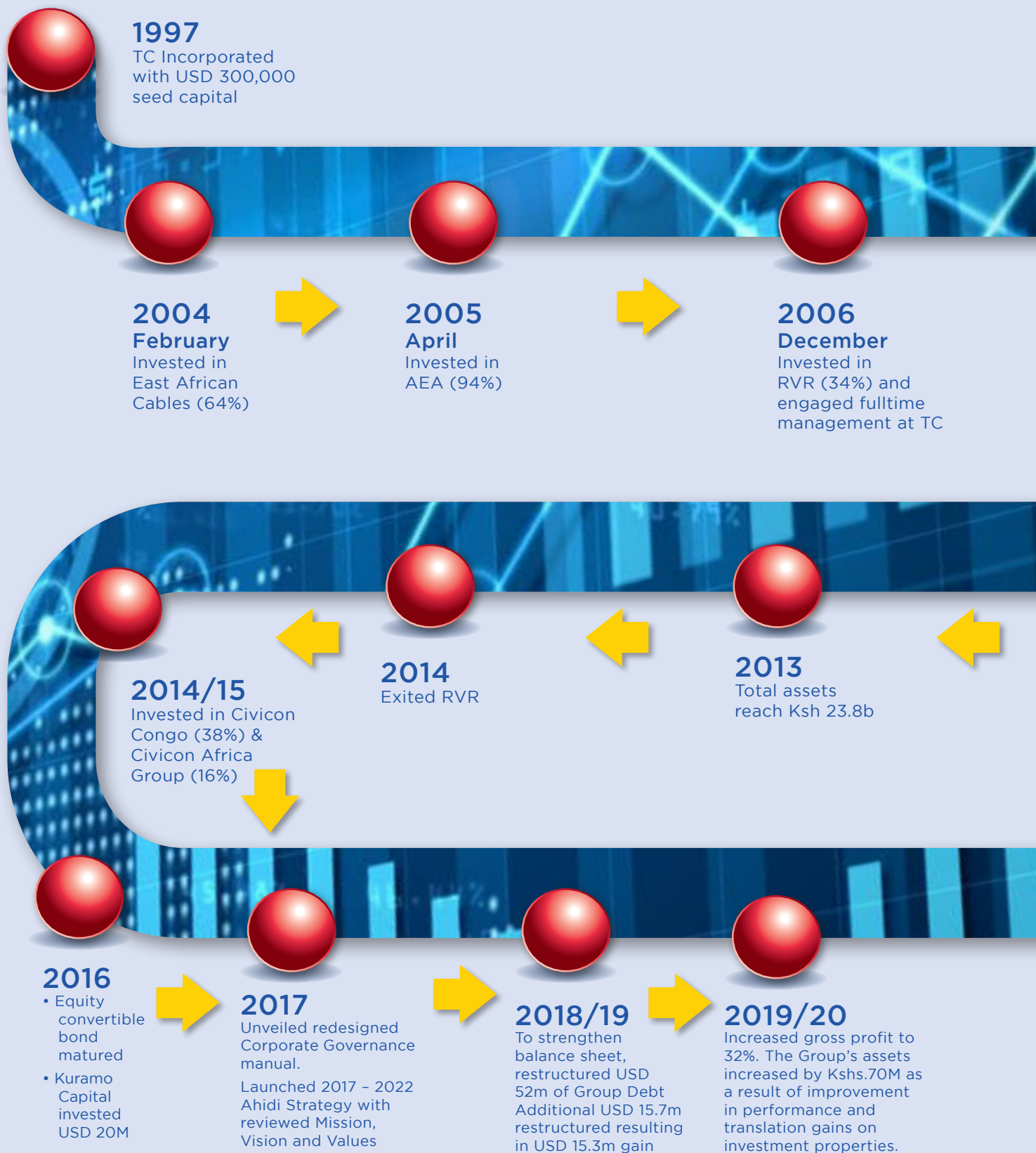


FACTORIES:

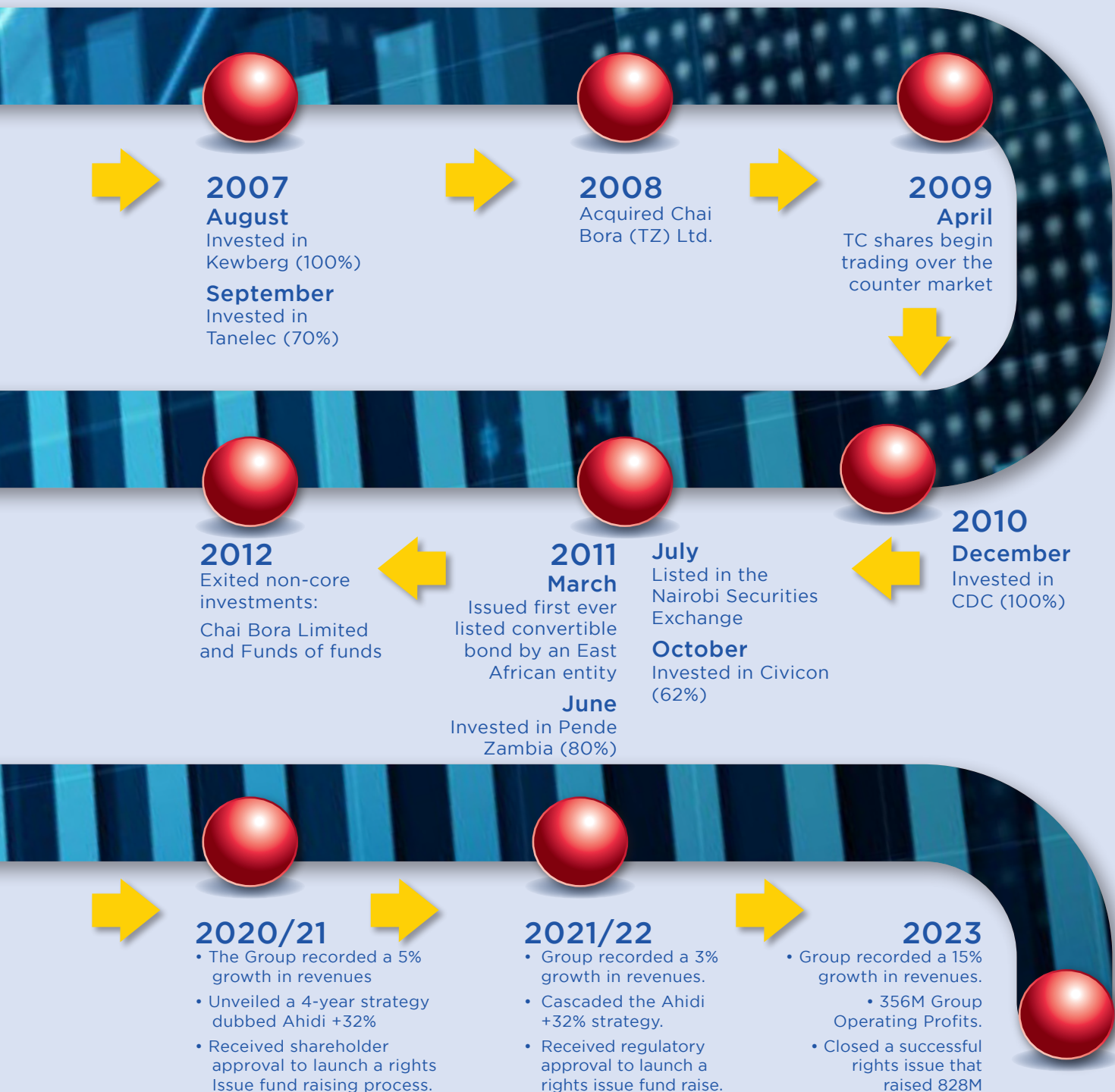
Kenya: East African Cables PLC, Tanelec Ltd.
Tanzania: Tanelec Ltd., East African Cables Ltd.
Zambia: Tanelec Ltd., Transformco Ltd.



OUR JOURNEY



OUR JOURNEY



INVESTMENT STRATEGY AND CRITERIA

Investment Strategy and Criteria

TC is an investment holding company that is guided by its vision, mission, core values and investment approach in all of its investment activities. TC focuses on the infrastructure sector in Africa and pursues investments in infrastructure projects and entities dealing in infrastructure-related products and services.

Under-penetration and inefficiencies in infrastructure severely hamper development, and TC investments play a key role in addressing these deficiencies across the entire infrastructure value chain in the region, with a focus on Power, Transport, Water & Sanitation, Industrial, and Agriculture sectors. This provides an opportunity to build scalable businesses that target existing market inefficiencies.

TC evaluates investments comprehensively through a structured, research-based and risk-sensitive approach, and seeks to consistently achieve superior risk-adjusted returns on TC equity and debt capital.

As an African company, TC promotes sustainable business practices in the region and has adopted global best practices in its investment activities. TC is committed to creating superior, sustainable value for all stakeholders as we deliver infrastructure focused on Africa as a region.

The TC Board of Directors controls and governs all investment decisions and actions. The Board reviews and determines the company's investment strategies, and reviews and monitors the investment activities, policies, guidelines and risk limits of TC and its subsidiaries.

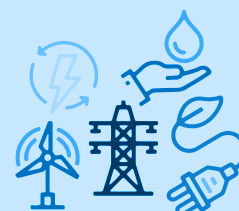
Business Model

We approach infrastructure investment through our investee businesses and invest directly into infrastructure assets. We have built a track record in the Power, Transport, and Industrial sectors. However, we see opportunities in the Water and Agriculture sectors, which we are keen to invest in.

We concentrate on the following:

1. Infrastructure products: manufacturing and distributing of innovative, purpose-built products that go into infrastructure development.
2. Development, engineering and construction of quality infrastructure projects.
3. Management and maintenance of infrastructure assets to promote longevity, better user experience and efficiency.
4. Investment in infrastructure assets.

TC's INVESTMENT FOCUS



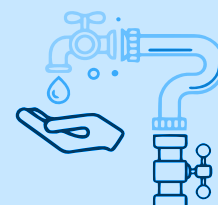
ENERGY



TRANSPORT



INDUSTRIAL

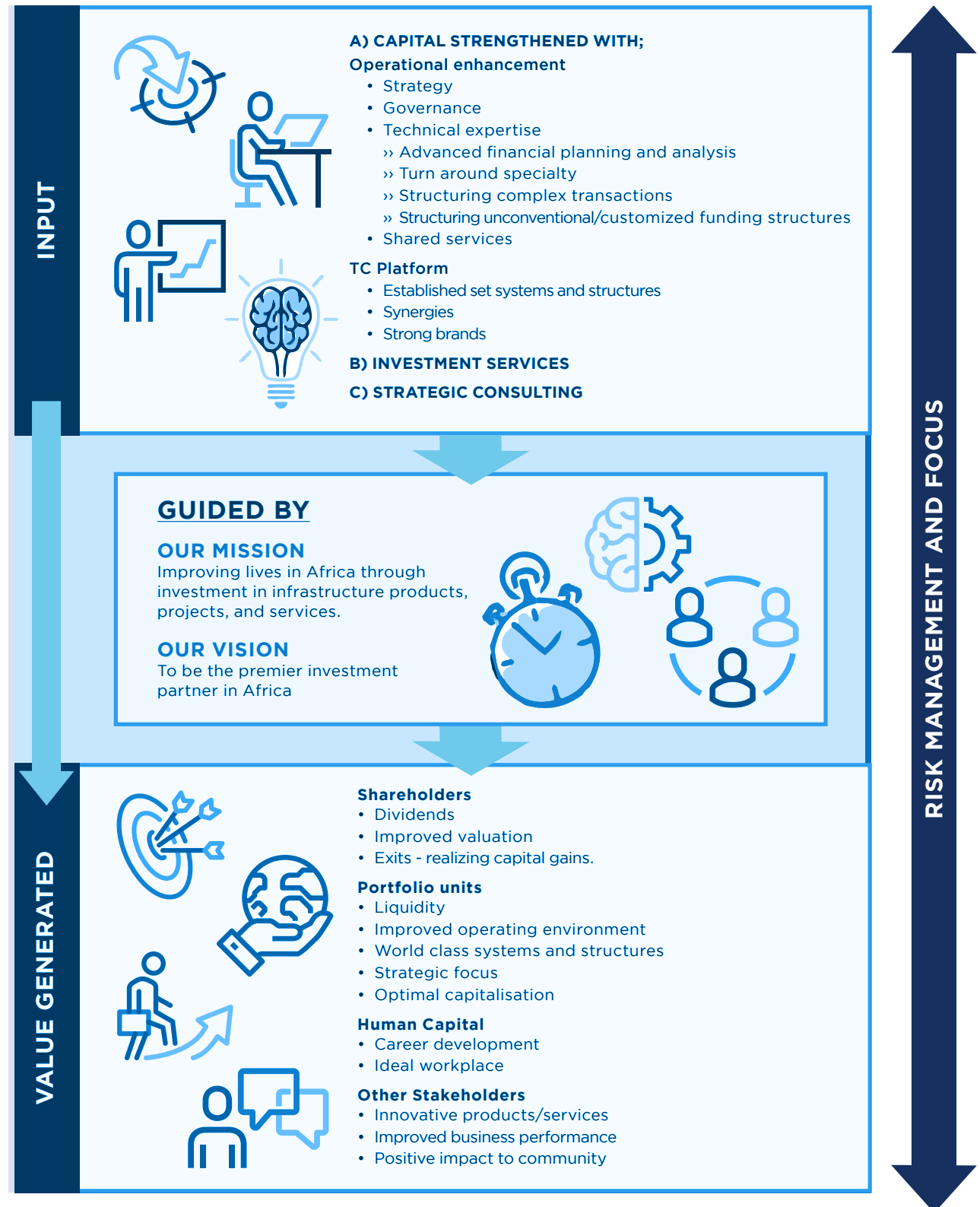


WATER & SANITISATION



AGRICULTURE

BUSINESS MODEL



OUR FOCUS - INFRASTRUCTURE.

TransCentury PLC (TC) has the capacity, expertise, and experience to engage in all aspects of the infrastructure value chain. (Capacity, Access, Utilization, and Efficiency).

TC's operations span across five sectors: Transport, Energy, Water, Industrial, and Agriculture. Each pillar of the value Chain supports TC's core business offerings by ensuring that infrastructure is developed, accessed, utilized, and optimized for long-term sustainability.

INVESTMENT/ OWNERSHIP OF INFRASTRUCTURE ASSETS

- Investment/own transport assets. (Railway, airport, road concessions/BOT - build operate transfer)
- Investment/ own in energy assets – (Solar, wind or hydroelectric projects)
- Own dams & reservoirs. (BOT - build operate transfer)
- Invest in industrial parks and special economic zones.
- Invest in large-scale irrigation systems

ENGINEERING/ CONSTRUCTION OF INFRASTRUCTURE

- Construction of distribution channels to provide access to infrastructure, i.e., Power transmission/ distribution lines, and substation construction; access roads for oil and gas & energy generation projects etc
- Last mile connectivity. (Pedestrian walkways, cycling lanes, feeder transport systems)
- Constructing cold storage and silos – Reducing spoilage.

SUPPLY OF PRODUCTS/ SOLUTIONS THAT GO INTO INFRASTRUCTURE

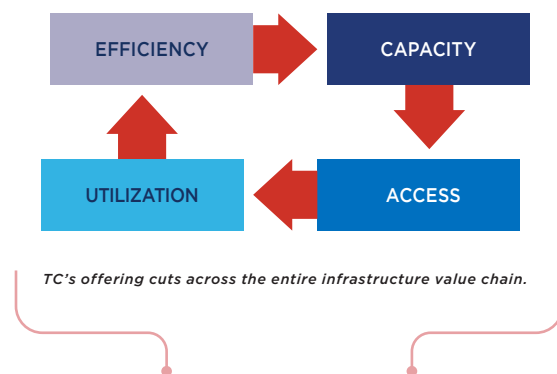
- Supply of products that go into infrastructure access, i.e. Conductors, transformers etc.
- Supply of products and solutions that enhance Infrastructure utilisation - consumption level products i.e. House wires / cables, transformers, valves, metering equipment, road preservation technologies
- Supply of products/solutions that enhance infrastructure efficiency, user experience i.e., Metering units, gauges, generators, low-loss distribution products including transformers and transmission cables

MAINTENANCE AND MANAGEMENT OF INFRASTRUCTURE ASSETS

- Maintenance and management at consumption level / service e.g. service and repair solutions for transformers, gensets; operation of weighing and processing installations; bridge rehabilitation; road maintenance using efficient patching technology patching technology
- Maintenance operations and management of infrastructure assets for efficient use, longevity
- Use of advanced technology/software and dedicated service teams to improve traffic control solutions. Experience in managing access roads for mining installations

Due to the cyclicity of the infrastructure space, focus shifts across the value chain depending on demand, resource availability, government focus, etc.

INFRASTRUCTURE VALUE CHAIN







TC OPERATING SUBSIDIARIES

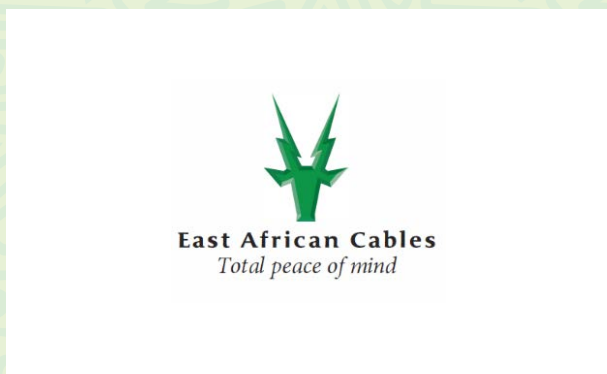
EAST AFRICAN CABLES.

East African Cables PLC is a premier cable manufacturer in East and Central African region. The company has three manufacturing facilities: two in Nairobi, Kenya and one in Dar es Salaam Tanzania. It is headquartered in Nairobi's Industrial area and is listed on the Nairobi Securities Exchange.

EAC manufactures an extensive range of cables for domestic, industrial, last mile, agriculture and water application as well as for the transmission and distribution of electricity.

EAC products portfolio includes:

- Copper electrical cables and conductors.
- Aluminium conductors.
- Electrical accessories.
- Submersible cables
- Industrial control cables
- Booster cables



TC OPERATING SUBSIDIARIES *(Continued)*

EAST AFRICAN CABLES (TZ)

East African Cables (Tz) Ltd (EAC Tz) a (subsidiary of East African Cables Plc) is the pioneer electric cable and conductor manufacturer in Tanzania. The Company is headquartered in Dar es Salaam, where the factory is also located.

EAC Tz is part of TC Plc through a 51% stake in East African Cables Plc in EAC Tz.

The company's product range has application in the entire low voltage (LV) power infrastructure ecosystem from power generation, transmission, distribution, domestic, industrial, and other interior applications.

The company has continued innovating in manufacturing specialized cables for use in solar and industrial processes. Our products are generally categorised as follows:

1. Aluminium based products

- ACSR Bare Conductors (ACSR): For transmission of electricity
- Aerial Bundled Conductors (ABC): For distribution of electricity.
- Concentric Neutral Cables (CNC): Provides Termination/connection to the electricity user.

2. Copper based products

- Armoured and unarmoured Power Cables: Provides connectivity from transformer or generator.
- Control Cables
- Domestic Wire: Provides connectivity for final energy use
- Winding Wire: Provides enablement in transformers and electric motors.
- Flexible Cables (including DC Cables): Provides specialized connectivity to energy (Solar, wind etc)





TC OPERATING SUBSIDIARIES *(Continued)*

TANELEC LIMITED.

Tanelec is the largest manufacturer of electrical distribution transformers and switchgear in East and Central Africa.

The Company is well equipped to provide complete customer support for all products and at the same time comprehensive repair and service capabilities.

The Company's product and service offering is as follows:

- Small & medium oil-filled distribution transformers -25 kVA to 3 MVA at 11 & 33kV
- Power transformers -5 to 500 MVA with input voltage above 36 kV
- Low and medium voltage switch gear
- Transformer repair and servicing
- Transformer installation and commissioning services
- In-house factory transformer service and refurbishment
- Turnkey electrical power projects such as: Substation construction, extension, installation, Concentrator cable rack installation, Motor and switch gear installation, Overhead line installation and rehabilitation

Tanelec has installed a state-of-the-art manufacturing facility with the highest capacity in the region to meet growing demand better. The Company's main revenue streams are transformer unit sales and repair services. A lower proportion comes from switchgear sales, which have a significantly larger market and upside potential. Goods and services are supplied to utilities and private customers in Kenya, Tanzania, Uganda, Rwanda, Burundi, DRC, Zambia, Malawi, and Mozambique. Tanelec owns a subsidiary in Zambia that offers transformers, switchgear and turnkey electrical power projects. It also has a servicing workshop in Uganda. The company now has a plant in Kenya.



TC OPERATING SUBSIDIARIES *(Continued)*

TANELEC ZAMBIA

Over the last two decades we have honed our expertise in manufacturing, servicing and repairing distribution transformers. Additionally, we have developed partnerships with international manufacturers such as ABB as a pathway into our power distribution project competency.

Tanelec has been a leading quality provider of power solutions in Sub-Saharan Africa's grid for almost 50 years.

The company's product and service offerings include:

- Service & repair of power and distribution transformers up to 3.5mVA with complete rewinding and testing capabilities
- New transformer design and manufacture
- On-load tap changer services
- Off-load tap changer services.
- Motor repair/rewinding and testing
- Overhead line construction
- Substation construction
- Mini Substation manufacture and repair



TC OPERATING SUBSIDIARIES *(Continued)*

AEA LIMITED.

AEA is a trading arm of TransCentury PLC that provides innovative solutions for Africa with a proven track record of over five-decades. The company was initially established primarily to focus on the supply, manufacture and maintenance of industrial and domestic weighing equipment but has since diversified into construction of infrastructure projects and provision of solutions that enhance infrastructure efficiencies and sustainability.

The Company is structured in three divisions:

1. Trading & industrial supplies division

Provides clients with solutions in weighing (retail & industrial), Energy, software, after sale service, agriculture and industrial solutions.

2. Operations division

Operations and maintenance division provides our clients an understanding of planning techniques and methods, organization and management of procurement, production, selling and distribution processes as well as service provision, quality management, projects, resources, leasing/rentals, operations improvement, operations strategies and innovations.

3. Construction division

AEA Construction provides EPC and turnkey approach to Engineering, Construction and Logistics in Africa. Key operating divisions include Mechanical Engineering, Civil Engineering, Logistics, Cranage & Erection.



TC OPERATING SUBSIDIARIES *(Continued)*

TRANSFORMCO POWER SERVICES LTD

Transformco is a power solution company incorporated in 2004 with a focus on manufacturing, project execution and retail of electrical products.

The company supports power utilities in over 10 Central, Eastern and Southern African countries. It is the first and only manufacturer of substations in Zambia and the only manufacturer of multi-crop thrashers in Zambia.

The company's product and service offerings include:

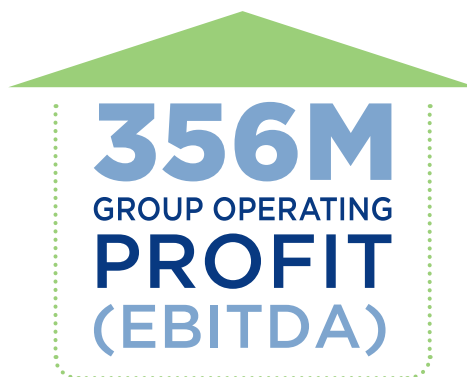
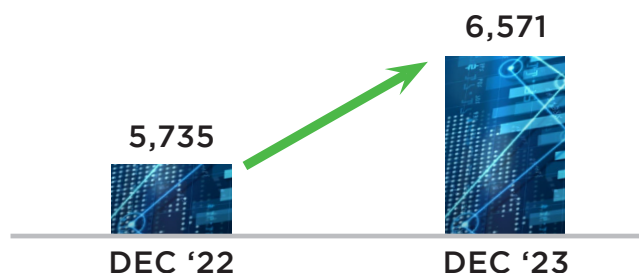
- Substation Construction.
- Transformer and minisub manufacturing and repair.
- Electrical motor repair.
- Electrical wiring
- Switchgear assembly and installation.
- Supply of ring main units
- Overhead line construction.
- Solar products.



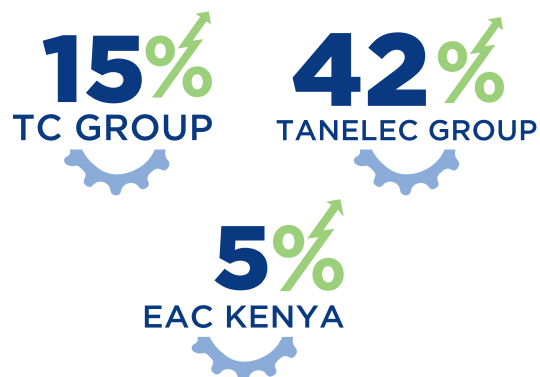


GROUP PERFORMANCE IN BRIEF

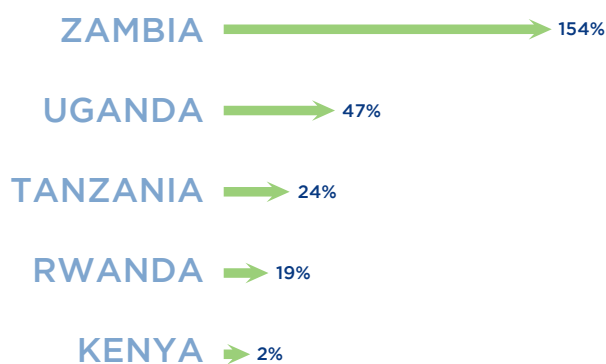
GROUP REVENUE INCREASE (Kshs. M)



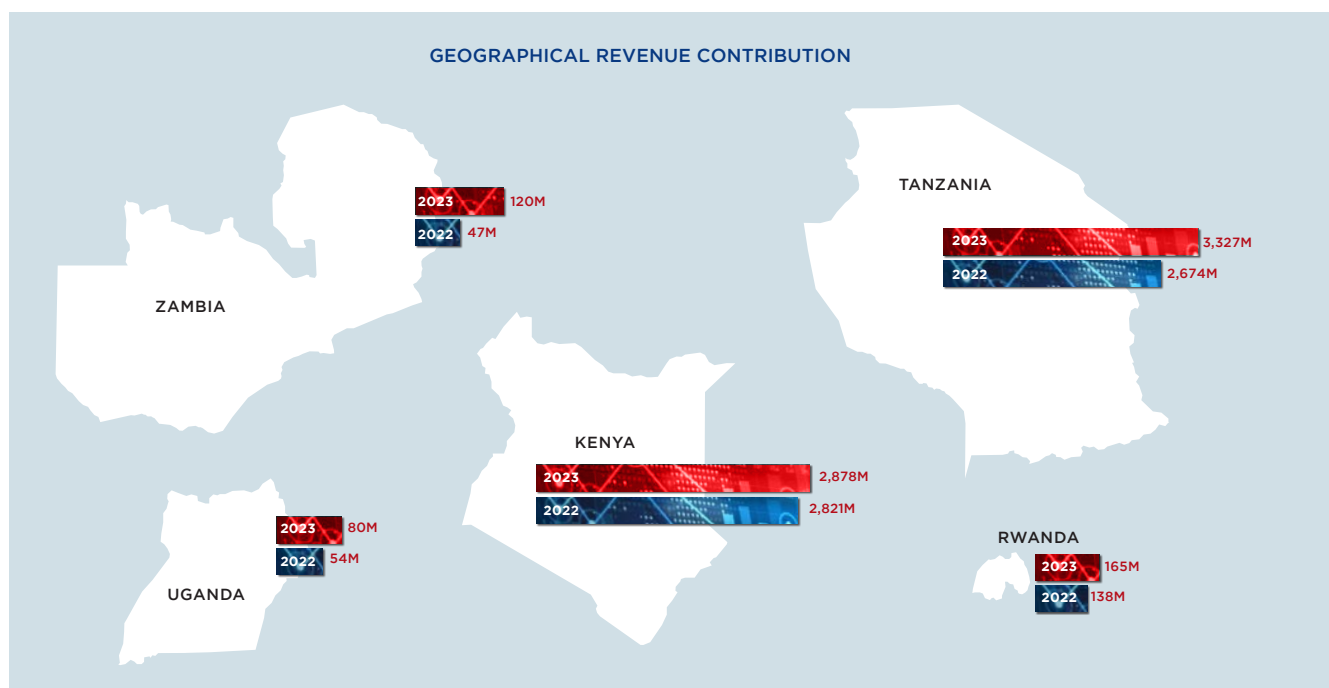
REVENUE GROWTH



REGIONAL GROWTH



GEOGRAPHICAL REVENUE CONTRIBUTION



GROUP CSR

TransCentury PLC believes that being a responsible and contributing corporate citizen is a key component of the Group's Business Strategy through its CSR Policy. The Group is committed to the empowerment, development, and growth of the community.

The materiality matrix below is visual representation of the material sustainability issues that matter most to TransCentury and its stakeholders. This matrix is a strategic tool that identifies and prioritizes key environmental, social, and governance factors based on their impact on business operations and stakeholder interests. By mapping the significance of these issues, we aim to transparently communicate our commitment to addressing the most relevant ESG concerns, fostering stakeholder engagement, and aligning our business strategy with sustainable practices.





CHAIRMAN'S NOTE



"With strengthened leadership, we are confident in our ability to drive operational excellence, ensure accountability, and position TransCentury for sustained impact and growth."

Dear Shareholders,

The year 2023 has been both transformative and resilient for our organization, marked by a commendable 15% revenue growth over the previous year. This achievement reflects our unwavering commitment to delivering value. As a leader in Africa's infrastructure development, we continue to drive sustainable growth and foster innovation while navigating a complex economic landscape.

Operating Environment

In 2023, the Sub-Saharan Africa (SSA) region experienced mixed economic performance. GDP growth averaged 3.3%, slightly below the global average, as countries faced challenges including rising global interest rates, inflationary pressures, and a strengthening US dollar.

Inflation in SSA averaged 9.8%, fueled by elevated food and energy prices, supply chain disruptions, and currency depreciation across key economies.

Despite these headwinds, pockets of growth emerged, driven by increased government spending on infrastructure, technological innovation, and renewable energy projects.

Countries such as Kenya, Tanzania, and Uganda recorded notable progress in public-private partnerships aimed at bridging infrastructure funding gaps. At TransCentury, we harnessed these opportunities, staying adaptive and focused on delivering impactful solutions in the Energy, Transport, Water, Industrial, and Agriculture sectors.

Our People.

At the core of our achievements is our people. The resilience, focus, and unwavering commitment of our teams across all subsidiaries have been extraordinary. In a volatile operating environment, they have shown remarkable adaptability, creativity, and dedication to delivering value to our stakeholders.



CHAIRMAN'S NOTE *(Continued)*

Their tireless efforts have enabled us to navigate challenges effectively while seizing opportunities for growth and impact. Whether innovating customer-centric solutions, ensuring operational excellence, or building lasting partnerships, our people are the heartbeat of TransCentury's progress.

Strategic Achievements and Growth

The year 2023 was marked by several significant milestones:

- **Successful Fundraising:** We launched a fundraise through a rights issue, aimed at further strengthening our financial position.
- **Capital Restructuring:** Trading of the newly issued ordinary shares marked a pivotal step in our journey toward capital restructuring.
- **Geographical Expansion:** We continued to expand our presence in emerging markets across SSA, unlocking new growth opportunities.

These accomplishments align with our 2022-2025 strategic plan, designed to create sustainable value for shareholders and solidify our position as a leader in Africa's infrastructure development.

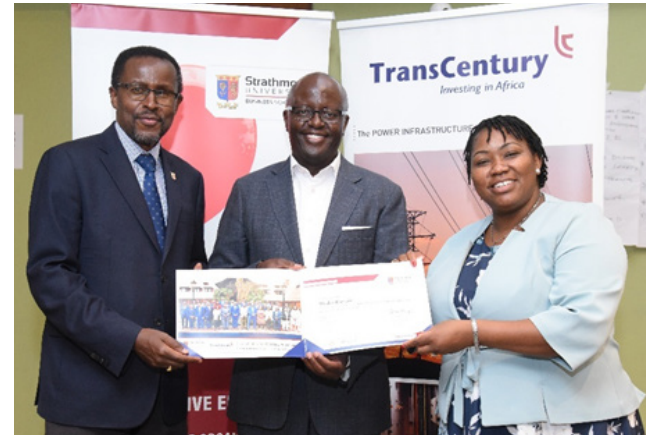
Focus on Sustainability

Sustainability remains at the heart of our business strategy. We have embedded Environmental, Social, and Governance (ESG) principles across all facets of our operations advancing clean energy solutions, fostering workforce development, and empowering local communities.

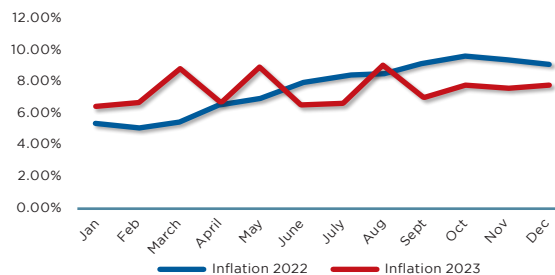
In line with our commitment to transparency and accountability, we are developing our inaugural Sustainability Report. This report will showcase our ongoing efforts to integrate ESG considerations and our commitment to creating a meaningful and lasting impact on the communities we serve.

Governance and Leadership

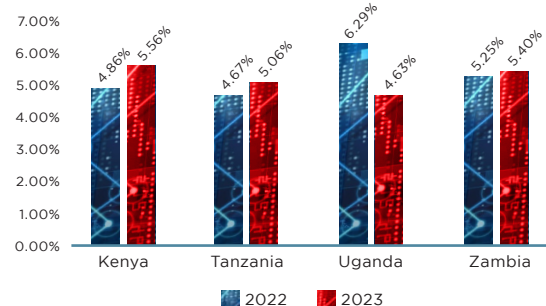
Our dedication to good governance is unwavering. In 2023, we enhanced our leadership capacity through an intensive corporate governance training program in collaboration with Strathmore University Business School. This initiative has equipped our Board and management with advanced tools and insights to navigate a dynamic business environment effectively.



INFLATION RATES (KE)



REAL GDP GROWTH





CHAIRMAN'S NOTE *(Continued)*

"...we deeply value your trust and unwavering support. Your belief in our vision is the foundation of our transformative growth and impact..."

With strengthened leadership, we are confident in our ability to drive operational excellence, ensure accountability, and position TransCentury for sustained impact and growth.

Looking Ahead

Midway through the year, we encountered legal challenges that required decisive action to protect the company's value. Through strategic engagement, we are making significant progress in addressing these matters. While we remain steadfast in safeguarding the company's position, we are equally committed to resolving these issues amicably and constructively, ensuring minimal disruption to our operations and focus on growth.

The global shift toward electric vehicles (EVs) presents a transformative opportunity for Africa. As governments and private sector players increase investments in e-mobility solutions, the demand for supporting infrastructure—including charging stations, renewable energy sources, and specialized manufacturing—will surge.

TransCentury is well-positioned to contribute meaningfully to this emerging trend. Our expertise in energy infrastructure and manufacturing, supported by our subsidiaries, provides a robust foundation to explore and deliver EV-related solutions. By capitalizing on this opportunity, we aim to align with global sustainability goals while unlocking new revenue streams.

We remain optimistic about the long-term prospects of SSA, underpinned by its abundant resources, youthful workforce, and increasing focus on regional integration. TransCentury is uniquely positioned to play a pivotal role in driving sustainable development across the region.

In Closing

To our employees, thank you for your resilience, focus, and dedication. Your efforts have transformed challenges into opportunities, delivering exceptional results for all stakeholders. To our shareholders, customers, and partners, we deeply value your trust and unwavering support. Your belief in our vision is the foundation of our transformative growth and impact. To the Board of Directors and management team, your leadership and strategic oversight have been instrumental in our journey toward excellence and profitability.

Together, we will continue to build a resilient, sustainable, and impactful organization that drives Africa's infrastructure growth story.

Yours Sincerely,

Shaka Kariuki
Group Chairman





VISION

TO BE THE PREMIER INVESTMENT PARTNER IN AFRICA



MISSION

IMPROVING LIVES IN AFRICA THROUGH INVESTMENT IN
INFRASTRUCTURE PRODUCTS, PROJECTS AND SERVICES



Achieve together



BOARD OF DIRECTORS



Shaka Kariuki, (54 years)
Group Chairman



Walé F. Adeosun, CFA, (62 years)
Non-Executive Director



Nganga Njiinu, CFA, (46 years)
Group CEO



Anne Mutahi, (62 years)
Independent Non-Executive Director

SCAN THIS QR CODE
BELOW FOR MORE
ABOUT THE TC BOARD



BOARD INDEPENDENCE

Independent



50%

Non Independent



50%

BOARD TENURE

2-3 Years



71%

1-2 Years



39%

BOARD OF DIRECTORS *Continued*



Kamal Pallan, (49 years)
Non-Executive Director



Wanjuki Muchemi CBS, (71 years)
Independent Non-Executive Director



Kariithi Njogu H.S.C, (74 years)
Independent Non-Executive Director



Virginia Ndunge, (53 years)
Company Secretary

DIRECTORS AGE

Above 70 Years



33%

70 Years and below



67%

BOARD GENDER DIVERSITY

Male



86%

Female



14%



GROUP CEO'S MESSAGE



Dear Shareholders,

As we reflect on the year 2023, I share the progress and challenges TC faced with both pride and great optimism. While we turned the tide and delivered operating profit from our core businesses, we also encountered significant headwinds. Most notably, in June 2023, we were confronted with an attempted receivership that tested our resolve and resilience. Throughout 2023, however, we remained focused on our strategic priorities and demonstrated our ability to adapt and thrive in adversity.

I want to take this opportunity to walk you through some key highlights of our performance and our focus going forward.

Performance Review

In 2023, TC achieved a 15% revenue growth compared to the prior year while maintaining operating expenses at similar levels. Some stellar performance contributing to this growth came from Tanelec, which recorded 42% revenue increase. Tanelec's success was driven by its ability to tap into the expanding private sector market, particularly in Kenya, where a newly established assembly plant now serves both the utility and private markets.

East African Cables Kenya also recorded 5% growth despite the attempted administration threat it faced in June. The company has strategically shifted towards a cash or near-cash model, enabling shorter conversion cycles and better liquidity management. Furthermore, post-reporting, East African Cables announced its divestiture from its Tanzanian subsidiary, a move aimed at substantially reducing debt and aligning with its long-term growth strategy.

"We see significant opportunities to increase capacity in infrastructure and enhance the management of infrastructure assets for improved efficiency and longevity."



GROUP CEO'S MESSAGE *(Continued)*

AEA Limited, one of our other key subsidiaries, embarked on significant regional infrastructure projects, including a one-stop border post in Rwanda valued at USD 6.7 million. These accomplishments are a testament to our focus on delivering value through operational excellence, diversification and innovation.

However, 2023 was not without its challenges. We were impacted by foreign exchange losses amounting to Ksh 1.3 billion, but I am pleased to report that the strengthening of local currencies supported our initiatives to mitigate much of this impact post-reporting. To further cushion the Group from FX fluctuations, we continue to increase our focus on export business across our operating units which increases our US dollar inflows.

Strategy and Execution

Despite the disruptions in 2023, we remained firmly committed to our core business strategy. Our approach being centered on delivering sustainable value to all stakeholders, optimizing our value chain, and building a culture of accountability and excellence. We can happily note that our strategic initiatives have resulted in consistent revenue growth over the last four years, with a compound annual growth rate (CAGR) of 11.4%.

Innovation and diversification have been at the heart of our progress, enabling us to meet evolving market demands, venture into new markets and protect our margins. As a result, we are now operationally profitable and have made significant strides in reducing our overall loss position.

Commitment to Shareholders

Our commitment to you, our shareholders, is unwavering. We are focused on managing the Group's debt, securing funding for our businesses to operate optimally, increasing capacity utilization, and driving sustained revenue growth. On the debt front, we continue to engage with our banks to reach amicable solutions while pursuing the sale of non-core assets to unlock working capital and reduce debt levels. The East African Cables' Tanzanian subsidiary sale aims to stem losses and unlock value.

Outlook for 2024 and Beyond

Looking ahead, we are confident in the future of TC. In the first half of 2024, we recorded a 12% revenue growth, with a positive EBITDA of KES 389 million and a profit after tax. Favorable macroeconomic conditions in our focus region, including a growing youthful population and increased government focus on infrastructure development, create a strong foundation for continued growth in our core markets.

We see significant opportunities to increase capacity in infrastructure and enhance the management of infrastructure assets for improved efficiency and longevity. With our deep expertise, capacity and strong brand presence, TC is well-positioned to capitalize on these opportunities across the entire infrastructure value chain.

As we move forward, we remain committed to disciplined execution, our strategy, driving innovation, and collaborating with strategic partners to fuel further growth. While challenges such as the ongoing receivership threat remain, we are confident that our resolve, focus, and actions will lead to favourable outcomes.

Appreciation

In closing, I would like to extend my deepest gratitude to you, our shareholders, for your continued trust, support and patience during this period of transformation. I also thank our majority shareholder for the unwavering support extended to the business and our employees across the Group for their steadfast commitment to turning around this great company.

Together, we are building a stronger TC and are confident in our ability to provide long-term value to all our stakeholders. Thank you for your belief in our vision.

Sincerely,



Nganga Njiinu.
Group CEO



SENIOR MANAGEMENT TEAM



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SCAN THE QR CODE BELOW
FOR MORE ABOUT THE
SENIOR MANAGEMENT TEAM



1. NGANGA NJIINU, CFA - Group CEO
2. TREVOR OKOTH - Ag. Group Chief Finance Officer
3. PHYLLIS GACHAU - Group Head of Strategy, Corporate Affairs & IR
4. CHR-P-K FLORENCE MURERWA - Group Head of Human Resources
5. ANTHONY GICHINI, CFA - Investment Manager
6. GLADYS NJIGO - Ag. Group Head of Internal Audit, Risk & Compliance
7. IRENE MULUMBA - Head of Legal and Compliance
8. DANIEL NJENGA - Group Financial Controller
9. CHR-P-K EVELYN WANJIKU - HR & Administration Manager

SUBSIDIARY MANAGEMENT

EAST AFRICAN CABLES GROUP



PAUL MUIGAI
Group CEO - KE



JOSEPH KINYUA
Finance Manager



DR. GERALD GATITU
Commercial Manager



ESTHER LULONDE
HR & Admin Manager



JOSEPH KAMAU
Production Manager



JOYCE MBUGUA
Procurement Manager



GEOFFREY ODHIAMBO
General Manager - TZ



JOSHUA MAUTI
Finance Manager - TZ



East African Cables
Total peace of mind



SUBSIDIARY MANAGEMENT

TANELEC LIMITED GROUP



ZAHIR SALEH
Managing Director - TZ



CAROLINE MUGAMBI
Finance Manager - TZ



VICTOR OMINO
Commercial Manager - TZ



ELIFURAHA MALIAKI
Procurement Manager - TZ



MICHAEL KARIITHI
Country Manager - KE



PETERSON KOMU
Business Commercial
Analyst - ZM



REEVON MULOONGO
Sales & Marketing
Manager - ZM



SUBSIDIARY MANAGEMENT

AEA LIMITED



NICHOLAS KITHINJI
Managing Director



TIMOTHY NKONGE
Finance Manager



SALOME NDIRITU
HR & Administration
Manager



BEN KIILU
GM Construction



SIMON MUNGAI
GM Industrial Trading



ERNEST NDUBI
General Manager - TZ



STRATEGIC THEMES



DATA DRIVEN DECISION MAKING



FOCUS ON OUR CORE INVESTMENTS



BUILD STRONG BRANDS



CULTURE OF EXECUTION AND ACCOUNTABILITY



Achieve together

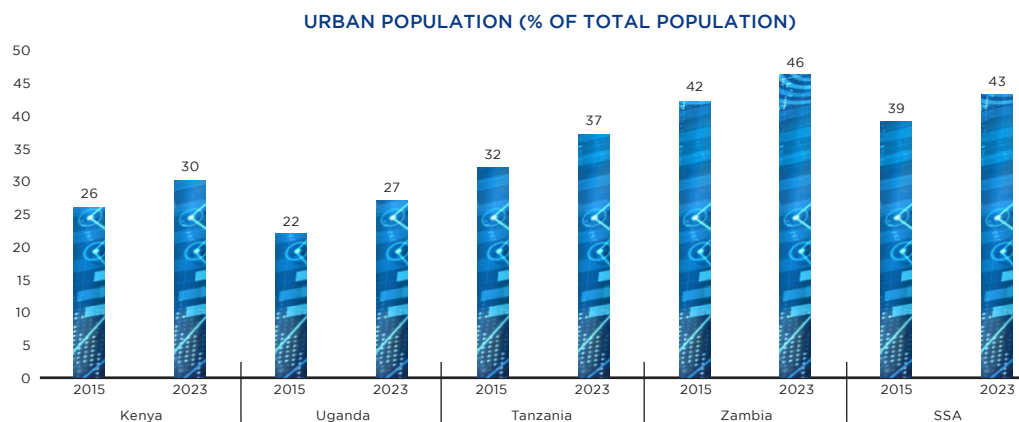
BUSINESS REVIEW

Infrastructure development is essential for Africa's progress, serving as a key driver of productivity, economic growth, and social development. Investment in infrastructure is responsible for over half of the continent's recent economic improvements and is crucial for human development, poverty reduction, and achieving global targets such as the Millennium Development Goals (MDGs). However, serious infrastructural shortcomings continue to hamper Africa's potential, limiting business growth, trade, service delivery, and overall competitiveness.

Africa's infrastructure deficit is a significant constraint on its development. High transport costs inflate the price of African goods by approximately 75%, inadequate water and sanitation infrastructure costs the continent an estimate of 5% of its GDP, and over 30 countries face chronic power shortages. Together, these underdeveloped systems reduce Africa's annual growth by at least 2%.

Africa, however, has a unique opportunity to jump to modern, efficient technologies by drawing on global innovations. Developing secure energy, reliable transport, affordable housing, and communication systems will not only boost productivity but also create jobs, attract investments, and enhance the efficient use of natural resources. Improved infrastructure will also help reduce societal inequalities by enhancing access to essential services like healthcare and education and ensuring a more equitable distribution of wealth.

As Africa urbanizes, it is becoming crucial to deliver public goods to a more concentrated population at relatively low costs. Closing Africa's infrastructure gap will require more than doubling existing investment to an estimated \$130-170 billion per year. This presents a significant opportunity to develop infrastructure that supports sustainable growth, enabling the continent to address its challenges while building a prosperous future.



The continent's population is rising at a rapid rate and the population in Sub Saharan Africa is expected to reach just over 1.7 billion people by 2030.

Source info:

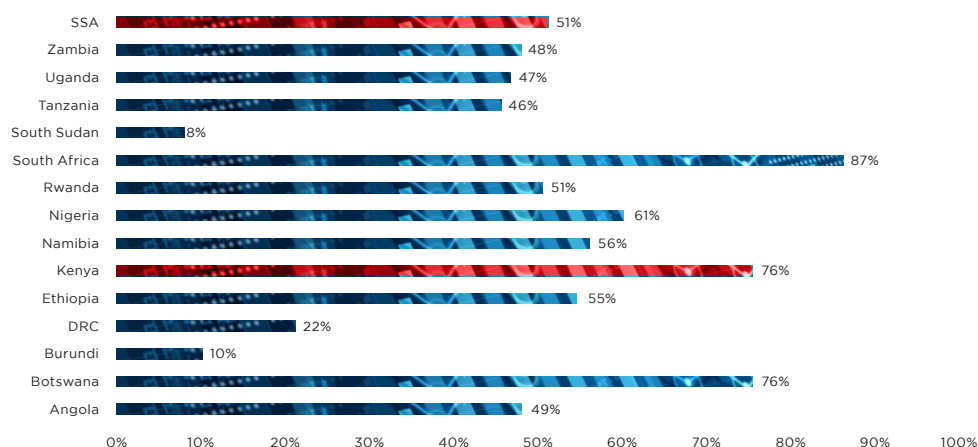
African development Bank report 2023

https://www.afdb.org/sites/default/files/documents/publications/financing_the_development_of_african_cities_-_afdb-bigwin_report_2023.pdf

BUSINESS REVIEW *(Continued)*

POWER OVERVIEW

ACCESS TO ELECTRICITY (% OF POPULATION) - 2022



Source: World Bank data

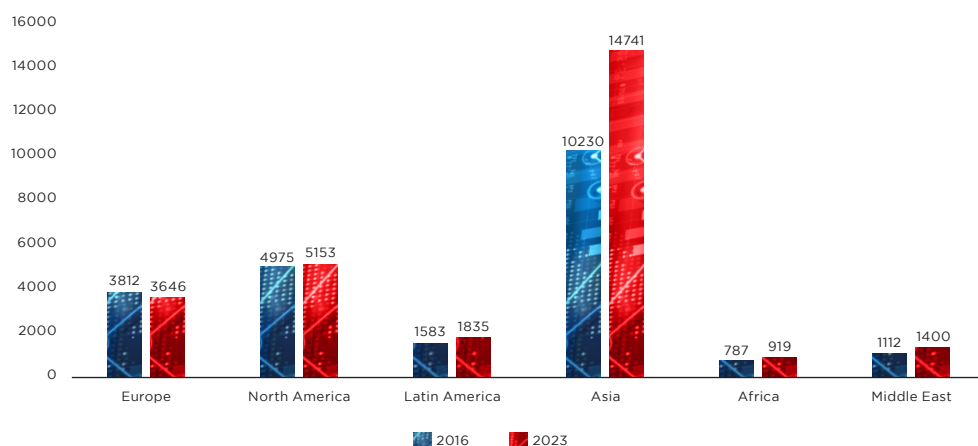
It is estimated that universal access to affordable electricity will be achieved by 2030 according to the Sustainable Africa Scenario (SAS) by IEA (International Energy Agency) which will require bringing connections to 90 million people a year. At present, 600 million people, or 43% of the total population, lack access to electricity, most of them in sub-Saharan Africa.

In rural areas, where over 80% of the electricity-deprived live, mini-grids and stand-alone systems, mostly solar based, are the most viable solutions.

The goal of universal access to modern energy calls for investment of USD 25 billion per year. This is around 1% of global energy investment today.

Sub Saharan Africa's electricity infrastructure remains underdeveloped and unreliable, hindering development and industrialization efforts across much of sub-Saharan Africa. Although home to 18.5% of the world's population, Africa only contributes to less than 6% of global energy consumption.

TOTAL ENERGY PRODUCED BY REGION (TERAWATT HOURS)



Source info: AFC-State-of-Africas-Infrastructure-2024.pdf

Key findings - Africa Energy Outlook 2022 - Analysis - IEA https://data.worldbank.org/?_gl=1%2A1dp0qsc%2A_gcl_au%2ANDcwNDY3MTQxLjE3MjM4MTE4NTU.
<https://yearbook.enerdata.net/electricity/world-electricity-production-statistics.html>
 Africa Energy Outlook 2023 (deloitte.com)

BUSINESS REVIEW *(Continued)*

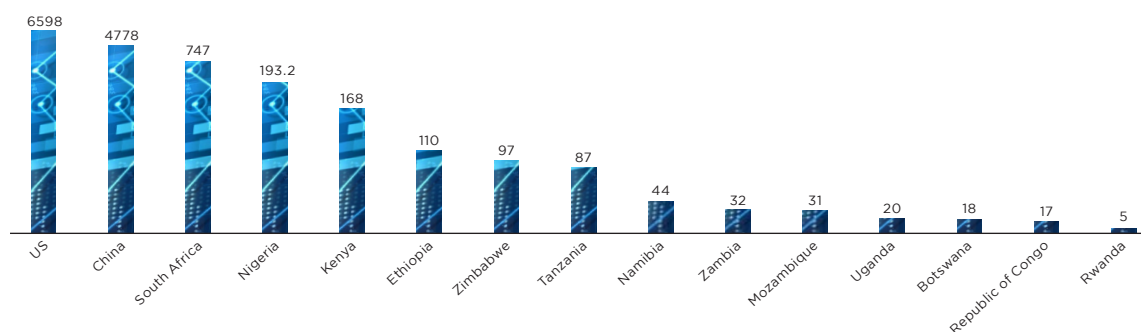
Despite an increase of over 66 GW in power generation capacity connected to the grid between 2012 and 2022, Africa still faces a significant shortfall in meeting its energy needs.

Africa has tapped into only a fraction of its renewable energy resources, utilizing just 1% of its solar energy potential, 6% of its geothermal energy potential, 7% of its wind energy potential, 11% of its hydropower potential and only 5% of its gas-to-power potential.

The sector presents opportunities for development finance institutions and private sector investors to intervene in transmission, distribution and overall power infrastructure development.

TRANSPORT OVERVIEW

RANKING OF THE ROAD NETWORK LENGTH BY COUNTRY (IN THOUSAND KM)



Africa's road infrastructure faces major challenges, with uneven distribution across countries and poor quality. The continent's paved road network is only 680,000 kilometers—six times smaller than India's, despite similar population sizes. Although roads are essential for 80% of goods traffic and 90% of passenger traffic in Africa, the road network is largely undeveloped and poorly maintained. This has created significant logistics bottlenecks. South Africa and Algeria account for 40% of this network, highlighting the disparity.

While ports have attracted private sector investment, they have not improved the efficiency and integration of logistics supply chains across the continent. Other critical areas like roads, railways, and airports remain underfunded and underdeveloped, leading to high logistics costs that hinder industrialization and economic diversification.

Cross-border connectivity is still limited due to inadequate infrastructure, despite some regional integration in East and Southern Africa. Institutional investors and other private sector investors can help by supporting new transport systems development. Given limited public funding, attracting private capital is crucial for expanding logistics infrastructure and improving connectivity.

Emerging trends

Sub-Saharan Africa faces significant challenges in transitioning to electric vehicles (EVs), including low electricity access, reliability, and affordability. In 2021, an analysis examined opportunities in the e-mobility sector in Ethiopia, Kenya, Nigeria, Rwanda, and Uganda. The analysis revealed a positive market outlook, with governments setting targets and offering incentives for EV adoption. Over 20 start-ups have emerged, primarily focusing on electric two-wheelers (E2Ws).

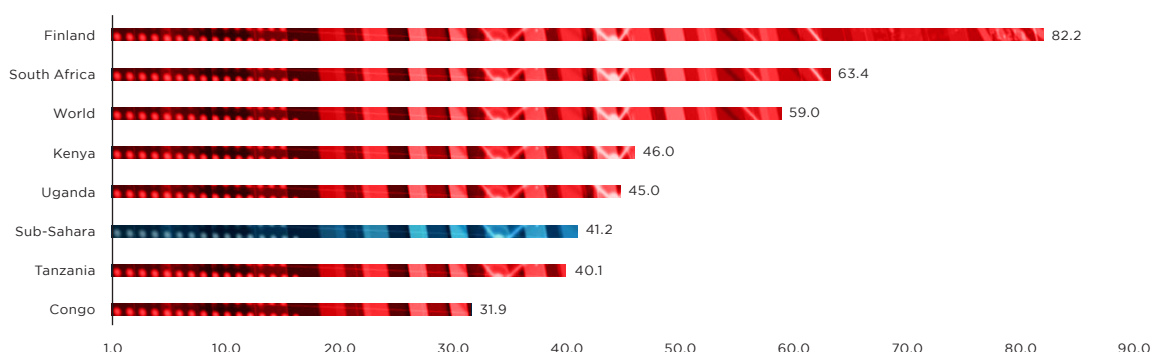
The analysis projects that EV sales in these countries could reach 340,000 – 820,000 units by 2025, growing to 3.8-4.9 million by 2040, mostly driven by E2Ws. However, significant financing is required to support this growth. For E2Ws, an estimated \$3.5-8.9 billion will be needed for asset financing, vehicle import and assembly, and charging infrastructure. As larger vehicle segments scale post-2030, additional financing will be needed, including for strengthening the electricity grid.

BUSINESS REVIEW *(Continued)*

AGRICULTURE OVERVIEW

Africa holds 60% of the world's uncultivated arable land, and agriculture accounts for 35% of its GDP, employing more people than any other sector. Currently, over 20% of Africa's population, approximately 257 million people, are undernourished. The majority of Africa's food supply is produced by small-scale farmers, often practicing subsistence agriculture. Africa has the potential to secure food for its people and play a significant role in the global food system.

Average Food Security Score (%) - 2012-2022v



To harness its agricultural potential, Africa needs to invest in crop production infrastructure, agricultural research, and policies that support sustainable agriculture and urban-rural linkages. The African Union's Agenda 2063 aims to accelerate agricultural growth and transformation, which is critical for the continent's economic transformation. The African Development Bank projects that Africa's food and agriculture market could grow to \$1 trillion by 2030.

However, challenges such as inadequate government spending on agriculture, limited access to credit, and poor infrastructure hinder progress (such as rural roads and storage facilities, to reduce post-harvest losses and improve market access)

Despite the challenges, Africa's agriculture sector has significant opportunities for investment, particularly in larger-scale agro-industrial enterprises, sustainable finance instruments, portable cold storage technology, transport development between farms and markets, high quality fertilizer access to farmers, which can drive economic growth and improve livelihoods across the continent.

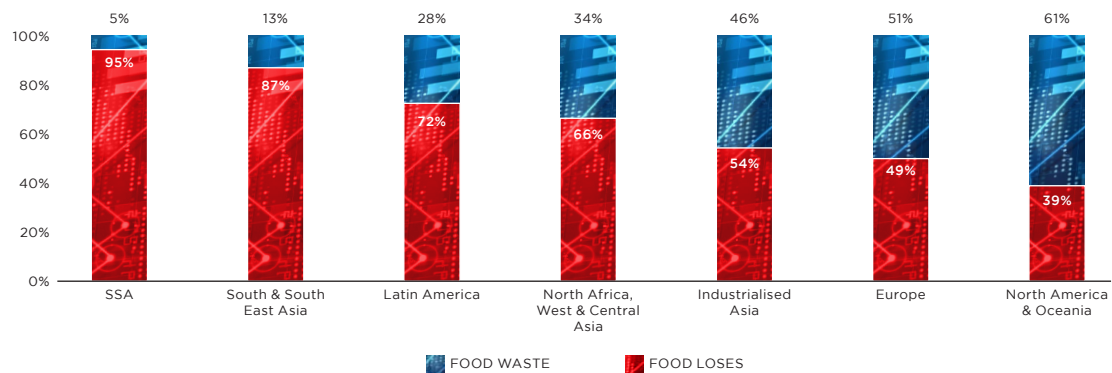
Source info: New analysis on financing E-Vehicles in sub-Saharan Africa - Shell Foundation
 AFC-State-of-Africas-Infrastructure-2024.pdf
 Road network worldwide 2020, by country | Statista
 Tracking Africa's Progress in Figures (afdb.org)
 Global EV Data Explorer - Data Tools - IEA

Source: Africa's agricultural revolution: From self-sufficiency to global food powerhouse | White & Case LLP (whitecase.com)
 2023 Africa Agriculture Status Report - Empowering Africa's Food Systems for the Future | Knowledge for policy (europa.eu)
 Agricultural Production - Our World in Data



BUSINESS REVIEW *(Continued)*

FOOD LOSS vs FOOD WASTE



WATER OVERVIEW

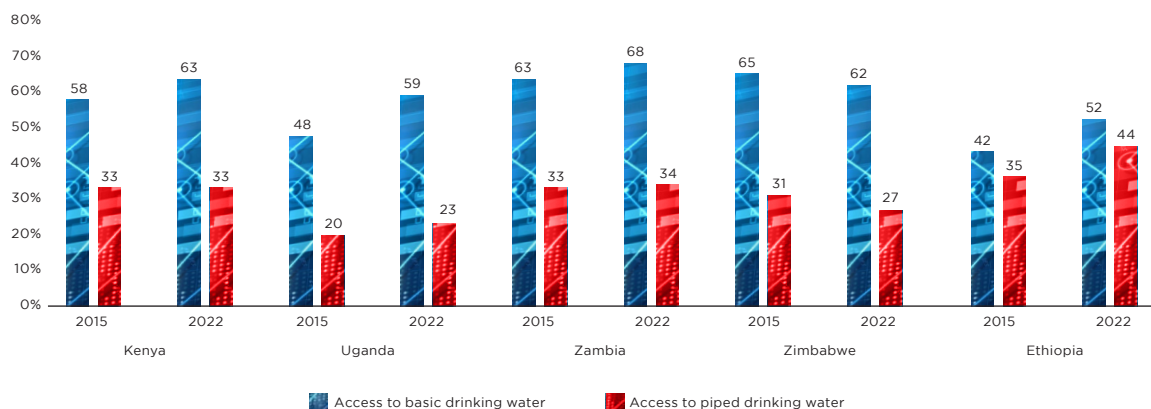
Access to clean and safely managed water and sanitation facilities remains a significant challenge in Africa, affecting health, economic growth, and overall development. One in three Africans faces water scarcity, hindering progress on various developmental goals. The development of water infrastructure is crucial for the East and Southern Africa (ESA) region, which has the lowest access to basic drinking water services globally. Nearly 226 million people, or 47% of the population, lack access to safe drinking water.

One of the primary challenges in improving water infrastructure is the lack of adequate financing. This issue is compounded by rapid urbanization, as more people move from rural to urban areas, leading to the growth of small towns. These unplanned urban areas often face poor service delivery, creating hotspots for water, sanitation, and hygiene (WASH)-related health crises like cholera.

To address these challenges, an additional US\$30 billion per year must be mobilized by 2030, on top of the current US\$10-\$19 billion invested annually. This would help meet the continent's water security and sanitation needs.

Action calls for a shift in water investment partnerships by forging closer public-private partnerships and enhancing risk-sharing. These investments can be scaled up to meet the continent's growing needs.

WATER ACCESS (% OF TOTAL POPULATION)



Source: WASH (UNICEF)

Source:

Africas-Rising-Investment-Tide-2024.pdf (aipwater.org)

<https://www.unicef.org/esa/water-and-environment>



SDGS



SDG 1: No Poverty

TransCentury's investments in infrastructure and industrial projects stimulate economic growth in the region, creating further employment opportunities and improving livelihoods through its subsidiaries include:

- **East African Cables (EAC)** – involved in the manufacture of cables
- **Tanelec** – largest manufacturer of electrical distribution transformers and switchgear in East and Central Africa
- **AEA Limited** – involved in weighing solutions, Engineering, construction & logistics as well as organization and management of procurement, production, selling and distribution processes
- **Transformco** – offers power solutions

They contribute to achieving SDG 1 by enhancing regional economies through infrastructure development, expanding reliable energy access, and improving industrial efficiencies.

Their roles in manufacturing, engineering, construction, and providing power solutions create jobs, stimulate industrial growth, and foster entrepreneurship.

By improving access to electricity and technology, supporting vital sectors like construction, and promoting sustainable energy, these companies elevate economic activity, provide income-generating opportunities, and improve living standards, ultimately helping to reduce poverty in the region.

SDG 2: Zero Hunger

While TransCentury's primary focus isn't directly aligned with agriculture, the company's broader impact on economic growth indirectly supports it. By investing in infrastructure and manufacturing, TransCentury contributes to improving access to markets and transportation networks. This enhances the agricultural supply chain, ensuring that food products can be distributed more efficiently, thereby contributing to food security in the region. Additionally, TransCentury is exploring ventures into agricultural infrastructure, such as storage, irrigation, and harvesting solutions. These efforts will further strengthen the agricultural sector, improving productivity and reducing post-harvest losses.

SDG 6: Clean Water and Sanitation

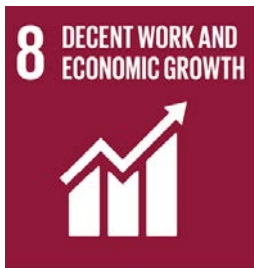
TransCentury is exploring opportunities in the water piping market, considering investments in companies that produce plastic storm drains, drainage pipes, and other types of domestic and commercial piping. These initiatives improve water infrastructure, ensuring access to clean water, and enhancing sanitation facilities, which are essential for public health and well-being.



SUSTAINABLE DEVELOPMENT GOALS



SDGS (Continued)

**SDG 7: Affordable and Clean Energy**

TransCentury's focus includes investing in renewable energy resources, including solar, hydro-electric power, and geothermal power plants. These initiatives promote the generation of clean, affordable energy, reducing reliance on fossil fuels and contributing to a sustainable energy future. The company's exploration of the electric vehicle (EV) market also supports the transition to cleaner energy sources in the transportation sector.

SDG 8: Decent Work and Economic Growth

TransCentury promotes a wide range of employment opportunities across various sectors. The company fosters inclusive employment practices, ensuring equal opportunities, fair wages, and safe working conditions for all employees. By investing in skill development and training programs, TransCentury enhances the employability of the workforce, contributing to sustained economic growth and higher productivity in the region.

SDG 9: Industry, Innovation, and Infrastructure

TransCentury plays a crucial role by investing in sustainable industrialization, manufacturing, and infrastructure projects. The company's involvement in power generation and distribution, as well as its investments in transportation networks like roads and bridges, drives regional industrialization and technological progress. Additionally, TransCentury's commitment to innovation and research fosters a culture of continuous improvement, contributing to the region's technological advancement and industrial growth.

SDG 10: Reduced Inequalities

TransCentury is dedicated to reducing inequalities by fostering inclusivity within the workplace and maintaining employment practices that eliminate discrimination. The company implements diversity hiring initiatives, enforces equal pay for equal work, and upholds anti-discrimination policies. Furthermore, TransCentury promotes women's empowerment through leadership opportunities, mentorship programs, and family-friendly policies, contributing to gender equality and reducing gender-based inequalities.

SDG 13: Climate Action

TransCentury's focus on renewable energy investments addresses climate change. The company's initiatives in solar, hydro-electric, and geothermal power generation contribute to reducing greenhouse gas emissions and promoting the use of clean energy. Additionally, TransCentury's commitment to sustainable industrial practices, including resource efficiency and waste reduction, further supports global efforts to combat climate change and mitigate its impacts.



TRANSCENTURY CAPITALS



Financial capital

TransCentury is currently navigating a transformative phase with a notable sense of optimism regarding its return to profitability. The company's leadership is actively implementing a range of strategies to effectively manage and address its existing debt. These initiatives underline a proactive approach to financial management, demonstrating a commitment to the company's sustained success. In addition to debt management, TransCentury is focused on maximizing operational efficiency and optimizing cash flows within its business operations. By undertaking these measures, the company aims not only to overcome current financial challenges but also to position itself for long-term success, showcasing resilience and adaptability in the face of economic fluctuations. This strategic emphasis on financial capital highlights TransCentury's commitment to securing a robust financial foundation for the future.



Manufacturing Capital

TransCentury is actively harnessing its manufacturing capital to not only create employment opportunities across its diverse businesses but also to strategically position itself in the market. The company is committed to thorough market and regional research, diligently scouting for opportunities that align with its growth objectives. This forward-thinking approach underscores TransCentury's optimism and determination to penetrate new territories, expanding its footprint and contributing to economic development in the regions it operates. In its pursuit of becoming a competitive player in the industry, TransCentury is focused on surpassing competition and emerging as a leader. By leveraging its manufacturing capital to its fullest potential, the company is poised to not only meet but exceed industry standards, demonstrating a commitment to innovation, growth, and sustained success in the manufacturing sector.



Intellectual Capital

TransCentury places a strong emphasis on intellectual capital as a key driver of its success and competitiveness. The company actively engages in continuous research endeavours to expand and update its data banks, ensuring that management can make well-informed decisions based on the latest insights. By investing in state-of-the-art hardware and technology, TransCentury not only facilitates efficient operations but also empowers its employees with the tools necessary for optimal performance. Recognizing the importance of skills enhancement, the company has implemented various training programs aimed at upskilling its workforce. Furthermore, TransCentury is committed to the professional development of its employees, encouraging the pursuit of higher education and rewarding educational milestones. This strategic focus on intellectual capital positions TransCentury as an organization dedicated to knowledge-driven innovation, adaptability, and the ongoing advancement of its workforce.



TRANSCENTURY CAPITALS *(Continued)*

Human Capital



TransCentury places a profound emphasis on human capital, recognizing that the strength of its workforce is fundamental to its success. The company actively encourages and facilitates open channels of communication between employees and management, fostering an environment where ideas are shared, and concerns are addressed. By prioritizing the creation of conducive and comfortable working spaces, TransCentury ensures that its employees can thrive and contribute optimally to the company's objectives. The implementation of team building, and retreat programs further underscores the commitment to unity and bonding among employees. Understanding the pivotal role of a motivated staff, these initiatives aim to build a strong sense of camaraderie within the organization. In addition, TransCentury values and rewards employee loyalty by offering incentives to those whose tenures exceed a certain threshold. This approach not only fosters a sense of belonging but also contributes to the establishment of a dedicated and loyal workforce, ultimately enhancing the company's overall performance and success.

Social capital



TransCentury actively engages in building and leveraging social capital, recognizing its responsibility to contribute positively to the communities it serves. The management has implemented philanthropy and Corporate Social Responsibility (CSR) programs that extend beyond the core business operations. Through these initiatives, TransCentury is committed to making a meaningful impact on society by addressing various social and environmental challenges. The company understands the importance of giving back to the community and aligning its activities with the values and needs of the local populace. By fostering strong relationships with stakeholders and actively participating in community development, TransCentury aims to create a sustainable and mutually beneficial impact. This commitment to social capital not only reflects the company's ethical values but also positions it as a socially responsible corporate entity dedicated to making a positive difference in the broader community.



(TC staff during a past team building retreat)

STAKEHOLDER ENGAGEMENT

At TC, we engage, interact, partner and co-develop solutions with our most relevant stakeholder groups, including collaborative partnerships, customers, employees, governments and civil society, the investment community and suppliers. Stakeholders are defined as individuals and organizations that affect or are affected by the company's business. We actively engage with governments and the local communities in which our products are manufactured and used, with the aim of fostering technological adoption, sound regulatory frameworks, job creation and economic growth.

We are engaged in an ongoing dialogue and close cooperation with our key stakeholder groups to ensure that TransCentury's policies and positions reflect their perspectives. This regular communication is crucial to determining which topics are material for both TransCentury and our stakeholders. In our daily business, we are in continuous contact with customers, employees and suppliers, among others. The transparent dialogue we carry on with investors enables them to make informed and timely investment decisions. We regularly engage with the government, civil society and our collaborative partners.

At TC, internal stakeholders include employees, managers, and the Board of Directors, all of whom play a crucial role in the company's daily operations and decision-making processes. Externally, the company engages shareholders, customers, suppliers, and investors, who drive its growth and financial success. Additionally, government and regulatory bodies ensure compliance, while the media shapes public perception. The community is also an important stakeholder, as the company's operations impact local areas. Creditors and banks provide necessary financial support, further sustaining the company's business activities.

Stakeholder	Reason We Engage	Engagement Channels	Frequency
Shareholders 	• Strategic planning • Financial performance and reporting • Risk management and mitigation strategies • Legal and regulatory compliance	• Annual and Extraordinary General Meetings • Presentations by the Group CEO. • Q&A published on the company website • Annual and Half-Year results published online • Open invitation to shareholders for discussions • Regular updates via press releases and the website • Engagement through mainstream and social media	Annually
Government and Regulators 	• Compliance with regulatory requirements • Tax obligations • Export activities • Employment of staff	• Participation in industry forums • Engagement in public procurement processes and tenders • Advocacy and lobbying • Statutory reporting	Regularly
Customers Investor 	• Securing funding for operations and growth • Establishing strategic partnerships • Enhancing market perception and investor confidence	• Annual and Half-Year results announcements • Group CEO presentations • Continuous updates via mainstream and social media	Daily



STAKEHOLDER ENGAGEMENT *(Continued)*

Stakeholder	Reason We Engage	Engagement Channels	Frequency
Investee 	- Enhancing long-term value and financial performance - Promote clear and open communication - Foster trust and collaboration - Ensure adherence to regulations and standards.	- Quarterly strategy engagement forums - Annual Group and SBU Board retreat - Group wide newsletter. - Company updates/ milestones - Customer satisfaction survey	Daily
Employees 	- Job Security - Equitable compensation and comprehensive benefits - Safe working conditions - Develop skillset	- Staff meetings - Quarterly newsletter Group - CEO communication to staff on topical issues - Health and wellness talks. - Annual team building	Daily
Auditors 	- Facilitate in the pooling of resources - Gaining access to new ideas, innovations, and best practices - Distributing risk across multiple entities - Expanding market reach and accessing new customer segments - Reducing costs	- Product feedback - Individual engagement on a need basis.	Daily
Media 	- Amplify brand message - Build credibility and trust - Gaining insights into industry trends - Demonstrate commitment to social responsibility	- Media Briefings & Press releases. - Interviews on Key announcements or topics. - Industry conferences and forums. - Participation in analysts' forums.	Daily

STAKEHOLDER ENGAGEMENT *Continued*

Shareholder engagement.

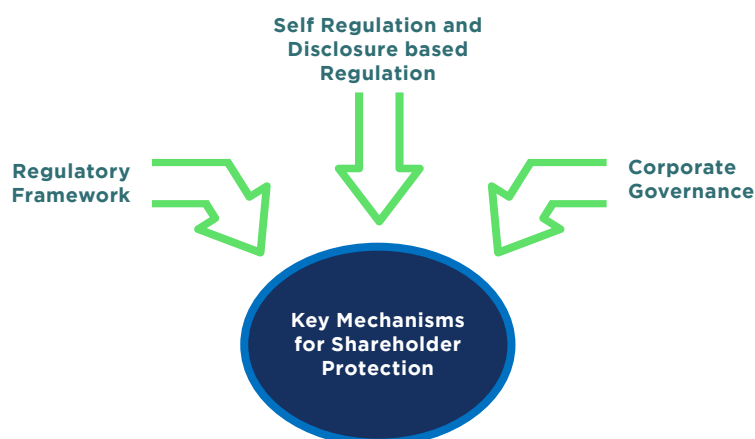
TransCentury PLC's Corporate Governance Framework ensures the equitable treatment of all shareholders. All shareholders have the opportunity to obtain effective redress for violation of their rights.

The TC Board Charter ensures the Board adopts a shareholders' perspective when making decisions and ensuring all shareholders' interests are protected.

TC's Corporate Governance Framework has improved communication and interactions between shareholders, Board Members and Management.

The Board Charter ensures the shareholders are duly accorded with their three basic rights:

- The right to seek information.
- The right to voice an opinion.
- The right to seek redress.



1. Regulatory Framework

- Disclosure requirements under the Capital Markets Authority Act.
- Shareholders' approval required for Related party Transactions and major acquisitions/ disposals.
- Take-over and merger transactions regulated under the Capital Market Authority Act.

2. Self-Regulation

- Integrity and ethical values of Board and top Management
- Requires commitment for transparent, credible, and timely reporting from the Board of Directors and management.

3. Corporate Governance

TC is committed to the highest standards of corporate governance and business ethics and has therefore instituted policies and systems.

STAKEHOLDER ENGAGEMENT *(Continued)*

Shareholder Rights

	Areas of Concern	Engagement Channels
1. Right to seek Information	• Right to know about the price sensitive information of the company. • Right to inspect the register of members. • Right to receive notice of General meetings • Right to be kept fully informed of what is happening in the Company.	• AGM (Attendance) • Electronic Communications (emails/ newsletters and website) • Annual report. • Roadshows. • Media releases. • Site Visits • One on one meetings
2. Right to Voice opinion	• Right to attend general meetings. • Right to be heard and make proposals at shareholders' meetings. • Right to vote and elect directors. • Right to nominate directors • Right to appoint auditors. • Right to receive dividends, if declared.	

Source: TC Board Charter.



(Group Chairman Shaka Kariuki Leads a Pre AGM-Board meeting during a recent AGM)

RISK MANAGEMENT AND CONTROL

Our approach

Transcentury operates in a dynamic and complex environment, characterized by a diverse range of risks that could potentially impact the achievement of our strategic objectives. These risks arise from various factors and therefore we recognize the importance of anticipating and managing these risks proactively.

To mitigate these risks and safeguard the interests of our stakeholders, Transcentury has implemented a robust Enterprise Risk Management (ERM) framework. This framework is designed to identify, assess, and manage risks at every level of the organization. It ensures that risk management is embedded in the decision-making process, helping the company respond effectively to both opportunities and threats, thus enabling us to achieve sustainable growth while minimizing disruptions.

The ERM framework involves continuously identifying emerging risks, assessing their potential impact, and implementing mitigation strategies. This proactive approach allows us to take informed action, whether that involves adjusting our strategies, reinforcing controls, or developing contingency plans. Additionally, the integration of a crisis management and business continuity plan ensures that Transcentury can respond swiftly and effectively in the event of unforeseen disruptions, maintaining operational resilience.

An essential aspect of our risk management approach is the emphasis on strategic alignment. By aligning risk management processes with our corporate strategy, we ensure that every risk is considered in the context of our long-term objectives. By strengthening our resilience in the face of uncertainties, Transcentury remains committed to creating long-term value for our shareholders, and other stakeholders.

Our Risk Management Framework.

We anchor our risk management framework on ISO 31000, which encompasses risk management guidelines, principles, a framework, and a process for risk management. Additionally, we utilize the COSO (Committee of Sponsoring Organizations) framework, which offers a comprehensive structure for the company to evaluate and improve its internal controls, a crucial step in preventing fraud and guaranteeing the accurate reporting of financial data.

The company employs below risk management process.

Risk identification: We list the potential risks based on the categories, i.e., strategic risk, operational risk, financial risk, compliance, and regulatory risks.

Risk assessment: We utilize the risk matrix to visualize the likelihood and impact of each risk, allowing for prioritization.

Risk control: At this level, we implement actions that prevent the risk from occurring in the first place by reducing its probability.

Risk measurement: We use measurable data to understand risk and compare investments to determine risk levels.

Risk monitoring: It is a continuous process that involves tracking the potential threats to a company. It involves regular review of risks, identification of new threats, communicating risk monitoring activities, and considering the tools and techniques appropriate for effective monitoring.

Risk reporting: This involves documenting the organization's most important risks and communicating that information to the senior management and the board.

RISK MANAGEMENT AND CONTROL *(Continued)*

Below is our risk management framework.:



The business does a comprehensive risk assessment once a year to find new and current internal and external hazards. Using these principles has allowed TransCentury to profit in several ways, including:

Innovation and Opportunity Management: Managing risks includes more than just reducing threats; it also entails spotting and seizing opportunities. The Frameworks assist the business in identifying and seizing advantageous risks that may result in expansion and prosperity.

Continuity planning: techniques for guaranteeing our business continuity in the case of unforeseen circumstances are part of our risk management framework. This aids businesses in continuing vital functions in the event of unanticipated losses or emergencies.

Effective Resource Allocation: By setting risk priorities, the business can more effectively spend its time, money, and human resources, making sure that they are focused on the biggest opportunities and dangers.

Long-Term Sustainability: By protecting against possible crises that may otherwise interrupt operations or even result in business failure, effective risk management helps ensure the long-term viability of the organization.

Risk Appetite

This is the amount of risk that the business is prepared to take on or put up with in order to achieve its aims and objectives. The company's risk management structure depends heavily on its risk appetite, which also serves as a guide for risk-taking and decision-making. The following are some of the main factors we consider when assessing risk appetite: Among other things, strategy alignment, risk tolerance, risk culture, and risk category.

Risk Governance

The Board is responsible for ensuring the Group's internal controls and risk management systems are in place to identify, manage, and eliminate risks that may imperil its goals. The appointed board audit committee (BAC) will oversee risk-related concerns.

The BAC is responsible for overseeing TransCentury's risk management approach. They must align with the entity's risk appetite when examining and comparing the portfolio view of risk.

RISK MANAGEMENT AND CONTROL *(Continued)*

Business unit heads are authorized to take risks based on their given authority charts. Material risk information, including adverse movement in risk indicators, is communicated to the Senior management team and submitted to the BAC and Board.

The integrated framework allocates risk management tasks based on the three lines of defence paradigm. The three lines of defence framework promotes a structured and collaborative approach to risk management, providing assurance to stakeholders, improving transparency, and effectively managing risks across the organization with independent oversight.



TransCentury Priority Risks

TransCentury operates in a dynamic business environment driven by current issues and new trends. We present a detailed assessment of our organization's risks and strategic actions to promote resilience and sustainable growth. In reaction to these threats, TransCentury PLC has established a Business Continuity Plan (BCP) to maintain vital functions during disruptions. The BCP includes risk assessments, emergency response plans, communication techniques, and ongoing testing to ensure its effectiveness.

Current Priority Risks:

Strategic Risk: These are potential threats that can significantly impact the company's ability to achieve its long-term goals and objectives. These risks arise from internal and external factors that can disrupt TransCentury's strategy (i.e. Ahidi +32% 2022-2025), competitive position, and overall performance. The company ensures there is management of strategic risks which is critical for sustaining growth, maintaining market relevance, and ensuring long-term success.

Financial market volatility: Fluctuations in the Kenyan economy, such as changes in GDP growth, inflation rates, and currency volatility, has an impact in the demand for infrastructure projects and the company's profitability. TransCentury PLC continuously monitors trends and adapts strategies to navigate uncertainty and safeguard our investment portfolios.

Supply Chain Disruptions: This refers to the potential for interruptions in the flow of goods and services within the company's supply network, which can adversely affect operations, revenue, and reputation. For a company like TransCentury, operating in sectors such as power, transport, and engineering across multiple African countries, efficient supply chain management is crucial to ensure timely project completion and service delivery. Our supply chain resilience activities involve diversification, contingency planning, and close coordination with key partners.

Key personnel Risk: This is recognizing the potential impact of losing essential personnel, TransCentury emphasizes the importance of mitigating 'key man risk.' This involves strategies such as succession planning, leadership development programs, and proper documentation of processes to reduce dependence on specific individuals.

RISK MANAGEMENT AND CONTROL *(Continued)*

Emerging Risks:

Increased inflation and change Monetary policies: Locally, uncertainty about interest rates, inflation, and economic conditions may affect corporate planning and decision-making.

Technology, Information and Cyber risk: Rapid technological breakthroughs present new opportunities and threats. TransCentury PLC is exploring new technologies and monitoring disturbances. Any technological disruptions or failures in these processes could lead to process delays, increased costs, or compromised quality.

Climate Change and Environmental Risks: Environmental sustainability is becoming more important. As climate change affects our investments and operations, we are incorporating environmental factors into our decision-making which includes having a dedicated team that ensures there is adaption of ESG trends.

TransCentury Principal Risks

These are the largest threats to our finances, business plan, and performance. Risk assessment evaluates the possibility of a risk occurring and its financial or strategic implications.

After discussions with each line of business, geography, and key supporting functions, the principal group risks are identified, and mitigating controls are assessed.

The table below lists the organization's main hazards and risk management strategies. The disclosures below summarize TransCentury's priority risks, which are being actively examined by the board and management and are not ranked.

Ranking	Risk	Description	Mitigation strategies
1	Operational Risk	Operational risks arise from internal processes, people, systems, or external events that can disrupt business operations. These risks can impact efficiency, profitability, and business continuity. For a company like TransCentury PLC, which operates in infrastructure investment, energy, transport, and manufacturing, operational risks are particularly significant due to its reliance on complex supply chains, and high-value projects.	This risk is managed by: - Regular safety training and compliance audits. - Clear policies and procedures to ensure gaps are noted - The Executive Board monitors and reviews key performance indicators through staff surveys, external data analysis, and regular client feedback to drive continuous improvement. - Continued practical focus on building people engagement and supporting retention.
2	Compliance and regulatory Risk	This is the risk that the company may fail to comply with laws and regulations which can result in fines, penalties, or reputational damage. This risk also arises from the possibility of being sued by customers, employees, shareholders, regulators, competitors, or other third parties	The company mitigates the risk by; - Ensuring adherence to all applicable laws, regulations, and industry standards. - Implementation of robust internal controls and ethical business practices. - Developing a crisis management plan to respond effectively to litigations - Identify and address compliance gaps proactively. address compliance gaps proactively.

RISK MANAGEMENT AND CONTROL *(Continued)*

3	Liquidity and capital structure risk	This refers to the potential financial instability or adverse effects that a company may face due to its specific mix of debt and equity financing. This risk arises from the possibility that the chosen capital structure may not be optimal for the company's financial health and the potential inability of the company to meet its short-term financial obligations due to insufficient cash flow or limited access to funding.	The company ensures. - Regularly assessing the capital structure while adjusting as needed to help manage risk effectively. - There is a mix of short-term and long-term debt, as well as different types of equity, to reduce reliance on a single source of financing.
4	Asset/ Investment Risk	The risk refers to the potential for financial loss or underperformance associated with investing in various types of assets. This risk arises from the uncertainty inherent in financial markets and the specific characteristics of the assets in which an investor or company has invested.	TransCentury PLC has ensured: - Spreading investments across various asset classes, sectors, and geographic regions can reduce the impact of any single investment's poor performance. - Conducting due diligence when making investment decision - Continuously monitoring the portfolio and rebalancing it to maintain the desired asset allocation and risk level.

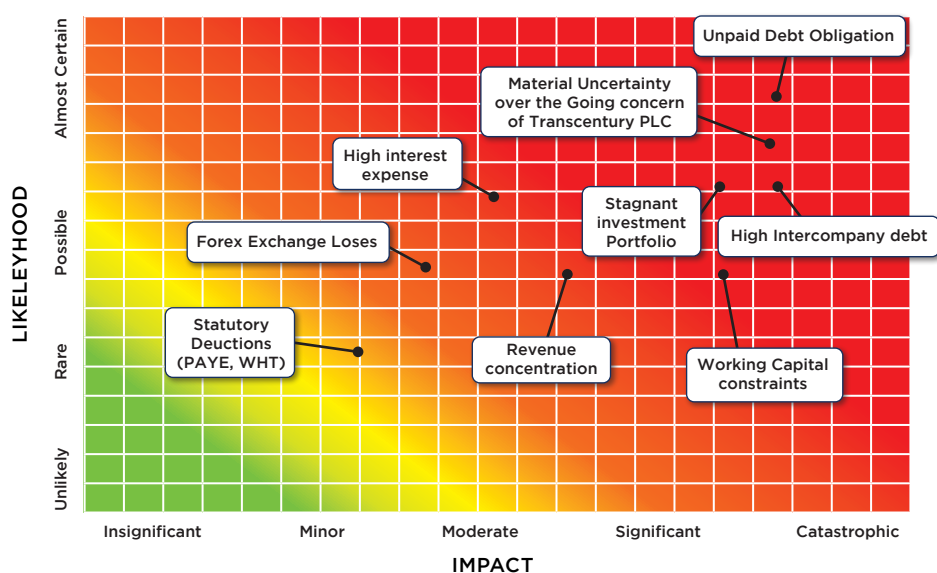
Materiality Matrix

The most pertinent critical risk factors that are consistent with TransCentury's business plan can be found through materiality analysis, which is regarded as a crucial instrument.

When it comes to risk reporting, items that have a considerable impact on the company's economic, social, or environmental performance or that have the potential to significantly affect stakeholders' views and decisions are material (or relevant).

The risk factors should not be considered separately as they may act as triggers or reinforce one another.

RISK MATRIX





OUR VALUE

INNOVATIVE

At TransCentury creating value is our pivotal goal. By valuing you first, we give you the tools and room to create new ideas, methods, and systems giving you the freedom to succeed as we impact Africa.



Achieve together

CORPORATE GOVERNANCE

Our approach to Governance

Corporate Governance is the system organization structure and processes by which we direct and manage our business and affairs with the ultimate objective of realizing long terms shareholder value whilst taking account of the rights and interests of the other relevant stakeholders. It is also a tool we use to assure our key stakeholders that the company's operations are being carried out in a manner that benefits the interest of our company.

Our Corporate Governance framework enables both the Group and its subsidiaries to be integrated through a common understanding of: -

- a) The group's mandates and its roles and responsibilities.
- b) The stakeholders' rights, including those of investors, shareholders and the board.
- c) The delegated authority from the board to the group management and the subsidiary board and management.
- d) The business and working relationships and the reporting arrangements between the group and its subsidiaries.
- e) The group's governance requirements include transparency, access and disclosure of information.

Board Responsibility for Corporate Governance

TC PLC Board is committed to the highest standards of corporate governance, business integrity and professionalism in all its activities. It is its obligation to comply with aspects of the corporate governance code issued by CMA, the company's act and other relevant regulatory requirements. This includes: -

- a) Policies – formulation of policies, procedures and guidelines to ensure implementation and compliance of corporate governance practices.
- b) Compliance – ensuring compliance with laws, regulations and standards on corporate governance.
- c) Shareholder rights - protection of rights of shareholders to ensure equitable treatment of all shareholders
- d) Internal control systems – formulation of internal control system and risk management framework

The Board of Directors Charter

TC PLC Board and Board Committees' operations and stewardship are governed by the Charters that are contained in its Corporate Governance Manual. This manual is well aligned both with the regulatory requirements (The Capital Market Authority of Kenya (CMA) Code of Corporate Governance Practices for Issuers of Securities to the Public and The Companies Act) and internal requirements (Memorandum and Articles of Association).

The manual has in place a framework that facilitates the Board to maintain control of the strategic, financial, operational, risk and compliance issues of the company and to hold management accountable for implementation.

The Board regularly reviews the Corporate Governance Manual to ensure that it is aligned to all developments in regulation, best practice and stakeholders' expectations.

The Board Charter can be accessed on the company's website. www.transcentury.co.ke

The Role of The Board

The board sets the strategic objectives for the group with input from management and oversees management performance, remuneration and governance framework for the group. The board develops a work plan to help ensure that it attends to all its responsibilities.

CORPORATE GOVERNANCE *(Continued)*

The key responsibilities of the board are as follows: -

- Define the company's mission, vision, strategy, goals, risk policy plans and objectives, including approval of its annual budgets.
- Oversee the corporate management and operations, management accounts, major capital expenditures and review corporate performance and strategies at least on a quarterly basis.
- Identify the corporate business opportunities as well as principal risks in its operating environment, including the implementation of appropriate measures to manage such risks.
- Develop appropriate staffing and remuneration policy and procedures.
- Review regularly the adequacy and integrity of the company's internal control, acquisition and divestitures and management information systems, including compliance with applicable laws, regulations, rules and guidelines.
- Establish and implement a system that provides necessary information to the shareholders, including shareholder communication policy for the company.
- Monitor the effectiveness of the corporate governance practices under which the company operates and propose revisions as may be required from time to time.
- Consider the interests of the company's shareholders in its decision-making process.

Separation of roles and responsibilities

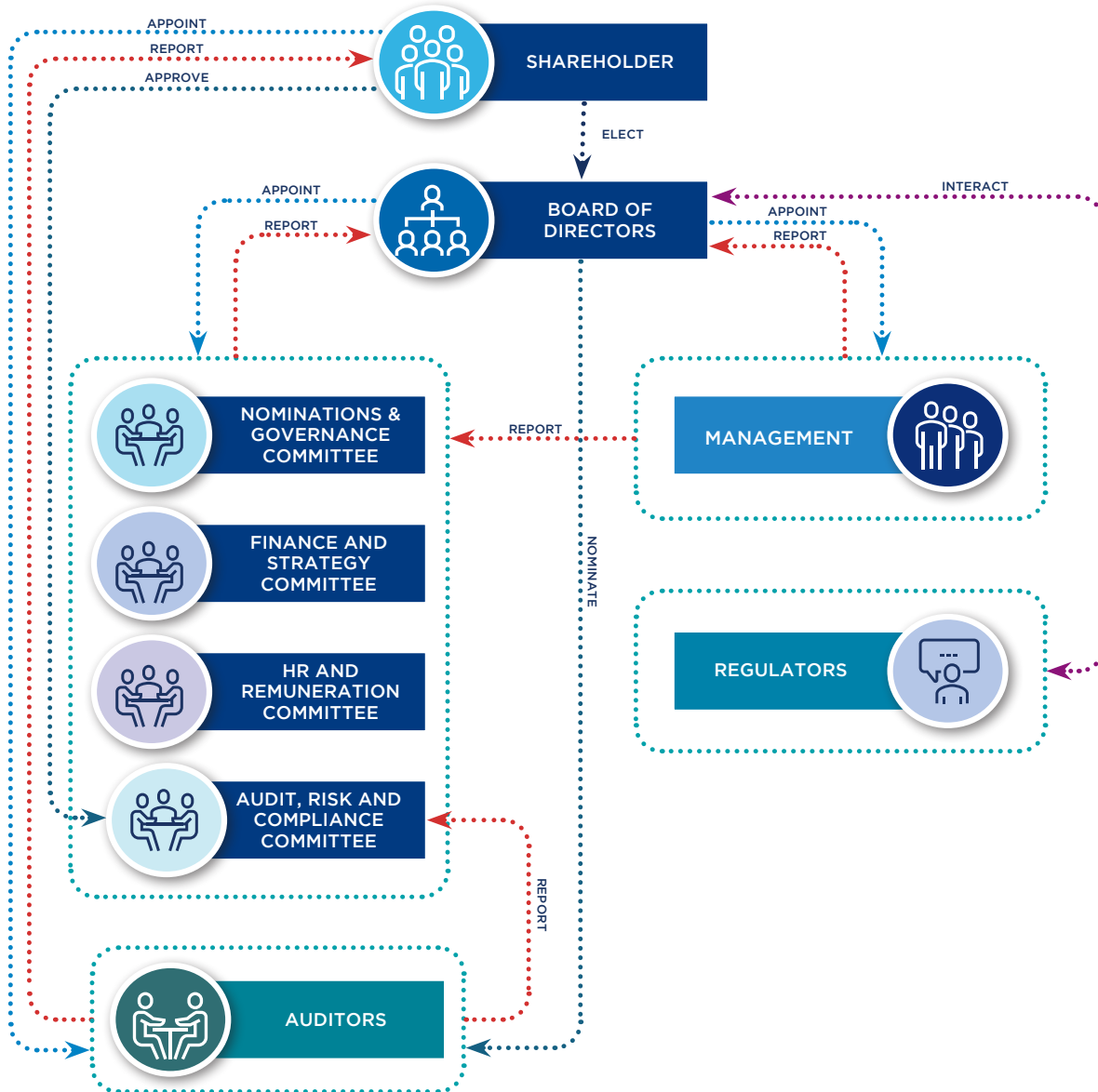
The roles of the Chairman and Group CEO are separated and established with clear division of responsibilities and delegated authority. The Board Chairman; provides leadership to the Board in ensuring the director's focus in providing oversight and clear vision to the Group. Their responsibilities are: -

Chairman	• Enhancing shareholder value and ensuring stakeholders engagement • Ensuring the effective operations of the Board • Establishing the Board agenda for Board meetings and making certain that the Board has all the necessary information for effective decision making. • Ensuring that the Board is well established in line with the pre-requisite skills, knowledge and experience required and that the Board Committees are properly established. • Communicating and consulting with shareholders and relevant stakeholders on significant issues, as appropriate. • Ensuring the effectiveness and development of the Board and individual directors aimed at increasing their awareness of the Company and industry trends, including the applicable legislative framework, to enable them to discharge their duties effectively.
Group CEO	• Ensuring day-to-day management of the business, in line with the company's strategy and long-term objectives approved by the Board. • Providing strategic advice and guidance to the Board and appraising them of any changes relevant to the industry/sector in which the company operates. • Preparing and monitoring business plans • Directing and controlling the work and resources of the company. • Ensuring recruitment and retention of the required numbers and types of well-motivated, trained and developed management staff to ensure the Group meets its vision, mission and objectives.
Company Secretary	Directs, controls, and provides effective and efficient advice to the Board and Management to protect the Company's interests. The Secretary is also charged with the responsibility of coordinating all Board and Board Committee meetings, ensuring that they are properly organized and conducted and implemented in compliance with the Company's Memorandum and Articles of Association and its statutory obligations.



CORPORATE GOVERNANCE *Continued*

Governance Structure.





CORPORATE GOVERNANCE *(Continued)*

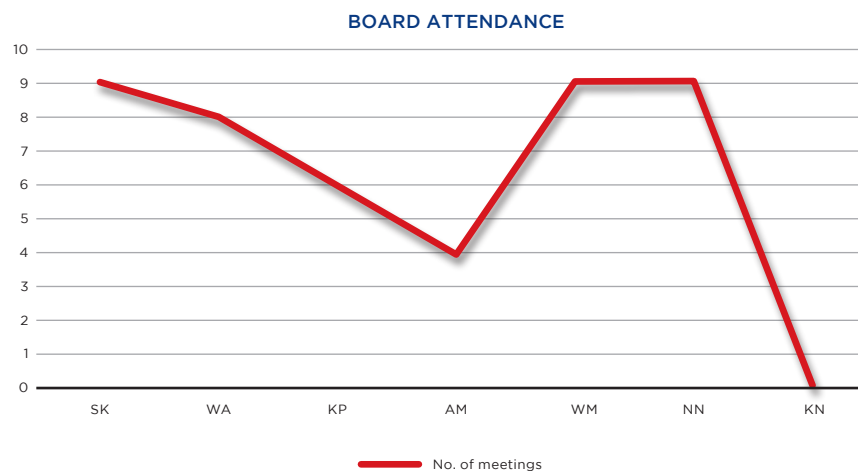
Board Meetings

The board has in place an annual work plan that sets out the board activities in a year. TC PLC Group board meets at least once every quarter and any other time when necessary to consider all matters relating to the overall control of business performance and strategy of the company. The board committees' meetings shall be scheduled before the quarterly board meetings to effectively report to the board the outcome of their respective meetings.

The meeting's agenda is aligned to the workplan, and the Company Secretary sends out the notice together with the detailed board packs in advance for directors' review and reference.

In the year ending 31st December 2023 the Board held 9 meetings as set out in the table below: -

2023 Board Attendance Schedule



Board Committees

To help in discharge of its responsibility, the Board shall ensure the appointment of Board Committees to help it deliver its mandate. The Board Committees in TC PLC are: -

- Finance and Strategy
- Nomination and Governance
- HR and Remuneration
- Audit, Risk and Compliance.

The Board is responsible for ensuring that the committees are appropriately constituted with members who have the necessary skills and expertise to handle the responsibilities allocated to them. The Board reviews the mandate of the committees periodically to ensure relevance.

The Board Committees are constituted and governed by written Charters / Terms of Reference and carry annual assessment on its effectiveness and performance against the set mandate.



CORPORATE GOVERNANCE *Continued*

The table below summarizes the Board Committees in place and the key activities for the year ending December 2023.

Board Committee	Nomination & Governance	Human Resources & Remuneration	Finance & Strategy	Audit, Risk and Compliance
Members	Chairman: Shaka Kariuki Members: Wanjuki Muchemi, Nganga Njiinu	Chairman: Wanjuki Muchemi Members: Shaka Kariuki, Nganga Njiinu	Chairman: Wale Adeosun Members: Shaka Kariuki, Anne Mutahi, Nganga Njiinu	Chairman: Kamal Pallan Members: Anne Mutahi
Key Role	Responsible for ensuring Governance framework is aligned with the regulatory and Group's Corporate Governance guidelines and proper board constitution for effective and strong leadership to foster a positive corporate culture and enhance shareholders confidence.	Responsible for overseeing the human resources policies, establishment and maintenance of the overall remuneration strategy to ensure fair practices and alignment with labour laws.	Responsible for overseeing the financial health and strategic direction of the of the company by guiding the board on financial management, investment strategies, capital allocation, risk management and long-term planning to ensure that decisions align with the company goals and create sustainable value for shareholders	Responsible for maintaining transparency, accountability and integrity, and monitoring all risks are appropriately managed and compliance standards are met.
2023 Activities	• Compliance with various Governance requirements • Directors' recruitment, selection • Board Evaluation • Director's development and training • Governance & Legal Compliance Audit	• Succession Management • Leadership development programs • Review of compensation and benefits programs • Review of Staff establishment and development	• Strategy execution oversight • Review of financial plans and budget • Review of fund-raising activities (rights issue)	• Review of the financial statements • Review of the Risk management framework • Review of the Internal Audit Plan and Audits undertaken within the year • Review of Business Continuity Plan • Review of the Investment Policy and activities



CORPORATE GOVERNANCE *(Continued)*

Board Committee Meetings

COMMITTEES		
Director	No. of meetings	Meetings Attended
NOMINATION & GOVERNANCE		
Shaka Kariuki	4	4
Wanjuki Muchemi	4	4
Nganga Njiinu	4	4
HR & REMUNERATION		
Wanjuki Muchemi	4	4
Shaka Kariuki	4	4
Nganga Njiinu	4	4
AUDIT RISK & COMPLIANCE		
Anne Mutahi	4	4
Kamal Pallan	4	4
FINANCE & STRATEGY		
Wale Adeosun	4	3
Shaka Kariuki	4	4
Anne Mutahi	4	3
Nganga Njiinu	4	4

Appointment, Re-election and Tenure of Directors

The board has in place processes that ensure it remains accountable to shareholders, maintains fresh perspective and balance continuity with need for new expertise. The Nomination and Governance committee therefore is charged with the responsibility of ensuring maintenance of the right mix of skills, experience, gender and independence in the appointment, re-election and succession of directors across the group.

The Nomination and Governance committee screens and presents the selected candidates to the Board. The screening is guided by the company's strategic direction, the candidate's knowledge and abilities, expertise and experience required. Directors representing the majority shareholder are nominated by the shareholder to the committee who verify the qualifications of the nominees before submitting to the Board. After scrutinizing the candidates, the Nomination & Governance Committee proposes the selected candidates to the Board for consideration. Upon endorsement, the Board proposes the nomination to the shareholders for approval of the appointment.

The Corporate Governance Guidelines provides for a tenure of three (3) years of any non-executive director in either TC and/or its subsidiaries, with the potential of further renewal for another 3-year period, giving a maximum of six years in any one company. To ensure planned and progressive refreshing of the Board, the Board has adopted a Board Rotational policy whereby a number of non-executive directors are re-elected each year at the Annual General meeting (AGM), in line with The Articles of Association. At the end of the period, two directors; Mr. Kamal Pallan and Mr Wanjuki Muchemi. Additionally, Director Kariithi Njogu retired in June 2023.



CORPORATE GOVERNANCE *Continued*

Board Skills and Qualifications

There is an established board skills matrix which is crucial in assessing and tracking the collective skills, experience and competences of each board member to ensure that the board has a well-rounded mix of capabilities to oversee the company effectively. This helps the board to visualize its strength and weaknesses, helping them make informed decisions on board composition, succession and governance.

The matrix is regularly reviewed by the Nomination and Governance Committee to ensure that the board continually has the right mixed skills and experience.

The current board skills matrix is as follows: -

Key Skills	S. Kariuki	K. Pallan	W. Adeosun	A. Mutahi	W. Muchemi	N. Njiinu
Years served on TC Board	7	7	7	7	7	8
Age	Below 70	Below 70	70 /above	Below 70	70 /above	Below 70
Gender	M	M	M	F	M	M
Corporate Governance	✓	✓	✓	✓	✓	✓
Business Management	✓	✓	✓	✓	✓	✓
Financial skills	✓	✓	✓	✓	x	✓
Public Affairs	✓	✓	✓	✓	✓	✓
Strategy	✓	✓	✓	✓	✓	✓
Risk management	✓	✓	✓	✓	✓	✓
IT/Technology/AI	✓	✓	x	x	x	✓
Commercial Skills	✓	✓	✓	✓	x	✓
Legal	x	x	x	x	✓	x
Audit	x	✓	x	x	x	x
Investment	✓	✓	✓	✓	✓	✓
Human Resources	✓	✓	✓	✓	✓	✓
Manufacturing	✓	✓	✓	✓	✓	✓
Engineering	✓	✓	✓	✓	✓	✓



CORPORATE GOVERNANCE *(Continued)*

Board Diversity

At TC we embrace diversity and are taking the intentional journey of building an all-inclusive TC. We believe that diversity and inclusion bring about different viewpoints which lead to better decision making, improved performance, enhanced innovation and stronger corporate governance.

The group board is committed to having diverse boards across its subsidiaries and tracks this on a quarterly basis and the gaps identified forms the basis of director recruitment and appointment.

Board Performance Evaluation

To assess its performance and effectiveness, every year the Board reviews its performance and that of its Board Committees and individual directors in line with the provisions of the Company's Governance Guidelines. This helps in ensuring that the board functions effectively, adheres to governance best practices and contributes positively to the company's strategic objectives.

In the year ending 31st December 2023, the Board undertook the annual evaluation of its performance for the Board, Board Chairman, Company Secretary, Group CEO, Board Committee and the Board Committee Chairman. The process was coordinated internally by the Nomination and Governance Committee. It was based on questionnaires looking at the Board's effectiveness in delivery of the Company's Vision, Mission and Strategy, Governance and Board Operations. The questionnaire also reviews the individual Director's contributions to the effectiveness of the Board, application of knowledge and skills and ethical standards.

Directors Induction and Professional Development

All directors are expected to maintain the skills required to carry out their obligations and therefore they are taken through a comprehensive induction, upon joining the board and thereafter comprehensive training on an annual basis.

Through the Nomination and Governance committee the director's development needs are identified in line with the strategic directions of the company, developments within industry, changes in the regulatory requirements and global best practices. Training interventions are then tailored to meet the identified requirements.

On 5th and 6th September 2023, the Directors underwent facilitator-led training on areas of Governance in the era of disruptions and crisis, leveraging on technology and innovation as well as board dynamics.

Whistle Blowing Policy

The company has in place a whistle blowing policy that establishes the process of reporting unethical, illegal or improper activities to ensure the company maintains ethical standards and to prevent new forms of fraud promoting transparency and accountability.

The whistle blowing policy provides a platform for employees, suppliers and other stakeholders to raise concerns in an anonymous manner and ensures confidentiality, legal protection and anti-retaliatory actions.

CORPORATE GOVERNANCE *Continued*

Conflict of interest

In line with the company's conflict of interest policy, Directors are obligated to fully disclose on any real or potential conflict of interest which comes to their attention to maintain, promote and uphold ethical standards.

Before any board meeting or board committee meeting, all directors are required to declare any potential conflict of interest to ensure that business is conducted in a manner that ensures judgment and decision making is not influenced by undue interests. They are also required to declare any conflict of interest at appointment through the Nomination and Governance Committee. The policy was observed in the year ending 31st December 2023.

Code of ethics and conduct

Directors are expected to carry out their duties in a ethical manner as guided by the established code of ethics and conduct framework for TransCentury.

The directors and employees are expected to act with honesty, integrity and fairness in all their dealings. Upon joining the company every employee is provided with a copy of the code of conduct and must commit to abide by its requirements as part of their employment contract.

The code of conduct framework has also been integrated with the company's operations through the development of various policies to ensure compliance.

Access to independent Advice

The Company's Corporate Governance Guidelines provides for the Board, including the committees, to have access and seek independent professional advice from any legal, accounting and other advisors, experts and consultants in order to fulfil its responsibilities and in relation to the company's affairs within its delegated authority. In doing this, the Directors are required to uphold the provisions of confidentiality of information as well as the provisions of the Company's Insider Trading and the Conflict-of-interest policies.

Governance and Legal Compliance Audit

The board is committed to complying with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, in regard to governance audit. The last governance audit carried out in the year 2021, the Board was found to have put in place a sound governance framework that is in compliance with the legal and regulatory framework and in line with global best governance practices for the interest of stakeholders.

In the year 2024, a governance audit and legal compliance audit has been commissioned to assess the governance and legal operations of the company for the period 2022 to 2023.

The company continues to implement the recommendations from the Auditors and CMA in order to improve its level of corporate governance.

OPINION

In our opinion, the Board has put in place a sound governance framework, which is in compliance with the legal and regulatory framework and in line with global best governance practices for the interest of stakeholders. In this regard, we issue an unqualified opinion.

CS. George Athiambo, ICPSK GA. No 198
For: KIRUKI & KAYIKA ADVOCATES

 
Date: 12 December 2021

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FY 2023 SHAREHOLDERS' SUMMARY

FY 2023 SHAREHOLDER'S SUMMARY

	SHAREHOLDER CATEGORY		
RANK	FOREIGN INVESTOR	SHARES HELD	% HELD
1	KURAMO AFRICA OPPORTUNITY KENYAN VEHICLE LTD	835,384,338	74.06
2	STANDARD CHARTERED NOM A/C KE 11993	17,353,617	1.54
3	STANBIC NOMINEES LIMITED NR7522171	10,365,394	0.92
4	STANDARD CHARTERED NOMINEES NON RESD A/C11773	7,355,800	0.65
5	KUNWAR, KAMAL BAHADUR	300,000	0.03
6	SHAH, LALITABEN KANAIYALAL	163,200	0.01
7	AARO, JONAS STEN HENRIK	109,400	0.01
8	TSHOLA, LETLOTLO KABELO	82,200	0.01
9	WILLIAMSON, PHILLIP JOHN	50,000	0.00
10	TAFAWA, JUMAANE AKINTOLA	11,700	0.00
	SUBTOTAL	871,175,649	77.23
	OTHERS	55,100	0.00
	TOTAL	871,230,749	77.23
RANK	LOCAL INDIVIDUAL INVESTORS	SHARES HELD	% HELD
1	ANNE PEARL KARIMI GACHUI	21,412,990	1.90
2	MICHAEL GITAU WAWERU	21,337,380	1.89
3	SAMSON NDINDI NYORO	20,020,000	1.77
4	PETER TIRAS KANYAGO	14,141,387	1.25
5	EPHRAIM KARIITHI NJOGU	12,520,370	1.11
6	GITAU ZEPHANIAH MBUGUA	12,105,752	1.07
7	ROBIN MUNYUA KIMOTHU	10,851,510	0.96
8	STEPHEN NJOROGE WARUHIU	9,862,971	0.87
9	EDWARD NJOROGE	9,552,026	0.85
10	JOSEPH MBUI MAGARI	8,851,595	0.78
	SUBTOTAL	140,656,981	12.47
	OTHERS	88,401,396	7.84
	TOTAL	229,058,377	20.31
RANK	LOCAL INSTITUTIONAL INVESTORS	SHARES HELD	% HELD
1	NAIROBI NOMINEES LTD. A/C J.S. DONOVAN	9,908,260	0.88
2	FRANK NEWTON REAL ESTATE LIMITED	6,760,800	1.80
3	JAMSOLS ENTERPRISES LIMITED	2,631,579	0.70
4	CHASE BANK (KENYA) LIMITED	2,149,700	0.57
5	MBOGORI HOLDINGS LIMITED	1,200,000	0.11
6	MBOGORI LIMITED	727,800	0.06
7	GENGHIS NOMINEES LIMITED A/C 022	401,400	0.04
8	HEPATIC LIMITED	400,000	0.04
9	NJOROGE ENGINEERING WORKS LIMITED	383,000	0.03
10	ZED HOLDINGS LTD	381,744	0.03
	SUBTOTAL	24,944,283	2.21
	OTHERS	2,794,912	0.25
	TOTAL	27,739,195	2.46
	TOTAL ISSUED SHARES	1,128,028,321	100.00
	NUMBER OF SHAREHOLDERS	2,609	



DIRECTORS AND STATUTORY INFORMATION

DIRECTORS

Shaka Kariuki	Group Chairman
Nganga Njiinu	Group CEO
Wale Adeosun	
Kamal Pallan	
Anne Mutahi	
Wanjuki Muchemi	
Kariithi Njogu	Retired on 28th June 2024

PRINCIPAL PLACE OF BUSINESS

Lavington, 48 Apple Cross Road,
Off James Gichuru Road
PO Box 42334
00100 Nairobi GPO

AUDITOR

RSM Eastern Africa LLP
1st Floor, Pacis Centre, Slip Road
Off Waiyaki Way, Westlands
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00606 Nairobi

REGISTERED OFFICE

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ADVOCATES

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SECRETARY

Virginia Ndunge
Certified Public Secretary (Kenya)
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1st Ngong Avenue
P.O. Box 13412
00100 Nairobi

SHARE REGISTRARS

Image Registrars Limited
ABSA Towers, 5th Floor
Loita Street
P. O. Box 9287
00100 Nairobi GPO

PRINCIPAL BANKERS

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Citibank House
P. O. Box 30711
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Equity Bank (Kenya) Limited
Lavington Supreme
P.O. Box 75104
00200 Nairobi

SBM Bank (Kenya) Limited
Riverside Mews, Riverside Drive
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00800 Nairobi

Sidian Bank Limited
K-Rep Centre,
Wood Avenue, Kilimani
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TIB Corporate Bank Ltd
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Dar es Salaam, Tanzania

Ecobank Kenya Limited
Ecobank Towers, 13th Floor.
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DIRECTORS' REMUNERATION REPORT

FOR THE YEAR ENDED 31 DECEMBER 2023

INFORMATION NOT SUBJECT TO AUDIT

Information not subject to audit comprise the Company's Policy on director's remuneration, Contract of service of directors, Statement of voting at the general meeting on directors' remuneration and any substantial changes to director's remuneration during the year.

Executive Directors' remuneration policy

Executive directors are remunerated in accordance with the staff remuneration policy. Their remuneration package comprises a basic salary, pension and other benefits designed to recognize the contribution, skills and experience of executive directors as shown below.

1. Consolidated basic pay

This is the consolidated base salary paid to the Executive Director.

2. Pension contribution

On a Monthly basis, the Company contributes 7.5% of basic pay towards the pension of the Executive Director.

3. Bonus

Executive Directors are entitled to performance-based bonus pay. The bonus is paid based on the performance of the business and on the existing bonus policy. No Bonus was paid during the year.

4. Medical insurance cover

As per Group and Company's Human Resources policy, Executive Directors, like other employees, are entitled to medical insurance cover for their individual and family medical requirements covering both out-patients and in-patients.

5. Group life assurance cover

As provided to all employees, Executive Directors, are entitled to a death in service benefit. This is payable to beneficiaries of the Executive Director at a maximum of five years pay.

During the year 2023, there was no adjustment to the remuneration of the Executive Directors. As per the Group and Company policy on employee compensation, 2023 pay will be dependent on the annual performance appraisals conducted in quarter one of the year.

Substantial changes to directors' remuneration

There were no substantial changes relating to the directors' remuneration made during the year (2022- None).

Contract of service

The Corporate Governance Guidelines provides for a tenure of three (3) years of any non-executive director in either TransCentury PLC and/or its subsidiaries, with the potential of further renewal for another 3-year period, giving a maximum of six years in any one company. To ensure planned and progressive refreshing of the Board, the Board has adopted a Board Rotational policy whereby a number of non-executive directors are re-elected each year at the Annual General meeting (AGM), in line with The Articles of Association. During the AGM held on 25th June 2024 and Mrs Ann Mutahi were re-elected during the AGM.

Statement of voting at general meeting on directors' remuneration

In the last AGM held on 25th June 2024, the shareholders unanimously passed a resolution to approve the directors' remuneration report and the Directors remuneration policy.



DIRECTORS' REMUNERATION REPORT *Continued*

FOR THE YEAR ENDED 31 DECEMBER 2023

Non-Executive Director Remuneration Policy

The fees for Non-Executive Directors are set at a level which is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. The amount of fees reflects the attached responsibility and time commitment. Additional fees are paid for further responsibilities such as chairing committees and sitting on appointed board committees. The value of benefits provided is reasonable in the market context and takes into account the individual circumstances and benefits provided in comparable roles for companies within the Industry.

Information subject to audit (auditable part)

Information subject to audit (auditable part) comprise the amounts of each Company's directors' emoluments and compensation in the relevant years. The following amounts were paid to Directors in the year under review.

(i) Non-Executive Directors' remuneration for the year ended 31 December 2023

Name	Retainer	Sitting allowance	Total	Paid	Payable
Company	KShs'000'	KShs'000'	KShs'000'	KShs'000'	KShs'000'
Shaka Kariuki	3,000	1,680	4,680	-	4,680
Wale Adeosun	1,800	1,040	2,840	-	2,840
Kamal Pallan	1,800	880	2,680	-	2,680
Kariithi Njogu	1,050	-	1,050	735	315
Ann Mutahi	1,800	800	2,600	1,820	780
Wanjuki Muchemi	1,800	1,440	3,240	2,268	972
Total	11,250	5,840	17,090	4,823	12,267

Non- Executive Directors' remuneration for the year ended 31 December 2022

Name	Retainer	Sitting allowance	Total	Paid	Payable
Company	KShs'000'	KShs'000'	KShs'000'	KShs'000'	KShs'000'
Shaka Kariuki	3,000	1,520	4,520	-	4,520
Wale Adeosun	1,800	800	2,600	-	2,600
Kamal Pallan	1,800	880	2,680	-	2,680
Kariithi Njogu	1,800	-	1,800	420	1,380
Ann Mutahi	1,800	1,120	2,920	588	2,332
Wanjuki Muchemi	1,800	1,040	2,840	532	2,308
Total	12,000	5,360	17,360	1,540	15,820

Executive Directors' remuneration for the year ended 31 December 2023

Name	Basic Pay	Pension	Total	Paid	Payable
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000
Nganga Njiinu	33,000	2,475	35,475	35,475	-

DIRECTORS' REMUNERATION REPORT *Continued*

FOR THE YEAR ENDED 31 DECEMBER 2023

Executive Directors' remuneration for the year ended 31st December 2022

Name	Basic Pay	Pension	Total	Paid	Payable
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000
Nganga Njiinu	33,000	2,475	35,475	35,475	-

Approval of the Directors' Remuneration Report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure requirements under the IFRSs Accounting Standards with respect to related parties (see Note 29 to the consolidated and separate financial statements).

By order of the Board,

Virginia Ndunge



Secretary

Date: 20 January 2025



REPORT OF THE DIRECTORS

FOR THE YEAR ENDED 31 DECEMBER 2023

REPORT OF THE DIRECTORS

The directors submit their report together with the audited consolidated and separate financial statements for the year ended 31 December 2023, which disclose the state of affairs of the Group and Company.

1. Activities

The Group's principal activity is investment in power infrastructure, transport infrastructure and engineering industries across Africa.

2. Results

The Group's and Company's results for the year are set out on pages 80 and 81 respectively.

3. Dividends

The directors do not recommend the payment of a dividend (2022 – Nil).

4. Directors

The directors of the Company who served during the year and up to the date of this report are set out on page 11

5. Auditors

The Company auditors RSM Eastern Africa LLP have indicated their willingness to continue in office in accordance with the requirements of the Kenyan Companies Act, 2015.

6. Going concern

The Group and Company incurred a loss of KShs 3,231 million and KShs 1,932 million respectively during the year ended 31 December 2023 (2022 Group KShs 2,776 million, Company KShs 1,219 million), and as of that date, the Group's and Company's current liabilities exceeded its current assets by KShs 19,534 million and KShs 8,201 million respectively (2022 Group KShs 14,741 million and 2022-Company KShs 7,066 million). In addition, the Group's & Company's total liabilities exceeded its total assets by KShs 15,102 million and KShs 4,557 million respectively (2022 KShs 11,877 million and KShs 3,284 million respectively).

The directors are aware of the circumstances giving rise to a material uncertainty which may cast significant doubt about the Group's and Company's ability to continue as a going concern and have disclosed the Group and Company may be unable to realise their assets and discharge their liabilities in the normal course of business. Consequently, the directors have made an assessment of the Group's and Company's ability to continue as a going concern and believe the Group and Company will be a going concern for at least the next twelve months from the date of this statement based on initiatives disclosed in Note 2(f).

7. Relevant audit information

The directors in the office at the date of this report confirm that:

- There is no relevant audit information of which the Group and Company's auditors are unaware, and
- Each director has taken all steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Group and Company's auditors are aware of that information.

REPORT OF THE DIRECTORS *Continued*

FOR THE YEAR ENDED 31 DECEMBER 2023

8. Directors interests

Director's direct interests in the shares of the Company were as follows:

	2023	2022
Name	No. of shares held	No. of shares held
Shaka Kariuki	Nil	Nil
Wale Adeosun	Nil	Nil
Kamal Pallan	Nil	Nil
Kariithi Njogu	12,520,370	12,520,370
Ann Mutahi	Nil	Nil
Wanjuki Muchemi	3,912,671	3,912,671

9. Statement as to disclosure to the Company's auditor

With respect to each director at the time this report was approved:

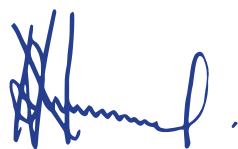
- (a) there is, so far as the director is aware, no relevant audit information of which the Company's auditor is unaware; and
- (b) the director has taken all the steps that the director ought to have taken as a director so as to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

10. Approval of financial statements

The financial statements were approved and authorised for issue at a meeting of the directors on 20 January 2025

By order of the Board

Virginia Ndunge



Secretary

Date: 20 January 2025

STATEMENT OF DIRECTORS' RESPONSIBILITIES

FOR THE YEAR ENDED 31 DECEMBER 2023

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements of TransCentury PLC (Group and Company) set out on pages 80 to 162 which comprise the consolidated and company statements of financial position as at 31 December 2023, the consolidated and company statements of profit or loss and other comprehensive income, the consolidated and company statements of changes in equity, the consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements which include a summary of significant accounting policies and other explanatory information and information identified as subject to audit in the directors remuneration report.

The directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in the circumstances, preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of the consolidated and separate financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the directors are required to prepare consolidated and separate financial statements for each financial year which give a true and fair view of the financial position of the Group and the Company as at the end of the financial year and of the profit or loss of the Group and Company for that year. It also requires the directors to ensure the Group and Company keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in compliance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. The directors are of the opinion that the financial statements give a true and fair view of the financial position of the Group and the Company and of the Group's and Company's profit or loss.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

As at 31 December 2023, the directors are aware of the circumstances giving rise to a material uncertainty which may cast significant doubt about the Group's and Company's ability to continue as a going concern and have disclosed that the Group and Company may be unable to realise their assets and discharge their liabilities in the normal course of business. Consequently, the directors have made an assessment of the Group's and Company's ability to continue as a going concern and believe the Group and Company will be a going concern for at least the next twelve months from the date of this statement based on initiatives disclosed in Note 2(f).

Approval of the financial statements.

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 20 January 2025.



Shaka Kariuki
Director



Nganga Njiinu
Director

Date: 20 January 2025



RSM

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Independent Auditor's Report TO THE MEMBERS OF TRANSCENTURY PLC

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of TransCentury PLC (the Group and Company) as set out on pages 80 to 162, which comprise the consolidated and company statements of financial position as at 31 December 2023, and the consolidated and company statements of profit or loss and other comprehensive income, consolidated and company statements of changes in equity, consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of TransCentury PLC as at 31 December 2023, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to Note 2(f) to the consolidated and separate financial statements, which indicates that during the year ended 31 December 2023, the Group and Company incurred a loss of KShs 3,231 million and KShs 1,932 million respectively and as of that date, the Group's and Company's current liabilities exceeded its current assets by KShs 19,534 million and KShs 8,201 million respectively and the Group's and Company's total liabilities exceeded their total assets by KShs 15,102 million and KShs 4,557 million respectively. In addition, as at 31 December 2023, the Group and Company had outstanding loans of KShs 10,136 million and KShs 4,847 million respectively for which they had breached the loan covenants with the lenders. As stated in Note 2(f), these events or conditions, along with other matters as set forth in Note 2(f), indicate that a material uncertainty exists that may cast significant doubt on the Group's and Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

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Registration number: LLP-3A1VXM, a limited liability partnership under the Limited Liability Partnership Act, 2011.

Partners: Ashif Kassam, Lina Ratansi, Nihla Mazrui, Elvis Ogeto, George Mutua

RSM Eastern Africa LLP is a member of the RSM network and trade as RSM. RSM is the trading name used by the members of the RSM network. Each member of the RSM network is an independent accounting and consulting firm, each of which practises in its own right. The RSM network is not itself a separate legal entity of any description in any jurisdiction.



Independent Auditor's Report

TO THE MEMBERS OF TRANSCENTURY PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements *(Continued)*

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the Material uncertainty related to going concern section, we have determined the matters described below to be the key audit matters to be communicated in our report.

Valuation of unquoted investments in the consolidated and separate financial statements	
See accounting policy Note 2(d)(v) Note 2(e), Note 15(b) and 15(d) to the consolidated and separate financial statements	
Key audit matter	How the matter was addressed in our audit
The valuation of unquoted investments is determined by the Group and Company using valuation techniques which involve the use of significant assumptions and judgments. The judgements and assumptions made include the use of a price to book multiple to estimate fair values of investments. The approach involves assessing the historical return on equity for listed entities in the same sector, assessing the relationship between such returns and the traded market price and then assessing the appropriate price to book multiple to be applied to the subject investment. This has been disclosed at level 2 in the fair value hierarchy. Valuation of unquoted investments is a key audit matter due to the significant judgement involved in calculating the price to book multiple.	Our procedures in this area included: • Used our in-house valuation specialists in assessing the appropriateness of the comparable average price to book multiples applied in the valuation of unquoted investments, by comparing the average price from comparative listed entities to the net assets of the unquoted investments; • Evaluating the net assets data (inputs) used by the Group and Company in determining fair values by directly agreeing the inputs to supporting source documents which included agreeing the inputs of the investee and comparable companies to their respective latest audited financial statements; • Assessing the historical return on equity for selected listed entities in the same sector as the investment, assessing the relationship between the returns and the traded market price and then recomputing the appropriate price to book multiple applied; • Evaluating the mathematical accuracy of the computations by reperforming the computations, including the determination of the comparable average price to book multiple used to determine fair value and comparing our computations to those determined by the Group and Company; and • Evaluating the adequacy of the disclosures made in the consolidated and separate financial statements, including disclosures of key assumptions and judgements.



Independent Auditor's Report

TO THE MEMBERS OF TRANSCENTURY PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements *(Continued)*

Key audit matters *(continued)*

Impairment of trade and other receivables in the consolidated and separate financial statements	
See accounting policy Note 2(d), 4(f)(i), Note 5(a), Note 18 and Note 29 to the consolidated and separate financial statements	
Key audit matter	How the matter was addressed in our audit
The Group trade and other receivables and the Company's intercompany receivables amounted to KSh 5,071 million and KSh 934 million respectively and the group's expected credit losses amounted to KSh 2,777 million as at 31 December 2023. Significant judgment is involved in assessing the recoverability of trade and other receivables and in estimating the expected credit losses (ECL) required to be recognised against the gross trade and other receivables. The key areas where we identified greater levels of management judgement and therefore increased audit focus was the determination of the historical loss rate and the application of forward-looking information to determine the ECL. We determined this area to be a key audit matter in our audit due to the significant judgments involved in determining ECL.	Our procedures in this area included: - Evaluating the Group's and Company's methodology (provisioning matrix) for measuring ECL to determine the appropriateness of the ECL; - Evaluating the mathematical accuracy of the provisioning matrix by agreeing the invoice dates in the aging reports used to develop the matrix to the actual invoice dates and checking the accuracy of the aging of the historical debtor invoices against the invoice dates and comparing to that used in the provisioning matrix and recalculating the historical loss rates using the debtor aging buckets. When any differences were identified, these were discussed with management and resolved; - Challenging management's assessment and inclusion of forward-looking information by evaluating the correlation between the forward-looking information and the historical loss rates; and - Evaluating the adequacy of the disclosures made in the financial statements, including disclosures of key assumptions and judgements.
Valuation of investment in subsidiaries in the separate financial statements	
See accounting policy Note 2(d)(v) and 2(e) and Note 15(c and d) to the separate financial statements.	
Key audit matter	How the matter was addressed in our audit
The Company's investment in subsidiaries as at 31 December 2023 amounted to KSh 3,279 million. Investments in subsidiaries amounting to KSh 2,570 million were determined by the Company using the discounted cash flow method (DCF method), the remainder of the investments in subsidiaries were valued using the fair value of net assets method.	Our procedures in this area included: - Involving our in-house valuation specialists in evaluating the valuation techniques and assumptions used by the Company, in particular, those relating to the cash flow projections, growth rates, terminal values and discount rates used in the valuation model by comparing the growth rates, terminal values and discount rates used to industry trends; - Challenging the key assumption regarding projected growth rates by comparing the growth rates against historical trends, post-balance sheet performance, industry trends and availability of working capital



Independent Auditor's Report

TO THE MEMBERS OF TRANSCENTURY PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements *(Continued)*

Key audit matters *(continued)*

Valuation of investment in subsidiaries in the separate financial statements	
See accounting policy Note 2(e) and Note 15(c and d) to the separate financial statements.	
Key audit matter	How the matter was addressed in our audit
The discounted cash flow method involves the exercise of significant judgement and use of assumptions regarding future performance or growth rates, projected cash flows, terminal values and discount rates used to determine the present value of the cash flows which are subject to significant estimation uncertainties. We determined investment in subsidiaries measured using the DCF method to be a key audit matter because of the significance of the amount and the related estimation uncertainty.	• Evaluating the appropriateness of the discount rate used by comparing the discount rate used to the average cost of capital for similar industries; and • Evaluating the appropriateness of the disclosures made in the financial statements, including key assumptions and judgements.

Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled "TransCentury PLC Annual Report and Financial Statements at 31 December 2023", but does not include the consolidated and separate financial statements, and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRSs and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.



Independent Auditor's Report

TO THE MEMBERS OF TRANSCENTURY PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements *(Continued)*

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



Independent Auditor's Report

TO THE MEMBERS OF TRANSCENTURY PLC (CONTINUED)

Report on the audit of the consolidated and separate financial statements (*Continued*)

Auditor's responsibilities for the audit of the consolidated and separate financial statements (*continued*)

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

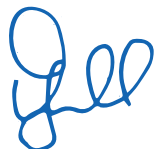
From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that in our opinion:

- (i) The information in the report of the directors on pages 71 to 72 is consistent with the consolidated and separate financial statements; and
- (ii) The auditable part of the Directors' Remuneration Report on pages 68 to 70, has been prepared in accordance with the requirements of the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Elvis Ogeto, Practising Certificate No. 2303.



for and on behalf of RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

20 January 2025



CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2023

		2023	2022
	Note	KShs'000	KShs'000
Revenue	6(a)	6,571,307	5,735,750
Cost of sales	6(c)	(4,719,954)	(4,413,979)
Gross profit		1,851,353	1,321,771
Other income	6(b)	171,205	99,053
Operating expenses	6(c)	(1,666,349)	(1,514,986)
Profit/(loss) before depreciation, impairment, contract liability expense and finance costs		356,209	(94,162)
Impairment losses	6(e)	(451,038)	(456,037)
Depreciation and amortisation	7	(276,571)	(333,636)
Operating loss	7	(371,400)	(883,835)
Exchange losses	8(a)	(1,491,150)	(436,551)
Interest expenses	8(b)	(1,340,915)	(1,379,737)
Net finance costs		(2,832,065)	(1,816,288)
Loss before income tax		(3,203,465)	(2,700,123)
Income tax expense	9(a)	(27,747)	(75,675)
Loss for the year		(3,231,212)	(2,775,798)
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Financial instruments at FVOCI – net change in fair value			
	15(d)	(906)	(97,437)
Re-measurement gain on retirement benefit plan		8,483	7,768
Deferred tax effect		(2,545)	(2,330)
Revaluation of property, plant and equipment and prepaid operating lease rental			
	10&13	-	(80,879)
Related tax	9(a)	-	27,329
		5,032	(145,549)
Items that are or may be reclassified to profit or loss			
Exchange differences on translation of foreign subsidiaries			
		(1,230,045)	1,814,853
		(1,230,045)	1,814,853
Total other comprehensive income net of income tax		(1,225,013)	1,669,304
Total comprehensive income for the year		(4,456,225)	(1,106,494)
Loss after tax is attributable to:			
Equity holders of the company		(3,076,078)	(2,468,527)
Non-controlling interest (NCI)	15(e)	(155,134)	(307,271)
Loss for the year		(3,231,212)	(2,775,798)
Total comprehensive income for the year is attributable to:			
Equity holders of the company		(4,418,155)	(918,775)
Non-controlling interest		(38,070)	(187,719)
Total comprehensive income for the year		(4,456,225)	(1,106,494)
BASIC AND DILUTED EARNINGS PER SHARE (KShs)	23(a)	(2.73)	(6.58)

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.



COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs'000	2022 KShs'000
Income			
Revenue	6(a)	357,136	189,251
Operating expenses	6(c)	(347,044)	(330,314)
Loss before depreciation, impairment and finance costs		10,092	(141,063)
Impairment losses	6(e)	(75,827)	(229,166)
Depreciation and amortisation	7	(3,286)	(928)
Operating loss	7	(69,021)	(371,157)
Foreign exchange loss	8(a)	(1,361,177)	(428,117)
Finance cost	8(b)	(501,212)	(418,574)
Net finance cost		(1,862,389)	(846,691)
Loss before income tax		(1,931,410)	(1,217,848)
Income tax expense	9(a)	(279)	(869)
Loss for the year		(1,931,689)	(1,218,717)
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Financial instruments at FVOCI - net change in fair value	15(d)	(169,753)	369,028
Other comprehensive income		(169,753)	369,028
Total comprehensive income for the year		(2,101,442)	(849,689)

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2023

		2023	2022
ASSETS	Note	KShs'000	KShs'000
Non-current assets			
Property, plant and equipment	10	3,724,522	3,554,186
Investment property	11	259,216	220,169
Right-of-use assets	13(a)	4,265,811	3,770,733
Intangible assets	14	76,329	69,221
Quoted investments	15(a)	205	221
Unquoted investments	15(b)	-	180,000
Deferred tax asset	25(a)	36,834	75,882
		8,362,917	7,870,412
Current assets			
Inventories	17	1,429,112	1,291,110
Trade and other receivables	18(a)	2,843,234	2,680,390
Contract assets	18(b)	169,290	147,625
Tax recoverable	9(d)	168,652	343,889
Cash and bank balances	19(a)	394,173	173,676
		5,004,461	4,636,690
TOTAL ASSETS		13,367,378	12,507,102
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	20	564,014	187,601
Share premium	21	2,324,784	1,873,089
Revenue reserves	22(a)	(17,276,317)	(14,612,220)
Translation reserve	22(b)	(3,586,560)	(2,115,961)
Fair value reserve	22(c)	(41,556)	(40,650)
Revaluation reserve	22(d)	2,622,818	2,502,544
Total equity attributable to equity holders of the company		(15,392,817)	(12,205,597)
Non-controlling interest	15(e)	290,367	328,437
Total equity		(15,102,450)	(11,877,160)

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.



CONSOLIDATED STATEMENT OF FINANCIAL POSITION *Continued*

AS AT 31 DECEMBER 2023

LIABILITIES	Note	2023 KShs'000	2022 KShs'000
Non-current liabilities			
Deferred tax liability	25(b)	749,109	818,474
Lease Liability	13 (c)	84,209	52,194
Liability for staff gratuity	26	57,957	59,371
Preference shares	24(b)	2,253,073	1,641,518
Long term loan – non-current portion	27	786,950	2,434,538
		3,931,298	5,006,095
Current liabilities			
Bank overdraft	19(a)	76,347	63,471
Tax payable	9(d)	24,905	12,502
Trade and other payables	28	8,736,280	7,390,728
Contract liabilities	28(b)	13,052	31,671
Unclaimed dividends		-	952
Long term loan – current portion	27	10,136,151	7,445,152
Bond – current portion	24(a)	1,078,656	837,728
Shareholder loan	24(c)	4,473,139	3,595,963
		24,538,530	19,378,167
Total liabilities		28,469,828	24,384,262
TOTAL EQUITY AND LIABILITIES		13,367,378	12,507,102

The consolidated and separate financial statements on pages were approved and authorised for issue by the Board of Directors on 20 January 2025 and were signed on its behalf by:



Shaka Kariuki
Director



Nganga Njiinu
Director

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.

COMPANY STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2023

ASSETS	Note	2023 KShs'000	2022 KShs'000
Non-current assets			
Property and equipment	10	7,732	1,385
Right-of-use-asset	13(a)	36,247	690
Quoted investments	15(a)	205	221
Unquoted investments	15(b)	-	180,000
Investment in subsidiaries	15(c)	3,279,892	3,449,629
Loans to subsidiaries	16	931,760	724,552
Deferred tax asset	25(a)	914	1,193
		4,256,750	4,357,670
Current assets			
Trade and other receivables	18	894,355	730,539
Tax recoverable	9(d)	15,738	15,738
Cash and bank balances	19(a)	1,718	351
		911,811	746,628
TOTAL ASSETS		5,168,561	5,104,298
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	20	564,014	187,601
Share premium	21	2,324,784	1,873,089
Revenue reserves	22(a)	(9,145,755)	(7,214,066)
Fair value reserve	22(c)	1,699,029	1,868,782
Total equity		(4,557,928)	(3,284,594)
Non-current liabilities			
Long term intercompany loans	27	576,073	576,073
Lease liability	13(b)	37,001	715
		613,074	576,788
Current liabilities			
Trade and other payables	28	973,578	1,286,919
Unclaimed dividends		-	952
Long term loan – current portion	27	4,846,675	3,821,707
Shareholder loan	24(c)	3,293,162	2,702,526
		9,113,415	7,812,104
Total liabilities		9,726,489	8,388,892
TOTAL EQUITY AND LIABILITIES		5,168,561	5,104,298

The consolidated and separate financial statements on pages were approved and authorised for issue by the Board of Directors on 20 January 2025 and were signed on its behalf by:



Shaka Kariuki
Director



Nganga Njiinu
Director

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

2023:	Share capital KShs'000	Share premium KShs'000	Revaluation reserves KShs'000	Translation reserve KShs'000	Fair value reserve KShs'000	Revenue reserves KShs'000	Total KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2023	187,601	1,873,089	2,502,544	(2,115,961)	(40,650)	(14,612,220)	(12,205,597)	328,437	(11,877,160)
Total comprehensive income for the year net of tax									
Loss for the year	-	-	-	-	-	(3,076,078)	(3,076,078)	(155,134)	(3,231,212)
Other comprehensive income									
Remeasurement of defined benefit plan	-	-	-	-	-	5,363	5,363	3,120	8,483
Deferred tax on remeasurement	-	-	-	-	-	(1,609)	(1,609)	(936)	(2,545)
Exchange differences	-	-	-	(1,344,925)	-	-	(1,344,925)	114,880	(1,230,045)
Net change in fair value of Equity instruments at FVOCI	-	-	-	-	(906)	-	(906)	-	(906)
Transfer to translation reserves*	-	-	120,274	(125,674)	-	5,400	-	-	-
Total other comprehensive income	-	-	120,274	(1,470,599)	(906)	9,154	(1,342,077)	117,064	(1,225,013)
Total comprehensive income	-	-	120,274	(1,470,599)	(906)	(3,066,924)	(4,418,155)	(38,070)	(4,456,225)
Transactions with owners of the Company									
Issue of additional shares	376,413	-	-	-	-	-	376,413	-	376,413
Share Premium from issue of shares	-	451,695	-	-	-	-	451,695	-	451,695
Release on disposal of subsidiary	-	-	-	-	-	402,827	402,827	-	402,827
Total transactions with owners of the company	376,413	451,695	-	-	-	402,827	1,230,935	-	1,230,935
Balance at 31 December 2023	564,014	2,324,784	2,622,817	(3,586,560)	(41,556)	(17,276,317)	(15,392,817)	290,367	(15,102,450)

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.

* Relates to translation difference recognised on historical reserves for foreign denominated subsidiaries



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

2022:	Share capital KShs'000	Share premium KShs'000	Revaluation reserves KShs'000	Translation reserve KShs'000	Fair value reserve KShs'000	Revenue reserves KShs'000	Total KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2022	187,601	1,873,089	2,517,248	703,982	56,787	(16,625,529)	(11,286,822)	516,156	(10,770,666)
Total comprehensive income for the year net of tax									
Loss for the year	-	-	-	-	-	(2,468,527)	(2,468,527)	(307,271)	(2,775,798)
Other comprehensive income									
Revaluation of property plant and equipment	-	-	(70,850)	-	-	-	(70,850)	(10,029)	(80,879)
Deferred tax on revaluation of property plant and equipment	-	-	24,329	-	-	-	24,329	3,000	27,329
Remeasurement of defined benefit plan	-	-	-	-	-	4,980	4,980	2,788	7,768
Deferred tax on remeasurement	-	-	-	-	-	(1,493)	(1,493)	(837)	(2,330)
Translation differences	-	-	-	1,690,223	-	-	1,690,223	124,630	1,814,853
Net change in fair value of	-	-	-	-	(97,437)	-	(97,437)	-	(97,437)
Transfer to translation reserves*	-	-	31,817	(4,510,166)	-	4,478,349	-	-	-
Total other comprehensive income	-	-	(14,704)	(2,819,943)	(97,437)	4,481,836	1,549,752	119,552	1,669,304
Total comprehensive income	-	-	(14,704)	(2,819,943)	(97,437)	2,013,309	(918,775)	(187,719)	(1,106,494)
Balance at 31 December 2022	187,601	1,873,089	2,502,544	(2,115,961)	(40,650)	(14,612,220)	(12,205,597)	328,437	(11,877,160)

* Relates to translation difference recognised on historical reserves for foreign denominated subsidiaries
The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.



COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital KShs '000	Share premium KShs '000	Fair value reserve KShs '000	Revenue reserves KShs '000	Total KShs'000
2023:					
Balance at 1 January 2023	187,601	1,873,089	1,868,782	(7,214,066)	(3,284,594)
Loss for the year				(1,931,689)	(1,931,689)
Other comprehensive income for the year					
Net change in equity instruments at FVOCI	-	-	(169,753)	-	(169,753)
Total comprehensive income	-	-	(169,753)	-	(169,753)
Total transactions with owners of the company					
Issue of additional shares	376,413	-	-	-	376,413
Share Premium from issue of shares	-	451,695	-	-	451,695
	376,413	451,695	-	-	828,108
Balance as at 31 December 2023	564,014	2,324,784	1,699,029	(9,145,755)	(4,557,928)
2022					
	Share capital KShs '000	Share premium KShs '000	Fair value reserve KShs '000	Revenue reserves KShs '000	Total KShs'000
Balance at 1 January 2022	187,601	1,873,089	1,499,754	(5,995,349)	(2,434,905)
Total Comprehensive income					
Loss for the year	-	-	-	(1,218,717)	(1,218,717)
Other comprehensive income for the year					
Net change in fair value of equity instruments at FVOCI	-	-	369,028	-	369,028
Total Comprehensive income for the year	-	-	369,028	-	369,028
Balance as at 31 December 2022	187,601	1,873,089	1,868,782	(7,214,066)	(3,284,594)

The notes set out on pages 90 to 162 form an integral part of these consolidated and separate financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs'000	2022 KShs'000
Net cash flows from operating activities			
Loss before taxation		(3,203,464)	(2,700,123)
Adjustment for non-cash items	19(b)	2,475,566	3,232,601
Operating cashflows before working capital changes		(727,898)	532,478
Working capital changes:			
Trade and other receivables		(615,902)	(577,003)
Contract assets		(21,665)	395,754
Inventories		(135,982)	(60,289)
Trade and other payables		1,345,552	(781,762)
Contract liabilities		(18,619)	6,268
Cash used in operations		(174,516)	(484,554)
Income tax paid	9(d)	(126,905)	(106,042)
Gratuity paid	26	-	(707)
Net cash flows used in operating activities		(301,421)	(591,304)
Cash flows from investing activities			
Purchase of property, plant and equipment	10	(54,484)	(37,361)
Purchase of intangible assets	14(a)	(740)	-
Proceeds from disposal of current assets held for sale		-	124,700
Proceeds from disposal of property, plant and equipment		23,248	95,332
Proceeds from disposal of unquoted shares		180,000	-
Net cash flows from investing activities		148,024	182,671
Cash flows from financing activities			
Proceeds from loans and borrowing	27	1,101,017	1,381,956
Repayment of loans and borrowing	27	(1,487,616)	(1,000,272)
Shareholder loan proceeds	24(c)	279,690	308,742
Shareholder loan payments	24(c)	(329,380)	-
Lease interest paid	13(c)	(2,699)	(8,840)
Lease liability payments	13(c)	(4,633)	(28,453)
Partial settlement of convertible bond	24(a)	(23,469)	(246,747)
Proceeds from additional shares		828,108	-
Net cash flows from financing activities		361,018	406,386
Net increase in cash and cash equivalents		207,621	(2,246)
Cash and cash equivalents at 1 January	19(a)	110,205	112,451
Cash and cash equivalents at 31 December	19(a)	317,826	110,205

*Cash and cash equivalents include bank overdrafts that are repayable on demand and form an integral part of the Group's cash management.



CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs'000	2022 KShs'000
Net cash flows from operating activities			
Loss before taxation		(1,931,410)	(1,217,848)
Adjustment for non-cash items	19(b)	1,810,316	800,684
Operating loss before working capital changes		(121,094)	(417,164)
Working capital changes:			
Trade and other receivables		(203,927)	(77,228)
Trade and other payables		(273,231)	222,037
Unclaimed dividends		(952)	-
Cash used in operations		(599,204)	(272,355)
Income tax paid	9(d)	-	-
Net cash flows used in operating activities		(599,204)	(272,355)
Cash flows from investing activities			
Purchase of property and equipment	10	(7,225)	(381)
Loans to related parties		(207,209)	(81,707)
Proceeds from sale of Unquoted investment		180,000	-
Net cash flows used in investing activities		(34,434)	(82,088)
Cash flows from financing activities			
Share holder loans advanced	24(c)	58,924	308,742
Share holder loans payment	24(c)	(329,380)	-
Interest received		80,083	45,547
Lease principle paid	13(c)	(1,678)	(305)
Lease Interest paid	8(b)	(1,052)	(43)
Proceeds from issue of new shares		828,108	-
Net cash flows generated from financing activities		635,005	353,941
Net increase/(decrease) in cash and cash equivalents		1,367	(502)
Cash and cash equivalents at 1 January	19(a)	351	853
Cash and cash equivalents at 31 December	19(a)	1,718	351

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

1. REPORTING ENTITY

TransCentury PLC is a public limited liability company incorporated in Kenya under the Kenyan Companies Act, 2015 and is domiciled in Kenya. The consolidated financial statements of the company as at and for the year ended 31 December 2023 comprise the company and its subsidiaries (together referred to as the “Group”). The separate financial statements are the unconsolidated company financial statements. The address of its registered office is as follows:

Lavington, 48 Apple Cross Road,
Off James Gichuru Road. PO Box 42334
00100 Nairobi GPO

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

2. BASIS OF PREPARATION AND ACCOUNTING

(a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies Act, 2015.

For Kenyan Companies Act, 2015 reporting purposes in these financial statements, the profit or loss is presented by the statement of profit or loss and other comprehensive income and the balance sheet by the statement of financial position. Details of the Group’s and Company’s accounting policies are included in Note 4.

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for the following:

- Equity instruments (quoted and unquoted investments) measured at FVOCI;
- Investment property is measured at fair value;
- Items of property, plant and equipment are measured at revalued amounts; and
- Investments in subsidiaries in separate financial statements are measured at FVOCI.

(c) Functional and presentation currency

These financial statements are presented in Kenya Shillings (KShs), which is also the Company’s functional currency. All financial information presented has been rounded to the nearest thousand (KShs’000) except where otherwise indicated.

(d) Use of judgments and estimates

The preparation of financial statements in conformity with IFRS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of income and expenses during the period. The estimates and assumptions are based on the directors’ best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(d) Use of judgments and estimates (continued)

The key areas of judgement in applying the entities accounting policies are dealt with in the respective accounting policy note or/and disclosure note. Specifically, critical judgements, assumptions and estimation uncertainties are required in the following:

(i) Consolidation

Judgement is required on whether the group has de facto control over an investee (Note 3 (ii)). Judgement is also made during acquisition of subsidiaries where fair value is measured on a provisional basis.

(ii) Lease classification and determination of lease term

As lessees the Group and Company recognise a right-of-use asset and a lease liability at the lease commencement date. The Group and Company have elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases and instead recognise the payment as an expense on a straight-line basis over the lease term. Further details on leases are captured under note 4(f). Management have also assessed the probability of renewing the lease contracts on expiry (for leases with renewal clause) and determined the appropriate incremental borrowing rate.

(iii) Employee benefits

Certain assumptions are made when estimating employee benefits liabilities under gratuity schemes (Note 4 (h)).

(iv) Taxation

Recognition of deferred tax assets requires assessment of future taxable profits against which carry forward tax losses can be used (Note 4(i)).

(v) Impairment tests

Key assumptions underlying recoverable amounts are made in determining carrying amounts of goodwill, receivables, investments in subsidiaries, tangible and intangible assets, investment properties, valuation of unquoted investments etc, especially where indicators of impairment exist (Notes 5a, 6e, 10, 14, 15b, 15c, 18).

(vi) Recognition and measurement of contingencies

Key assumptions are made about the likelihood and magnitude of an outflow of resources (Note 33).

(vii) Revenue recognition

Revenue from construction contracts is recognised over time or at a point in time due to the nature of the work required to be performed on many of the performance obligations, the estimation of total revenue and cost of completion is complex, subject to many variables and requires significant judgment.

Variability in the transaction price arises primarily due to liquidated damages, price variation clauses, changes in scope, incentives, if any. The Group considers its experience with similar transactions and expectations regarding the contract in estimating the amount of variable consideration to which it will be entitled and determining whether the estimated variable consideration should be constrained.

The Group includes estimated amounts in the transaction price to the extent it is probable that a significant reversal of cumulative revenue recognised will not occur when the uncertainty associated with the variable consideration is resolved. The estimates of variable consideration are based largely on an assessment of anticipated performance and all information (historical, current and forecasted) that is reasonably available.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(d) Use of judgments and estimates (continued)

(vii) Revenue recognition (continued)

Contract modifications are accounted for when additions, deletions or changes are approved either to the contract scope or contract price. The accounting for modifications of contracts involves assessing whether the services added to an existing contract are distinct and whether the pricing is at the standalone selling price. Services added that are not distinct are accounted for on a cumulative catch-up basis, while those that are distinct are accounted for prospectively, either as a separate contract, if the additional services are priced at the standalone selling price, or as a termination of the existing contract and creation of a new contract if not priced at the standalone selling price.

Costs to obtain a contract which are incurred regardless of whether the contract was obtained are expensed in the Statement of Profit or Loss immediately in the period in which such costs are incurred. (Note 6 (a)).

(e) Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values for both financial and non-financial assets and liabilities.

The Group has established control framework with respect to the measurements of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair measurements, including Level 3 fair values, and reports directly to the Group Chief Executive Officer (GCEO). Significant valuation issues are reported to the Group's Audit Committee.

When measuring the fair values of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)
- Level 3: inputs for the asset or liability that are not based on observable market data

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Where applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability.

Valuation of unquoted investments and subsidiaries

For unquoted equity instruments and subsidiaries where no active market exists, the Group and Company uses:

Investment in subsidiaries

- Discounted cash flow method (DCF): The discounted cash flow method is used over market multiples because it is systematically affected by market inefficiencies and capital structure differences. The DCF method also considers management views on the business' full potential and is based on the present values of future cash flows anticipated to be generated by the subsidiaries. The future cash flows are estimated based on actual results at the reporting date projected using an anticipated growth rate. The cash flows are then present valued using the weighted average cost of capital as the discount rate.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(e) Measurement of fair values (continued)

Investment in subsidiaries (continued)

- Fair Value of Net Assets Method: The fair value of the net assets in the balance sheet were obtained and used to compute the fair value. The net asset value method represents the market price as at end of the reporting period. Net asset value method is used as East African Cables PLC(EAC PLC) is listed on the Nairobi Securities Exchange. Thus NAV in this case represents the market price on EAC PLC shares as at 31 December 2023. Cable Holdings Kenya Limited is East African Cables parent company.
- Adjusted market values – this is based on market price or most recent price quotations for the subsidiary adjusted for assets or liabilities if any, excluded in the quote or price.

Unquoted investments

- Price to book multiple: The approach involves assessing the historical return on equity for listed entities in the same sector, assessing the relationship between such returns and the traded market price and then assessing the appropriate comparable average price to be applied to the subject company/investment.
- The significant judgments used relate to cash flow projections, growth rates, terminal values and discount rates used in the valuation model.

Valuation of quoted investments

For quoted instruments, the fair value is determined by reference to their quoted market price at the reporting date.

Valuation of investment property

An external, independent valuation company, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued, values the Group's investment property. The fair values are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion. The values adopted in the financial statements are based on professional valuation, performed on a regular basis, by registered valuers.

Valuation of property, plant and equipment

The fair value of property, plant and equipment recognised as a result of a business combination is based on market values on the acquisition date. The market value of property is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably, prudently and without compulsion. The market value of items of plant, equipment, fixtures and fittings is based on the professional valuation on the acquisition date performed by registered valuers on an open market value basis.

(f) Going concern

The Group and Company incurred a loss of KShs 3,231 million and KShs 1,932 million respectively during the year ended 31 December 2023 (2022 Group KShs 2,776 million, Company KShs 1,219 million), and as of that date, the Group's and Company's current liabilities exceeded its current assets by KShs 19,534 million and KShs 8,201 million respectively (2022 Group KShs 14,741 million and 2022-Company KShs 7,066 million). In addition, the Group's & Company's total liabilities exceeded its total assets by KShs 15,102 million and KShs 4,557 million respectively (2022 KShs 11,877 million and KShs 3,284 million respectively).

As disclosed in Note 27 to the consolidated and separate financial statements, the Group and company had breached their loan covenants with lenders and the carrying amount of loans breached on 31 December 2023 was KShs 7,416 million and KShs 4,846 million respectively. The breach had not been remedied as at the date of approval of these financial statements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

In 2023, the senior lender, Equity bank, initiated litigation action against TransCentury plc and East African cables plc, as highlighted below; -

- That on the 8th of June 2023, TransCentury PLC's senior lender (Equity Bank Holdings Limited) issued a demand notice for USD 34,343,806.61.
- That on 16th June 2023, Equity Bank appointed Mr George Weru and Mr Muniu Thoithi as the joint receivers over the affairs of TransCentury PLC.
- That on 19th June 2023, TransCentury PLC, through Nyachoti & Company Advocates, was able to secure an injunction order suspending the appointment of the joint receivers and putting in abeyance their actions.
- That on the same date, the bank filed an application seeking to set aside the injunction order. However, the court, on 26th June 2023, declined to set aside the injunction.
- On 18th October 2024 a temporary injunction restraining the bank from exercising its rights under the debentures for a period of 120 days from the date of the ruling.

These events and conditions indicate that a material uncertainty exist that may cast significant doubt on the Group's and Company's ability to continue as a going concern.

The Group and Company has put in place the following initiatives to ensure that they meet their obligations as and when they fall due:

Debt re-organisation

To address the issue of overdue loan, the Group and Company has continued its engagement with Equity bank who is the main lender on the settlement plan. The Group's proposal entails significant reduction of the outstanding debt through partial disposal of non-core investments and non-core assets. This would allow the business to restructure the debt and allow the Group and Company to generate adequate cashflow to settle overdue debt service obligations in the medium term.

Enhancement of working capital facilities

The Group and company continue to maintain conducive trading terms from its key suppliers of raw materials. The Group and Company has negotiated open trading terms for supplies of main raw materials including copper and aluminium. This initiative has enabled the business to maintain continued flow of raw materials to serve its customer base even with constrained working capital availability. In addition, the Group has moved to a near cash commercial terms in a bid to reduce the cash conversion cycle and generate funds internally.

Collection of long outstanding receivables

The Group and Company has intensified collection of long outstanding receivables to improve liquidity in the business.

Shareholder loan

A shareholder of the Company, Kuramo Africa Opportunity Kenyan Vehicle Limited agreed to subordinate all shareholder loans and signed amended terms for shareholder loans amounting USD 21 million on 8th February 2024 to extend the maturity of the loans to 31 December 2025. The shareholder has also expressed the intent to forgive the company USD 10.5 million.

Further the Group is in discussions with the shareholder to restructure the outstanding shareholder loans.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

(i) Seeking resolution with senior lender.

The Group is working closely with the bank to find an amicable resolution, preferably out-of-court.

The Group is in the process of holding discussions with the bank on; -

- a) The bank's consent on the of shares in an investment, specifically East African Cable Tanzania Limited.
- b) Generation of dividends from the subsidiaries to resolve the debt at TransCentury PLC.
- c) Consideration of conversion of the Group's USD denominated debt facilities to KES denomination

(ii) Debt restructuring and working capital funding.

To address the issue of overdue loans, the Group and Company has engaged KPMG Kenya to lead the debt restructuring discussions and engagement with Equity bank who is the main lender on the debt settlement plan.

(iii) Disposal of non-core assets

The Group is in the process of disposing of some of its non-core assets to generate operating cash flows. The table below summarizes the assets and the status of each.

#	Asset	Expected proceeds. (KShs M)	Status
1	Property and assets in Mombasa, Kenya	250	Currently seeking buyers of remaining two parcels of land
2	Properties in Uganda	789	No sale offer received
3	Machinery in Nairobi, Kenya.	100	Seeking offers
4	Property in Nairobi, Kenya	250	Discussions with potential buyers
	Total	1,389	

(iv) Initiatives Planned to improve profitability and Bridge the Funding gap.

a) Divestiture of Tanzania Subsidiary

The Group Subsidiary East African cables plc owes Equity Bank Kenya Limited KShs 2 billion being a joint borrowing by the Company and its Tanzania Subsidiary. Divestiture from the subsidiary will not only reduce the outstanding debt obligation but will also make the Group leaner for quick turn-around. Post year-end, a Share Purchase Agreement was signed between the Company and a potential buyer pending consents and approvals from regulators and key stakeholders. It is expected that the settlement of the Tanzania portion of the loan, which has been non-performing, will largely cure the default.

b) Debt re-organization

To address the issue of overdue loans, the Group and Company is exploring ways of restructuring the debt. To allow the business time to recover, there is a need for debt re-organization to enable sustainable market development activities, revenue growth and profitability.

c) Working Capital funding

The appointment of Administrator mid-2023, adversely affected disbursement of the much-needed working capital by potential lenders, some of whom had committed. However, the Group and Company continue to seek partnerships for trade facility financing.

Despite the challenges faced in 2023, suppliers and customers have been very supportive of the business. While some key suppliers have offered credit terms for supplies of main raw materials, the business has also managed to convert over 80% of the customers to cash or near cash. These initiatives have enabled the business to maintain a continued flow of raw materials to serve customers better even with constrained working capital.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

(iv) Initiatives Planned to improve profitability and Bridge the Funding gap. (continued)

d) Collaboration with key raw material supplier

Global supply chain disruptions have called for greater partnerships and meticulous planning of consignments with key raw material suppliers. This collaboration has helped the business to deliver on key customer orders, which would otherwise have been impossible without specific raw material financing. Improved relations with key suppliers has also enabled the company to reduce raw materials stock-outs, thereby registering better customer experience.

e) Cash sales and collection of long outstanding receivables

The new route-to-market has enabled the business to collect cash before delivery or a few days after delivery of the goods to the customer. This has not only improved the cash conversion cycle and created a working capital pool but also mitigated the risk of credit defaults. Long outstanding receivables, though impaired in the books, have been a key focus. Various cases are in court for recovery of the old debt.

f) Disposal of non-operating assets

The Group and Company are in the process of disposing some of their non-operating assets to generate operating cashflows. It is projected that this exercise will raise approximately KShs 350 million once concluded.

The directors having considered the initiatives above and information at hand, have concluded that the going concern assumption is appropriate in the preparation of these consolidated and separate financial statements. However, if the group and company are unable to obtain sufficient funds through the ongoing fund-raising process (the rights issue at the ultimate holding company, TransCentury Plc) and the planned disposal of assets described above within the next twelve months from the date of approval of these financial statements, a material uncertainty exists which may cast a significant doubt about the group and company's ability to continue as a going concern and, therefore the group and company may be unable to realise their assets and discharge their obligations in the normal course of business.

(v) Group Improved performance after the reporting period 31 December 2022

The Group performance revenue grew by 14% compared to the current FY 2022, The Performance for 2023. This increase is mainly due to strong revenue growth in EACK and Tanelec Group. The board and management have projected better performance in 2024 as they implement the debt settlement and restructuring.

(vi) Assignment of projects

The Group, through its subsidiary, Civicon Limited, has banking facilities held at Equity bank comprising of performance bonds and advance payment guarantees issued for construction projects. The Group has significantly reduced these facilities following recoveries from commissions due to Civicon on the assigned projects.

The Group has reassigned projects and expects that the remaining facilities will be reduced through recoveries from commissions on the ongoing assigned projects. The performance guarantees of all assigned projects are valid.

Management was able to secure an amicable exit, which has resulted in passing the contingent performance risk to the assignees with performance bonds of KShs 700 million now extinguished.

By December 2023 the advance payment liability whose original sum was KShs 1,020 million stands at KShs 679 million following retirement from assignment commissions agreed with the assignee and the employer.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

(vi) Assignment of projects (continued)

The Group has considerable financial resources together with established business relationships with many customers and suppliers. Therefore, the Directors believe that the Group is well placed to manage its business risks successfully for at least 12 months from the date of approval of the financial statements.

(vi) Assignment of projects (continued)

The directors, having considered the initiatives above and information at hand, are confident that the going concern assumption is appropriate in the preparation of these audited consolidated and separate financial statements. The audited consolidated and separate financial statements have therefore been prepared based on accounting policies applicable to a going concern which presumes that funds will be available to finance future operations and that the realization of assets and settlement of liabilities will occur in the ordinary course of business.

3. BASIS OF CONSOLIDATION

(a) Business combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

If share-based payment awards (replacement awards) are required to be exchanged for awards held by the acquiree's employees (acquiree's awards), then all or a portion of the amount of the acquiree's replacement awards is included in measuring the consideration transferred in the business combination. The determination is based on the market-based measure of the replacement awards compared with the market-based measure of the acquiree's awards and the extent to which the replacement awards relate to pre-combination service.

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement in the investee and has the ability to affect those returns through its power over the investee. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

3. BASIS OF CONSOLIDATION (Continued)

(b) Subsidiaries

The consolidated financial statements include the company and its subsidiaries. The significant subsidiaries are as follows:

Subsidiary	Country of incorporation	2023 % Audited	2022 % Audited
Cable Holdings Limited	Kenya	100	100
East African Cables PLC	Kenya	68.4	68.4
East African Cables Tanzania Limited*	Tanzania	35	35
AEA Limited	Kenya	94.4	94.4
TransCentury Holdings (Pty) Limited	South Africa	100	100
Tanalec Limited	Zambia	56	56
Tanelec Limited	Tanzania	70	70
Crystal Limited	Tanzania	100	100
TC Mauritius Holdings Limited	Mauritius	100	100
Cable Holdings Mauritius Limited	Mauritius	100	100
TC Engineering and Contracting Limited	Mauritius	100	100
TC Railway Holdings Limited	Mauritius	100	100
Safari Rail Company Limited	Mauritius	100	100
Civicon Africa Group Limited	Mauritius	100	100
Civicon DRC Holdings Limited	Mauritius	100	100

*The Group through its subsidiary East African Cables PLC owns 51% of East African Cables Tanzania Limited as follows (TransCentury PLC owns 68% of East African Cables PLC which owns 51% of East African Cables (Tanzania) Limited) ($0.68 \times 0.51 = 0.35$).

In the company financial statements, investments in subsidiaries are measured at fair value.

(c) Non-controlling interests

Non-controlling interests (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date. When the proportion of the equity held by non-controlling interests' changes, the Group adjusts the carrying amounts of the controlling and non-controlling interests to reflect the changes in their relative interests in the subsidiary. The Group recognises directly in equity any difference between the amount by which the non-controlling interests are adjusted, and the fair value of the consideration paid or received, and attribute it to the owners of the parent.

(d) Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(e) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated and separate financial statements are set out below and have been consistently applied to all periods presented in these financial statements and by Group entities, except where indicated otherwise:

(a) Revenue recognition

Revenue from sale of goods and provision of services is recognized in the profit or loss when the control over goods or services has been transferred to the buyer, the customer has accepted the product and recoverability of the related receivables is reasonably assured. Revenue represents the fair value of the consideration receivable for sale of goods and provision of services and is stated net of value-added tax (VAT), rebates, returns and discounts.

The Group and Company applies IFRS 15 Revenue from Contracts with Customers as required. The core principle of IFRS 15 is that an entity will recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. This core principle is delivered in a five-step model framework:

- Identify the contract(s) with a customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract
- Recognise revenue when (or as) the entity satisfies a performance obligation.

The Group satisfies a performance obligation and recognises revenue over time, if one of the following criteria is met:

- The customer simultaneously receives and consumes the benefits provided by the Group's performance as the Groups performs; or The Group's performance creates or enhances an asset that the customer controls as the asset is created or enhanced; or
- The Group's performance does not create an asset with an alternative use to the Group and the entity has an enforceable right to payment for performance completed to date.
- For performance obligations where one of the above conditions are not met, revenue is recognised at the point in time at which performance obligation is satisfied.

When the Group satisfied a performance obligation by delivering the promised goods or services it creates a contract asset based on the amount of consideration earned by the performance. Where the amount of consideration received from a customer exceeds the amount of revenue recognized this gives rise to a contract liability.

(b) Translation of foreign currencies

(i) Foreign currency transactions

Transactions in foreign currencies are translated to the functional currency of each entity at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit or loss within finance cost, except for differences arising on the retranslation of the financial statements of foreign subsidiaries that are recognised in other comprehensive income and a separate reserve in equity.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(ii) Foreign operations

The consolidated financial statements are presented in Kenya Shillings, which is the group's presentation currency. Each entity in the group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

As at the reporting date, the assets and liabilities of foreign subsidiaries are translated into Kenya Shillings at the rate of exchange ruling at the reporting date, and their Statement of profit or loss and other comprehensive income are translated at the weighted average exchange rates for the period. Exchange differences arising on translation are recognised in other comprehensive income and accumulated in equity in the translation reserve. On disposal of a foreign entity, the deferred cumulative amount recognised in equity relating to that particular foreign operation is recognised through other comprehensive income into profit or loss.

Foreign exchange gains and losses arising from a monetary item receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely in the foreseeable future, are considered to form part of a net investment in a foreign operation and are recognised directly in equity.

(c) Property, plant and equipment

Items of property, plant and equipment are stated initially at historical cost. Subsequently, property, plant and equipment are measured at historical costs less accumulated depreciation and impairment losses, other than freehold land, buildings, plant and machinery that are subsequently carried at revalued amounts less accumulated depreciation and impairment losses.

The revaluation is performed by a professional valuation expert after every five years, and the resulting surplus is recognised in other comprehensive income (OCI) and accumulated in equity under the revaluation reserve. A revaluation increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. Any revaluation deficits are recognised in profit or loss unless there exists a credit in the revaluation reserve for that asset, in which case they are recognised in OCI.

Cost includes expenditure that is directly attributable to acquisition of the asset. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Any gain or loss on disposal of an item of property, plant and equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss.

Subsequent expenditure is only capitalised when it is probable that the future economic associated with the expenditure will flow to the Group. Ongoing repairs and maintenance are expensed as incurred.

Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. Land is not depreciated. The annual rates of depreciation used for the current and comparative periods are as follows:

- Freehold buildings 2% - 5%
- Buildings 2% or over the lease period if shorter than 50 years on acquisition
- Plant, machinery and equipment 5% - 13%
- Furniture, fixtures, fittings, motor vehicles and computers 12.5% - 33%
- Heavy Commercial Vehicles 37.5%
- Right of use asset Over lease period or useful life is shorter

The assets' residual values, depreciation methods and useful lives are re-assessed and adjusted as appropriate at each reporting date. When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(d) Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment property is measured at fair value at every reporting date with any change therein recognised in profit or loss.

Any gain or loss on disposal of an investment property (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

When the use of a property changes such that it is reclassified as property, plant and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

(e) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group and Company use the definition of a lease in IFRS 16.

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group and Company allocate the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group and Company have elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group and Company recognise a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received. Subsequently, the right of use asset relating to leasehold land is measured at revalued amounts less accumulated depreciation and impairment while other right of use asset are subsequently carried at historical cost less accumulated depreciation and impairment. Revaluation is carried out at least after every five years.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group and Company by the end of the lease term or the cost of the right-of-use asset reflects that the Group and Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group and Company use its incremental borrowing rate as the discount rate.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(e) Leases (continued)

(i) As a lessee (continued)

The Group and Company determine their incremental borrowing rate by obtaining interest rates from various external financing sources and make certain adjustments to reflect the terms of the lease and type of the asset leased. Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments.
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group and Company are reasonably certain to exercise, lease payments in an optional renewal period if the Group and Company are reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group and Company are reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's and Company's estimate of the amount expected to be payable under a residual value guarantee, if the Group and Company change their assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group and Company present right-of-use assets that do not meet the definition of investment property and lease liabilities as separate lines in the statement of financial position.

Short-term leases and leases of low-value assets

The Group and Company have elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group and Company recognise the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Group and Company allocate the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

When the Group and Company act as a lessor, they determine at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group and Company make an overall assessment of whether the lease transfer substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group and Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Group and Company are intermediate lessors, they account for their interests in the head lease and the sub-lease separately. They assess the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group and Company apply the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, then the Group and Company apply IFRS 15 to allocate the consideration in the contract.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(e) Leases (continued)

(ii) As a lessor – continued

The Group applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Group and Company further regularly review estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other revenue'.

Generally, the accounting policies applicable to the Group and Company as a lessor in the comparative period were not different from IFRS 16 except for the classification of the sub-lease entered into during current reporting period that resulted in a finance lease classification.

(f) Impairment

(i) Non-derivative financial assets

Financial instruments and contract assets

The Group and Company recognises loss allowances for Expected Credit Losses (ECLs) on financial assets and contract assets measured at amortised cost. The Group measures loss allowances at an amount equal to lifetime ECLs, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition. Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset and contract asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group and Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due. The Group and Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group and Company is exposed to credit risk.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(f) Impairment (continued)

(i) Non-derivative financial assets – continued

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive). Under the ECL model, the Group and Company calculate the allowance for credit losses for trade and other receivables and contract assets using a provisioning matrix by determination of the historical loss rates through the debtor aging buckets and adjusting the loss rates with the impact if any, of forward-looking information to obtain adjusted historical loss rates that is applied to outstanding receivables at the reporting date to determine ECL.

At each reporting date, the Group assesses whether financial assets and contract assets carried at amortised cost and debt securities at Fair Value Through Other Comprehensive Income (FVOCI) are credit impaired.

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 90 days past due;
- the restructuring of a loan or advance by the Company on terms that the Group and Company would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Presentation of allowance for ECL in the statement of financial position Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets. For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in Other Comprehensive Income (OCI).

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery.

The Group and Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(f) Impairment (continued)

(ii) Non-financial assets

The carrying amounts of the Group's and Company's non-financial assets, other than investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. Goodwill is tested annually for impairment. An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. An impairment loss in respect of goodwill is not reversed.

(g) Inventory

Cost of inventories includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their present location and condition.

Work in progress and manufactured finished goods are valued at production cost including direct production costs (cost of materials and labour) and an appropriate proportion of production overheads and factory depreciation. The cost of inventory is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, inventories are written down to net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and selling expenses.

(h) Employee benefits

(i) Defined contribution plans

Some employees of the Group and Company are eligible for retirement benefits under defined contribution plans provided through separate fund arrangements.

Contributions to the defined contribution plan are charged to the profit or loss as incurred.

(ii) Staff gratuity

Unionisable staff for East African cables PLC, Tanelec Limited and Civicon Limited are eligible to gratuity upon retirement based on the terms stipulated in the respective Collective Bargaining Agreements. These are provided to eligible employees based on each employee's length of service with the Group, as provided for in the collective bargaining agreement. The Group also provides for long service award to staff based on length of service.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(h) Employee benefits (continued)

(ii) Staff gratuity – continued

The cost of providing service gratuity which is considered as defined benefit plan is determined by a professional actuary using the projected unit credit method at the end of each reporting period.

Re-measurements, comprising actuarial gains and losses are recognized immediately in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The Group recognises the following changes in the net defined benefit in profit or loss as:

- Service costs comprising of current service costs recognised in profit or loss under cost of sales.
- Net interest expense or income recognised in profit or loss under cost of sales.

(iii) Leave accrual

The monetary value of the unutilised leave by staff as at year end is recognised as an expense in the year and carried in the accruals as trade and other payables.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group and Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy.

Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(i) Taxation

Tax on the operating results for the year comprises current tax and change in deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that it relates to items recognised directly in equity or other comprehensive income. Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for tax purposes. Deferred tax is not recognised for:

- temporary differences relating to the initial recognition of assets or liabilities which affect neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future;
- temporary differences in relation to a right-of-use asset and a lease liability for a specific lease are regarded as a net package (the lease) for the purpose of recognising deferred tax; and
- taxable temporary differences arising on the initial recognition of goodwill.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profit will be available against which the tax asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax is measured at the tax rates that are expected to apply to temporary differences when they reverse, on the basis of the tax rates enacted or substantively enacted at the reporting date.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(j) Cash and cash equivalents

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term highly liquid deposits with a maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purposes of the statement of cash flows, cash and cash equivalents comprise of cash in hand, bank balances, and short-term deposits net of bank overdrafts.

(k) Share capital

Incremental costs directly attributable to the issue of ordinary shares, net of any tax effects are recognised as a deduction to equity. Any premium received over and above the par value of the shares is classified as “share premium” in equity.

(l) Earnings per share

The Group and Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(m) Related party transactions

The Group and Company discloses the nature, volume and amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(n) Dividends

Dividends are recognised as a liability in the period in which they are declared.

(o) Financial instruments

Financial instruments include balances with banks, trade and other receivables, balances due from and to related parties, loans receivable or payable, shareholders loan, bond and trade and other payables.

(i) Recognition and initial measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Classification and subsequent measurement

A financial instrument is a contract that gives rise to both a financial asset for one enterprise and a financial liability of another enterprise.

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(o) Financial instruments (continued)

(ii) Classification and subsequent measurement - continued

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets – Business model assessment

The Group and Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group and Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse features).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(o) Financial instruments (continued)

(ii) Classification and subsequent measurement (continued)

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest (continued)

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract.

Additionally, for a financial asset acquired at a discount or premium to its contractual amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(p) Assets held for sale

Non-current assets or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale or distribution than through continuing use are classified as held for sale or distribution. Immediately before classification as held for sale or distribution the assets or components of a disposal group are measured in accordance with the Group's accounting policies. Thereafter the assets or disposal group are generally measured at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis.

Impairment losses on initial classification as held for sale or distribution and subsequent gains and losses on re-measurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss. Once classified as held for sale or distribution, assets are no longer amortised or depreciated, and any equity-accounted investee is no longer equity accounted.

(q) Intangible assets and goodwill

(i) Goodwill/premium on acquisition

All business combinations are accounted for by applying the acquisition method when control is transferred to the group. Goodwill represents the difference between the consideration transferred and the fair value of the net identifiable assets acquired and NCI at proportionate value. Goodwill is measured at cost less any accumulated impairment losses. Goodwill is allocated to cash-generating units and is tested annually for impairment and once goodwill is impaired the impairment is not reversed.

Bargain purchase arising on an acquisition is recognised directly in profit or loss.

(ii) Computer software

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on a straight-line basis over the expected useful lives for a period of 3 to 5 years

(r) Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year and changes in accounting policy.

(s) Segment reporting

The Group operating segments are identified on the basis of internal reports as regularly reviewed by the chief operating decision maker in order to allocate resources to the segments and to assess their performance. The Group organizes its activity by business division and these are defined as the Group's reportable segments. The two business segments are Power and Engineering (see Note 30).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

4. SIGNIFICANT ACCOUNTING POLICIES (Continued)

(t) New standards, amendments, and interpretations

(i) New standards, amendments and interpretations adopted during the year

The Group and the Company has adopted the following new standards, amendments to standards during the year ended 31 December 2023 including consequential amendments to the standards with the date of initial application by the group and company being 1 January 2023

Standard	Effective date
- Classification of Liabilities as Current or Non-current (Amendments IAS 1)	1 January 2023
- IFRS 17 Insurance Contracts and amendments to IFRS 17 Insurance Contracts	1 January 2023
- Disclosure of Accounting Policy (Amendments to IAS 1 and IFRS Practice Statement 2).	1 January 2023
- Definition of Accounting Estimate (Amendments to IAS 8).	1 January 2023
- Deferred Tax Related to Assets and Liabilities Arising from a Single Transaction – (Amendments to IAS 12 Income Taxes)	1 January 2023

The above amendments did not have material impact on the financial statements of the group and company

(ii) New standards, amendments and interpretations issued but not effective for the year ended 31 December 2023

A number of new standards, amendments to standards and interpretations have been issued are not effective for year ended 31 December 2022 and have not been applied in preparing these financial statements. The Company and Group does not plan to adopt these standards early. These are not expected to have a significant impact on the financial statements of the Company and Group. These are summarised below:

Standard	Effective date
- Sale or Contribution of Assets between an Investor and its Associate or Company (Amendments to IFRS 10 and IAS 28).	Optional
- Lease Liability in a Sale and Leaseback	1 January 2024
- Non-current Liabilities with Covenants	1 January 2024

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group and Company have exposure to the following risks from its use of financial instruments:

- (a) Credit risk;
- (b) Liquidity risk; and
- (c) Market risk.

This note presents information about the Group and Company's exposure to each of the above risks, the Group and Company's objectives, policies and processes for measuring and managing risk, and the Group and Company's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

The Board of Directors has overall responsibility for the establishment and oversight of the Group and Company's risk management framework. The finance department identifies, evaluates and hedges financial risks.

The Board of Directors oversees how management monitors compliance with the Group and Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group and Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Group and Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group and Company's receivables from customers.

The carrying amount of financial and contract assets represents the maximum exposure to credit risk:

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Loans to subsidiaries (Note 16)	-	-	931,760	724,552
Trade receivables (Note 18(a))	2,260,225	1,845,825	-	-
Sundry receivables	2,080,954	1,488,508	179,472	60,382
Contract assets (Note 18(b))	-	147,625	-	-
Staff debtors (Note 18(a))	3,587	1,883	1,088	1,705
Due from related parties (Note 18)	-	-	753,906	668,461
Bank balances (Note 19)	393,934	173,607	1,682	351
	4,738,700	3,657,449	1,867,908	1,455,451

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Impairment losses

Trade receivables & Intercompany receivables

The ageing of trade receivables and contract assets and amounts due from and loans to related parties at the reporting date was:

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Not past due	1,019,242	642,761	121,367	35,922
Past due 0 – 90 days	838,823	527,023	111,747	35,922
Past due 91 – 365 days	228,624	245,100	71,843	71,843
More than one year	2,984,990	2,779,942	4,333,307	4,333,307
	5,071,679	4,194,826	4,638,264	4,476,994
Net impairment	(2,777,135)	(2,393,424)	(3,884,358)	(3,808,532)
	2,294,544	1,801,402	753,906	668,462

Management believes that sufficient impairments provisions have been made. The unimpaired amounts that are past due are still collectible in full, based on historical payment behaviour and extensive analysis of customer credit risk, including underlying customers' credit ratings.

Loss rates are based on actual credit loss experience over the past 24 months, current conditions plus the Group's view of economic conditions such as inflation, commercial bank interest rates and growth in the economy's gross domestic product.

The Group and Company considered whether the borrowers would repay the loan amounts if demanded at the reporting date as well as the expected manner of recovery to measure the expected credit loss. Where the recovery strategies indicate that the Group and Company would fully recover the outstanding balance of the loan, the expected credit loss is limited to the effect of discounting if the amount is not interest free. The Group impairment loss amounting KShs 453,477 was recorded in the year (2022– KShs 441,474) while the Company impairment loss of KShs 75,827 was recorded in the year (2022 – KShs 229,166).

Cash and cash equivalents

The Group and Company held cash and bank balances of KShs. 394,173,000 and KShs. 1,718,000 respectively (2022 – Group: KShs. 173,607,000 and Company: KShs. 351,000). The cash and bank balances are held with banks and financial institution counterparties, which are rated between A1 to Ba1, based on GCR, S&P and Moody's ratings.

Impairment on cash and cash equivalents has been measured on a 12month expected credit loss basis and reflects the short maturities of the exposures. The Group and Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

Movement in allowance for impairment

The movement in the allowance for impairment in respect of trade and other receivables and intercompany loans during the year was as follows.

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Balance at 1 January	2,393,424	2,029,626	3,808,531	4,001,352
Impairment losses				
- trade and other receivables	453,477	441,474	-	-
- due from related parties	-	-	75,827	229,166
intercompany loans	-	-	-	-
Write offs	-	-	-	-
Sub-total	453,477	441,474	229,166	611,093
Bad debt write-back	(69,766)	(77,676)	-	(421,987)
Balance at 31 December	2,777,135	2,393,424	3,884,358	3,808,531

(a) Liquidity risk

Liquidity risk is the risk that the Group and Company will not be able to meet its financial obligations as they fall due. Liquidity risk arises in the general funding of the company's activities and in the management of positions. It includes both the risk of being unable to fund assets at appropriate maturities and rates and the risk of being unable to liquidate an asset at a reasonable price and in an appropriate time frame.

(b) Liquidity risk (continued)

The Group and Company have access to a diverse funding base. Funds are raised mainly from its shareholders, strategic investors, banks and its own internal resources.

The Group and Company strive to maintain a balance between continuity of funding and flexibility through the use of liabilities with a range of maturities.

The Group and Company continually assesses liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall company strategy.

In addition, the Group and Company hold a portfolio of liquid assets as part of its liquidity risk management strategy.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Liquidity risk (continued)

The table below shows the contractual maturity of financial liabilities as well as contractual interest payments:

Consolidated

2023:	Due on demand KShs'000	1 - 3 Months KShs'000	3 - 12 Months KShs'000	1 - 5 Years KShs'000	Total KShs'000
Liabilities:					
Long term loans	-	7,243,339	2,548,404	1,131,358	10,923,101
Interest payable on term loans, bonds, shareholders loan and lease liability	-	10,750	11,260	-	22,010
Preference shares	-	-	-	2,253,073	2,253,073
Bond	-	-	1,078,656	-	1,078,656
Bank overdraft	76,347	-	-	-	76,347
Shareholder Loan	-	-	-	4,473,139	4,473,139
Trade payables	8,110,593	-	-	-	8,110,593
Lease liabilities	-	-	84,209	-	84,209
Unclaimed dividends	-	-	-	-	-
Total financial liabilities	8,186,940	7,254,089	3,722,529	7,857,570	27,021,128

2022:	Due on demand KShs'000	1 - 3 Months KShs'000	3 - 12 Months KShs'000	1 - 5 Years KShs'000	Total KShs'000
Liabilities:					
Long term loans	-	5,511,081	1,934,065	2,434,544	9,879,690
Interest payable on term loans, bonds, shareholders loan and lease liability	-	14,644	9,266	-	23,910
Preference shares	-	-	-	1,641,518	1,641,518
Bond	-	-	837,728	-	837,728
Bank overdraft	63,471	-	-	-	63,471
Shareholder Loan	-	-	-	3,595,963	3,595,963
Trade payables	7,835,758	-	-	-	7,835,758
Lease liabilities	-	-	52,194	-	52,194
Unclaimed dividends	952	-	-	-	952
Total financial liabilities	7,900,181	5,525,725	2,833,253	7,672,025	23,931,184

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Liquidity risk (continued)

Company 2023	Due on demand KShs'000	1 - 3 Months KShs'000	3 - 12 Months KShs'000	1 - 5 Years KShs'000	Total KShs'000
Liabilities:					
Long term loans	3,821,707	-	-	-	3,821,707
Shareholder loan	-	-	2,702,526	-	2,702,526
Interest payable on loans	-	-	-	-	-
Trade and other payables	677,153	-	-	-	677,153
Lease liability	-	-	298	36,703	37,001
Total financial liabilities	4,498,860	-	2,702,824	36,703	7,238,387

Company 2022	Due on demand KShs'000	1 - 3 Months KShs'000	3 - 12 Months KShs'000	1 - 5 Years KShs'000	Total KShs'000
Liabilities:					
Long term loans	3,821,707	-	-	-	3,821,707
Shareholder loan	-	-	2,702,526	-	2,702,526
Interest payable on loans	-	-	-	-	-
Trade and other payables	677,153	-	-	-	677,153
Lease liability	-	-	298	416	714
Unclaimed dividends	952	-	-	-	952
Total financial liabilities	4,499,812	-	2,702,824	416	7,203,052

(b) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

(i) Currency risk

The Group and Company are exposed to currency risk through transactions in foreign currencies. The company's transactional exposures give rise to foreign currency gains and losses that are recognised in profit or loss. In respect of monetary assets and liabilities in foreign currencies, the Group ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the Group to meet its obligations.

The Group's exposure to foreign currency risk was as follows based on notional amounts in foreign currencies expressed in Kenya Shillings as below:



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(i) Currency risk – continued

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Loans to subsidiaries	-	-	931,760	724,552
Cash and bank balances	95,125	29,914	-	-
Unquoted investments	-	-	-	-
Due from related parties	-	-	753,906	668,452
Due to related parties	-	-	(509,239)	(546,813)
Preference shares	(2,253,073)	(1,381,499)	-	-
Shareholder loan	(4,473,139)	3,595,963	(3,293,162)	(2,702,526)
Bond	(1,078,656)	(951,858)	-	-
Bank overdraft	(76,347)	(25,661)	-	-
Bank loans	(8,130,341)	(5,434,789)	(4,846,674)	-
Net statement of financial position exposure	(15,916,431)	(4,167,930)	(6,963,409)	(1,856,335)

The following significant exchange rates applied during the year:

	Closing rate		Average rate	
	2023 KShs	2022 KShs	2023 KShs	2022 KShs
USD	156.46	123.37	139.68	117.55
TShs	16.07	18.92	17.38	19.79
US\$	24.19	30.11	26.79	31.32
ZAR	6.09	6.83	6.90	6.95

Sensitivity analysis

A reasonably possible strengthening (weakening) of the US dollar, TShs, US\$ or ZAR against all other currencies at 31 December would have affected the measurement of financial instruments denominated in a foreign currency and affected equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact of forecast sales and purchases.

Consolidated	Profit or loss		Equity, net of tax	
	Strengthening KShs '000	Weakening KShs '000	Strengthening KShs '000	Weakening KShs '000
31-Dec-23				
USD (10% movement)	(1,601,156)	1,601,156	(1,120,809)	1,120,809
TShs (10% movement)	9,513	(9,513)	6,659	(6,659)
31-Dec-22				
USD (10% movement)	(1,003,899)	1,003,899	(702,729)	702,729
TShs (10% movement)	5,430	(5,430)	3,801	(3,801)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(i) Currency risk – continued

Company	Profit or loss		Equity, net of tax	
	Strengthening	Weakening	Strengthening	Weakening
	KShs '000	KShs '000	KShs '000	KShs '000
31-Dec-23				
	USD (10% movement) (391,491)		391,491	(274,044)
274,044				
31-Dec-22				
USD (10% movement)	(367,323)	367,323	(257,126)	257,126

(ii) Interest rate risk

The Group's and Company's operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest-bearing liabilities mature or re-price at different times or in differing amounts. Risk management activities are aimed at optimising net interest income, given market interest rates levels consistent with the company's business strategies.

The tables below summarise the interest rate profile of the Group's and Company's interest-bearing financial assets and liabilities:

	Effective interest rate (%)		2023	2022
			KShs'000	KShs'000
Consolidated				
Variable-rate instruments				
Bank loans	10.50%	10.50%	10,923,101	9,879,690
Bank overdraft	9.00%	9.00%	76,347	63,471
			10,999,448	9,943,161
Fixed-rate instruments				
Bond	8%	8%	1,078,656	837,728
Preference shares	5%	4.90%	2,253,073	1,641,518
Shareholder loan	7%	7%	4,473,139	3,595,963
			7,804,868	6,075,209
			18,804,316	16,018,370
Company				
Variable-rate instruments				
Bank loans	10%	10.00%	4,846,675	3,821,707
Fixed-rate instruments				
Shareholder loan	7%	7.00%	3,293,162	2,702,526



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(ii) Interest rate risk - continue

Sensitivity analysis for variable interest-bearing liabilities.

A change in ten percent in interest rates at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency rates, remain constant.

Effect in Kenya Shillings (KShs) Statement of profit or loss and other comprehensive income

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Variable-rate instruments	1,099,945	994,316	484,667	382,171
Fixed-rate instruments	780,487	607,521	(329,316)	270,253
	1,880,432	1,601,837	155,351	652,424

A change in ten percent in interest rates at the reporting date would have had an equal but opposite effect on the profit or loss, on the basis that all other variables remain constant.

The interest rate on the convertible bond and shareholder loan are fixed at 8% and 7% respectively hence changes in market rates would not have an impact on profit or loss. These instruments are measured at amortised cost and therefore a movement in market interest rates would not impact the carrying value.

(iii) Market price risk

The Group is exposed to equity price risk which arises from quoted equity financial instruments at the Nairobi Securities Exchange (NSE). The fair values of quoted investments have been disclosed at Note 15(a).

Sensitivity analysis to equity price risk

A - percentage point increase of prices at the NSE would have increased equity by KShs 14,343 -(2022 - KShs 15,457) net of tax. There would be no impact to profit or loss as fair value changes are recognized in other comprehensive income.

(c) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

The Board of Directors seeks to maintain a balance between the higher returns that might be possible with higher levels of borrowings and the advantages and security afforded by a sound capital position. There were no changes in the Group's approach to capital management during the year. Neither the Group nor any of its subsidiaries are subject to externally imposed capital requirements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(d) Fair values for financial assets and financial liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The long-term loans are subject to variable interest rates and as such reprice with changes in market rates.

The Group and Company have not disclosed the fair values for short-term financial instruments such as trade receivables, cash and bank balances, overdrafts, and trade payables as their carrying amounts are a reasonable approximation of fair values. The Bank loans at Note 27 are at market rates hence the carrying amount approximates to their fair values. The Group and Company have not disclosed the fair values of bonds, preference shares and shareholders loans. However, the carrying amounts approximates the fair values. The carrying amounts and fair values of the remaining non-current financial assets and non-current financial liabilities are as disclosed below:

Valuation hierarchy

The fair values of financial assets and financial liabilities measured at fair values were determined as follows:

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Quoted investments	Prices quoted at Nairobi Securities Exchange	None	Not applicable
Unquoted investments	The entity's unquoted investments include investments in: Development bank of Kenya – The Price to Book multiple approach valuation technique was used.	Marketability discount of 15% and Enterprise Value (EV)/ Net Asset Value (NAV) multiple of 0.63x (2022,0.63x)	- Increase/(decrease) in marketability discount results in (decrease)/ increase in the fair value of the investment - Increase/(decrease) in the EV/NAV multiple results in an increase/(decrease) in the fair value of the investment.

The valuation techniques and significant unobservable inputs for fair values of investment in subsidiaries are shown on note 15(c) and 15(d).

The fair values for the financial assets as at 31 December 2023 and 31 December 2022 are as follows (these have been disclosed at Note 15):

Consolidated	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2023:				
Quoted investments	220	-	-	220
Unquoted investments	-	-	-	-
Total assets	220	-	-	220



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(e) Fair values for financial assets and financial liabilities (continued)

Valuation hierarchy – continued

Consolidated	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2022:				
Quoted investments	221	-	-	221
Unquoted investments	-	180,000	-	180,000
Total assets	221	180,000	-	180,221
Company	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2023:				
Quoted investments	220	-	-	220
Unquoted investments	-	-	-	-
Investment in subsidiaries	-	-	3,279,892	3,279,892
Total assets	220	-	3,279,892	3,280,112
Company	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2022:				
Quoted investments	221	-	-	221
Unquoted investments	-	180,000	-	180,000
Investment in subsidiaries	-	-	3,449,629	3,449,629
Total assets	221	180,000	3,449,629	3,629,850

The valuation techniques and fair value hierarchy for non-financial assets have been disclosed in Note 10,11,12 and 15.

6. REVENUE, OTHER INCOME AND EXPENSES

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
(a) Revenue				
Sale of goods	5,851,852	4,964,359	-	-
Rendering of services	438,173	661,295	-	-
Construction contract revenue	281,282	110,096	-	-
Dividends	-	-	116,121	18
Interest income (Note 29(c))	-	-	80,083	45,547
Technical fees (Note 29(d))	-	-	160,932	143,686
	6,571,307	5,735,750	357,136	189,251

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

6. REVENUE, OTHER INCOME AND EXPENSES (Continued)

(a) Revenue (continued)

Revenue is measured based on the consideration specified in a contract with a customer. The Group and Company recognise revenue when it transfers control over a good or service to a customer. The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Type of product/service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition policies
Sale of goods Goods sold include: • Electric cables • Transformers • Conductors • Generators • Spare parts	Customers obtain control of products when the goods are delivered to and have been accepted at their premises. Invoices are generated at that point in time.	Revenue is recognised when the goods are delivered and have been accepted by customers at their premises.
Construction contracts Construction projects include: • Manufacturing plants • Warehouses • Prefabricated buildings	The Group builds manufacturing plants, storage units and warehouses based on the prescribed designs. Most projects commence on receipt of a prepayment from a customer and its length depends on the complexity of the design. Projects may be completed in a year or may span through several years.	Revenue is recognised over time based on the cost-to-cost method. The related costs are recognised in profit or loss when they are incurred. Revenue earned in excess of certification are classified as contract assets Advances received are included in contract liabilities.
Rendering of services Services rendered include: • Civil engineering • Mechanical engineering • Transportation	Invoices for repair and maintenance services are issued periodically.	Revenue is recognised over time as the services are provided. The stage of completion for determining the amount of revenue to recognise is assessed based on work performed. If the services under a single arrangement are rendered in different reporting periods, then the consideration is allocated based on their relative stand-alone selling prices. The stand-alone selling price is determined based on the list prices at which the Group sells the services in separate transactions.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

6. REVENUE, OTHER INCOME AND EXPENSES (Continued)

(a) Revenue (continued)

Type of product/ service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition policies
Investment income include:		
• Dividend income	Dividend income arises from company investments from subsidiaries companies or associates' companies or quoted investments	Dividend income is recognised when the Group's right to receive the payment is established, which is generally when shareholders approve the dividend
• Interest income		
• Technical fees	Interest income arises from company lending money to subsidiaries as loans	Interest income is accrued using the effective interest rate method, by reference to the principal outstanding and the interest rate applicable.
	Technical fees relate to technical and professional and advisory services provided by holding company to the operating subsidiaries	Revenue is recognised over time as the services are provided. The stage of completion for determining the amount of revenue to recognise is assessed based on work performed.

Contract assets primarily relate to the Group's rights to consideration for work completed but not billed at the reporting date. The amount of contracts assets is KShs 169,290,000 (2022 - 147,625,000).

Contract liabilities primarily relate to the advance consideration received from customers for construction work, for which revenue is recognised over time. The amount of deferred revenue is KShs 13,052,000 (2022 - KShs 31,671,000).

The amount of KShs 31,671,000 included in contract liabilities at 31 December 2022 has been recognised as revenue in 2023 (2022 -25,403,000).

This will be recognised as revenue when the construction performance obligation are met, which is expected to occur within the next 12 months. No information is provided about remaining performance obligations at 31 December 2023 or at 31 December 2022 that have an original expected duration of one year or less, as allowed by IFRS 15.

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
(b) Other income/(loss)	KShs '000	KShs '000	KShs '000	KShs '000
Gain/(loss) on sale of property	10,421	64,311	-	-
Reversal of bad debts provision	10,232	-	-	-
Fair value of investment property	9,416	(2,954)	-	-
Sale of scrap	22,707	6,727	-	-
Rental income	41,811	11,159	-	-
Reversal of accruals	-	3,689	-	-
Sundry income	76,347	16,119	-	-
Interest income	271	2	-	-
	171,205	99,053	-	-

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

6. REVENUE, OTHER INCOME AND EXPENSES (Continued)

(c) Expenses by nature

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Cost of sales:				
Raw materials	4,193,563	3,429,322	-	-
Direct staff costs	245,230	220,707	-	-
Service costs	144,630	566,562	-	-
Utility expenses	136,531	137,381	-	-
Inventory obsolescence	-	60,007	-	-
	4,719,954	4,413,979	-	-
Operating expenses:				
Staff costs	784,382	742,757	193,325	177,837
Legal and professional fees	228,231	53,500	49,818	4,773
Office expenses	324,476	407,822	60,848	64,655
Establishment and site expenses	11,460	9,036	-	-
Directors fees (Note 29(a))	55,185	32,368	17,611	19,264
Travel expense	48,337	23,010	18,886	5,061
Utility fees	45,098	43,544	-	-
Distribution expenses	125,976	92,181	-	-
Audit fees	26,731	23,757	6,556	6,750
Repairs and maintenance	16,473	35,037	-	-
Fund raising cost	-	51,974	-	51,974
	1,666,349	1,514,986	347,044	330,314

d) Staff costs

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Wages and salaries	970,163	900,385	183,709	168,353
Social security contributions	58,449	63,079	9,616	9,484
	1,029,612	963,464	193,325	177,837
Presented in profit or loss as follows:				
Cost of sales	245,230	220,707	-	-
Operating expenses	784,382	742,757	193,325	177,837
	1,029,612	963,464	193,325	177,837

FOR THE YEAR ENDED 31 DECEMBER 2023

(e) Impairment losses

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Impairment loss on trade receivables and intercompany loans (Note 5(a))	453,477	441,474	75,827	229,166
(ii) Other Impairment losses				
Fair value loss on investment property	-	-	-	-
Inventory	(2,020)	-	-	-
Property plant and equipment (Note 10)	-	13,084	-	-
Prepayments	(419)	1,479	-	-
	(2,439)	14,563	-	-
	451,038	456,037	75,827	229,166

Operating profit /(loss) is arrived at after charging/(crediting):

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
(a) Foreign exchange losses				
(Loss)/gain	(1,491,150)	(436,551)	(1,361,177)	(428,117)
(b) Finance costs				
Interest on convertible bond	(52,683)	(44,337)	-	-
Interest on leases	(1,903)	(9,449)	(1,052)	(43)
Interest on loans	(1,286,329)	(1,325,951)	(500,160)	(418,531)
	(1,340,915)	(1,379,737)	(501,212)	(418,574)
Net finance costs (a+b)	(2,832,065)	(1,816,288)	(1,862,389)	(846,691)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

9. INCOME TAX

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
(a) Income tax expense				
Amounts recognised in profit or loss				
Current tax:				
Charge for the year at 30% (2022: 25%)	194,905	88,404	-	-
Deferred tax (credit)/expense:				
Current year (Note 25(c))	(128,882)	(12,729)	279	869
Prior year under/(over) provision (Note 25(c))*	(38,276)	-	-	-
	(167,158)	(12,729)	279	869
	27,747	75,675	279	869

* Derecognition of previously recognised deductible temporary differences.

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Amounts recognised in other comprehensive income				
Arising from:				
Property plant and equipment revaluation	-	27,329	-	-
Defined benefits	(2,545)	(2,330)	-	-

(b) Reconciliation of effective tax rate

Consolidated

The tax on the consolidated results differs from the theoretical amount using the basic tax rate as follows:

	2023 Rate	2023 KShs'000	2022 Rate	2022 KShs '000
Accounting loss before tax		(3,200,236)		(2,700,123)
Tax at the domestic rate of	30%	(960,072)	30%	(810,036)
Prior years' under provision:				
- Current tax	-	-	-	-
- Deferred tax	1%	(40,555)	0%	(498)
Effect of taxes in foreign jurisdictions*	0%	(15,948)	0%	(12,556)
Movement in deferred tax not				
Recognised (Note 9(c))	(32%)	1,023,878	(23%)	631,187
Tax effect of non-deductible expenses	(12%)	20,444	(12%)	267,578
Effect of change in tax rates**	(6%)	-	(6%)	-
Income tax expense	(6%)	27,747	(6%)	75,675

* TransCentury Mauritius Limited, Cable Holding Mauritius Limited, TC Railway Holdings Limited and Safari Rail Company Limited operate in Mauritius where the corporate tax rate is 15%.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

9. INCOME TAX (Continued)

(b) Reconciliation of effective tax rate (Continued)

Company	2023 Rate	2023 KShs'000	2022 Rate	2022 KShs'000
Accounting loss before tax		(1,931,410)	-	(1,217,848)
Tax at the domestic rate of	30%	(579,423)	30%	(365,354)
Movement in deferred tax not recognised (Note 9(c))	(33%)	630,648	(10%)	125,151
Tax effect of non-deductible expenses	3%	(50,946)	(20%)	241,072
Income tax expense		279	-	869

The directors believe that the accruals for tax liabilities are adequate for all open tax years based on their assessment of many factors, including interpretations of tax law and prior year experience.

(c) Movement in unrecognised deferred tax

Consolidated

2023

	At 1 January KShs'000	Movement in unrecognised deferred tax KShs'000	At 31 December KShs'000
Arising from:			
Property, plant and equipment	(2,095)	120,687	118,592
Unrealised exchange loss	772,045	22,052	794,097
Provisions	1,005,718	536,056	1,541,774
Tax losses	1,478,044	1,478,044	
	3,253,712	678,797	3,932,507

Consolidated

2022:

	At 1 January KShs'000	Movement in unrecognised deferred tax KShs'000	At 31 December KShs'000
Arising from:			
Property, plant and equipment	(5,366)	3,271	(2,095)
Unrealised exchange loss	443,799	328,246	772,045
Provisions	819,956	185,762	1,005,718
Tax losses	1,364,136	113,908	1,478,044
	2,622,525	631,187	3,253,712

Deferred tax assets have not been recognized in respect of tax losses and other temporary differences for some subsidiaries because it is not probable that future taxable profit will be available against which the subsidiaries can use the benefit therefrom.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

9. INCOME TAX (Continued)

(c) Movement in unrecognised deferred tax (continued)

Company

	At 1 January KShs'000	Prior year under provision of unrecognised deferred tax KShs'000	Movement in unrecognized deferred tax KShs'000	At 31 December KShs'000
2023:				
Arising from:				
Tax losses	626,105	-	120,687	746,794
Provisions	997,405	-	22,052	1,019,457
Unrealised exchange loss	(127,596)	-	536,056	408,459
	1,495,914	-	678,797	2,174,710

Company

	At 1 January KShs'000	Prior year under provision of unrecognised deferred tax KShs'000	Movement in unrecognized deferred tax KShs'000	At 31 December KShs'000
2022:				
Arising from:				
Tax losses	479,776	-	146,329	626,105
Provisions	926,596	-	70,809	997,405
Unrealised exchange loss	(35,609)	-	(91,987)	(127,596)
	1,370,763	-	125,151	1,495,914

Deferred tax assets have not been recognized in respect of tax losses and other temporary differences of the Company because it is not probable that future taxable profit will be available against which the subsidiaries can use the benefit therefrom.

(d) Tax recoverable/payable account

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Balance as at 1 January	343,889	329,883	15,738	15,738
Current tax charge	(39,312)	(88,404)	-	-
Paid during the year	(126,513)	(106,042)	-	-
Foreign exchange translation differences	134,170	195,950	-	-
As at 31 December	143,747	331,387	15,738	15,738
Comprising:				
Current tax recoverable	168,652	343,889	15,738	15,738
Current tax payable	(24,905)	(12,502)	-	-
As at 31 December	143,747	331,387	15,738	15,738



**NOTES TO THE CONSOLIDATED AND
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10. PROPERTY, PLANT AND EQUIPMENT

Consolidated	Heavy commercial vehicles KShs'000	Free hold land and buildings KShs'000	Plant and machinery KShs'000	Vehicles KShs'000	Furniture, fittings and equipment KShs'000	Work in progress KShs'000	Total KShs'000
2023							
Cost/valuation:							
At 1 January 2023	2,131,516	2,325,311	2,645,268	467,439	184,647	190,884	7,945,065
Additions	-	-	26,149	17,514	10,821	-	54,484
Disposals	-	(100)	(53,755)	(118,643)	(18,731)	-	(191,229)
Exchange differences	(561,843)	391,025	(210,676)	(106,814)	(9,208)	-	(497,516)
At 31 December 2023	1,569,673	2,716,236	2,406,986	259,496	167,529	190,884	7,310,804
Depreciation:							
At 1 January 2023	(2,116,022)	(134,600)	(1,667,407)	(570,155)	99,428	(2,123)	(4,390,879)
Revaluation	-	-	-	-	-	-	-
Charge for the year	(9,048)	(49,149)	(115,870)	(10,423)	(4,700)	-	(189,190)
Disposals	-	7,047	52,170	100,391	18,242	-	177,850
Exchange differences	510,818	(20,754)	214,728	87,855	14,817	8,473	815,937
At 31 December 2023	(1,614,252)	(197,456)	(1,516,379)	(392,332)	127,787	6,350	(3,586,282)
Carrying value:							
At 31 December 2023	(44,579)	2,518,780	890,607	(132,836)	295,316	197,234	3,724,522

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10. PROPERTY, PLANT AND EQUIPMENT (Continued)

Consolidated 2022	Heavy commercial vehicles KShs'000	Free hold land and buildings KShs'000	Plant and machinery KShs'000	Vehicles KShs'000	Furniture, fittings and equipment KShs'000	Work in progress KShs'000	Total KShs'000
Cost/valuation:							
At 1 January 2022	2,353,572	2,447,418	3,240,411	502,779	299,050	199,552	9,042,782
Additions	-	2,457	12,008	17,137	5,759	-	37,361
Transfer from WIP	-	-	3,050	-	-	(3,050)	-
Impairments	-	-	-	-	(96,088)	-	(96,088)
Disposals	(41,437)	-	(163,112)	(18,095)	(85)	-	(222,729)
Revaluation	-	(292,617)	(383,193)	(2,949)	(5,489)	(4,500)	(688,748)
Exchange differences	(180,619)	168,053	(63,896)	(31,433)	(18,500)	(1,118)	(127,513)
At 31 December 2022	2,131,516	2,325,311	2,645,268	467,439	184,647	190,884	7,945,065
Depreciation:							
At 1 January 2022	(2,313,807)	(223,646)	(2,136,250)	(592,780)	11,282	(11,309)	(5,266,511)
Revaluation	-	154,488	468,681	9,089	5,702	-	637,961
Impairments	-	-	-	-	84,923	-	84,923
Charge for the year	(13,406)	(49,718)	(132,699)	(24,352)	(8,628)	-	(228,803)
Disposals	40,163	2,962	72,731	13,956	85	-	129,897
Exchange differences	171,028	(18,686)	60,130	23,932	6,064	9,186	251,654
At 31 December 2022	(2,116,022)	(134,600)	(1,667,407)	(570,155)	99,428	(2,123)	(4,390,879)
Carrying value:							
At 31 December 2022	15,494	2,190,711	977,861	(102,716)	284,075	188,761	3,554,186



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

10. PROPERTY, PLANT AND EQUIPMENT (Continued)

Company		
Furniture, fittings and equipment	2023 KShs'000	2022 KShs'000
Cost:		
At 1 January	16,410	16,029
Additions	7,225	381
At 31 December	23,635	16,410
Depreciation:		
At 1 January	15,025	14,402
Charge for the year	878	623
At 31 December	15,903	15,025
Carrying amount at 31 December	7,732	1,385

Revaluation

The Group's property, plant and equipment (freehold land, buildings, plant and machinery) are revalued once in every five years.

Name of subsidiary	Independent valuer	Date of last valuation
East African Cables PLC	Ms Proland Realtors Limited	31-Dec-22
AEA Limited	Accurate Valuers Limited	31-Dec-22
Civicon Kenya Limited	Accurate Valuers Limited	31-May-21
Civicon Limited (Uganda)	MPG Associates Limited	31-Dec-17
Tanelec Limited – Zambia	Sherwood Greene	31-Dec-17
	T.P. Chibwe & Co	31-Dec-18

Items of property, plant and equipment in East African Cables PLC (other than motor vehicles and work in progress) are stated at revalued amounts, which has been determined based on valuation by Ms Proland Realtors Limited an accredited independent valuer as at 31 December 2022. The revalued amounts of the properties has not been determined on transactions observable in the market because of the nature of the property and lack of comparable data. Instead, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied.

Freehold land and buildings of AEA Limited were professionally valued by an independent professional valuer, Accurate Valuers Masika Limited, on 31 December 2022 in order to reflect the current market valuation in the books of account. The resulting surplus was credited to revaluation reserve. The valuation was based on the market approach, based on actual location, size, lease period and the general quality of the property.

The property, plant and equipment of a subsidiary, Tanelec Limited – Zambia were revalued in 2017 by Sherwood Greene, a firm of professional valuers on the basis of depreciated replacement cost. Motor vehicles were revalued as at 31 December 2018 by T.P. Chibwe & Co registered valuers on a depreciated cost basis.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

10. PROPERTY, PLANT AND EQUIPMENT (Continued)

Revaluation (continued)

If the freehold land, buildings, plant and machinery were stated on the historical cost basis, the amounts would be as follows:

Consolidated	Freehold land	Buildings	Plant and machinery	Totals
At 31 December 2023:	KShs 000	KShs 000	KShs 000	KShs 000
Cost	257,026	895,326	403,866	1,556,218
Accumulated depreciation	-	(698,825)	(248,169)	(946,994)
Carrying value	257,026	196,501	155,697	609,224

Consolidated	Freehold land	Buildings	Plant and machinery	Totals
At 31 December 2022:	KShs 000	KShs 000	KShs 000	KShs 000
Cost	257,026	895,326	280,368	1,432,720
Accumulated depreciation	-	(660,841)	(138,812)	(799,653)
Carrying value	257,026	234,485	141,556	633,067

Security

At 31 December 2023, properties of subsidiaries have been charged to secured banking facilities per Note 27.

Valuation techniques and significant unobservable inputs

The method used by the valuer in determining the fair value of assets is the fair market value.

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Property plant and equipment and Right-of-use asset Level 3 hierarchy	<i>Market approach:</i> The valuation model uses : - Prices and other relevant information generated by market transactions involving identical or similar assets. - The fair value is determined as the price that would be paid to sell the freehold land leasehold land and plant and machinery in an orderly transaction to market participants.	<i>Freehold and leasehold land</i> 1. Property prices in the locality. 2. Infrastructure developments. <i>Plant and machinery</i> 3. Comparable prices of plant and machinery and whether they are locally made or imported. 4. Depreciated replacement cost for plant and machinery.	The estimated fair values would increase/ (decrease); 1. If property prices near the location of the property were higher/(lower). 2. With improvements/ (deterioration) in infrastructure development. 3. Age, obsolescences , repair and maintenance condition of plant and machinery.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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11. INVESTMENT PROPERTY

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Valuation				
At 1 January	220,169	220,260	-	-
Fair value change	-	(17,004)	-	-
Translation differences	39,047	16,913	-	-
At 31 December	259,216	220,169	-	-

Rental income derived from investment property and related operating expenses are shown below:

	2023 KShs'000	2022 KShs'000	2023 KShs'000	2022 KShs'000
Gross rental income	5,154	9,764	-	-
Direct operating expenses	(2,441)	(2,441)	-	-
Net rental income	2,713	7,323	-	-

Measurement of fair values

Investment properties relates residential buildings that have been leased to third parties and are carried at fair value, these are:

LR No. 21707, Plot 581 on Malik Road, Upanga West, Dar es Salaam, Tanzania

The investment property was revalued on 31 December 2022 by Ms. Accurate Valuers on the basis of open market value for existing use.

(i) Valuation techniques and significant unobservable inputs

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Investment Property Level 3 hierarchy	<i>Market approach:</i> The valuation model uses prices and other relevant information generated by market transactions involving identical or similar assets. The fair value is determined as the price that would be paid to sell the land in an orderly transaction to market participants.	1. Property prices in the locality. 2. Infrastructure developments	The estimated fair values would increase/ (decrease); 1. If property prices near the location of the property were higher/(lower). 2. With improvements/ (deterioration) in infrastructure development.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

12. ASSETS HELD FOR SALE

	Consolidated		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Balance as at 1 January	-	124,618	-	-
Disposals	-	(124,700)	-	-
Exchange differences	-	82	-	-
At 31 December	-	-	-	-

The Board of Directors has committed to a plan to sell non-core assets listed below:

(i) Valuation techniques and significant unobservable inputs

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Asset held for sale Level 3 hierarchy	<i>Market approach:</i> The valuation model uses prices and other relevant information generated by market transactions involving identical or similar assets. The fair value is determined as the price that would be paid to sell the land in an orderly transaction to market participants.	1. Property prices in the locality. 2. Infrastructure developments	The estimated fair values would increase/ (decrease); 1. If property prices near the location of the property were higher/(lower). 2. With improvements/ (deterioration) in infrastructure development

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

13. RIGHT-OF-USE-ASSETS (Continued)

(a) Right-of-use-assets

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Carrying value as at 1 Jan	3,770,733	3,720,632	690	75
Additions	85,280	920	37,964	920
Disposal of ROU	(27,910)	-	-	-
Revaluation	-	(680)	-	-
Depreciation charge for the year	(82,973)	(101,197)	(2,407)	(305)
Exchange adjustment	520,681	151,058	-	-
At 31 December	4,265,811	3,770,733	36,247	690

Right of use assets shown above have as classified as below:

2023	Leasehold land KShs'000	Buildings KShs'000	Motor vehicles KShs'000	Other equipment KShs'000	Total KShs'000
At 1 January	3,724,003	19,385	26,655	690	3,770,733
Addition	-	85,280	-	-	85,280
Disposal	-	(1,027)	(26,655)	-	(27,910)
Amortisation for the year	(62,295)	(20,678)	-	(229)	(83,202)
Exchange adjustments	517,499	3,182	-	-	520,681
At 31 December	4,179,207	86,142	-	461	4,265,811

Right of use assets shown above have as classified as below:

2022	Leasehold land KShs'000	Buildings KShs'000	Motor vehicles KShs'000	Other equipment KShs'000	Total KShs'000
At 1 January	3,657,336	13,718	49,503	75	3,720,632
Addition	-	-	-	920	920
Amortisation for the year	(75,648)	(2,396)	(22,848)	(305)	(101,197)
Revaluation	(8,324)	7,644	-	-	(680)
Exchange adjustments	149,639	419	-	-	150,058
At 31 December	3,723,003	19,385	26,655	690	3,770,733

Leasehold land at East African Cables PLC has been stated at fair value, based on valuation by Ms. Proland Realtors Limited an accredited independent valuer on 31 December 2022. The fair value of the leasehold land has been determined on the basis of comparable transaction in the market.

Leasehold land in Civicon Kenya Limited and Civicon Limited (Uganda) was professionally valued by independent professional valuers, Lloyd Masika Limited and MPG Associates Limited respectively, on 31 December 2017 in order to reflect the current market valuation in the books of account. The resulting surplus was credited to revaluation reserve.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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13. RIGHT-OF-USE-ASSETS (Continued)

The right of use asset with respect to leasehold land is carried at revalued amounts. If the leasehold land were stated on the historical cost basis, the carrying amounts would be as follows:

	2023 KShs '000	2022 KShs '000
Consolidated		
Carrying value of leasehold land at 1 January	234,291	250,837
Amortisation for the year	(16,517)	(16,517)
Exchange adjustment	(29)	(29)
At 31 December	217,745	234,291

(b) Lease liability

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Opening balance as at 1 January	52,194	78,552	714	100
Additions	69,625	920	37,965	920
Retirement of a lease	(37,327)	-	-	-
Interest expense	2,699	8,840	1,052	43
Lease payments made - Interest	(2,699)	(8,840)	(1,052)	(43)
Lease payments made - Principal	(4,633)	(28,453)	(1,678)	(305)
Exchange differences	4,350	1,175	-	-
At 31 December	84,209	52,194	37,001	715

The carrying amount of lease liabilities are payable as follows:

Within one year	72,182	52,194	5179	440
After one year	12,027	-	31,822	275
At 31 December	84,209	52,194	37,001	715

(c) Amounts recognised in the statement of profit or loss

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Depreciation charge for the year	82,973	101,197	2,407	305
Interest expense	2,699	8,840	1,052	43

(d) Amounts recognised in the statement of cashflows

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Lease payments made - Interest	(2,699)	(8,840)	(1,052)	(43)
Lease payments made - Principal	(4,633)	(28,453)	(1,678)	(305)



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

14. INTANGIBLE ASSETS AND GOODWILL

Consolidated

2023	Software KShs '000	Goodwill KShs '000	Total KShs '000
Cost			
At 1 January	92,947	3,402,898	3,495,845
Additions	740	-	740
Exchange differences	9,314	906,075	915,389
At 31 December	103,001	4,308,973	4,411,974
Amortisation/impairment*			
At 1 January	76,382	3,350,242	3,426,624
Amortisation	4,408	-	4,408
Exchange differences	6,091	898,522	904,613
At 31 December	86,881	4,248,765	4,335,645
Carrying value At 31 December	16,120	60,209	76,329

Consolidated

2022	Software KShs '000	Goodwill KShs '000	Total KShs '000
Cost			
At 1 January	129,643	3,126,261	3,255,904
Exchange differences	(36,696)	276,623	239,927
At 31 December	92,947	3,402,884	3,495,831
Amortisation/impairment*			
At 1 January	110,692	3,076,687	3,187,379
Amortisation	3,636	-	3,636
Exchange differences	(37,960)	273,555	235,595
At 31 December	76,368	3,350,242	3,426,610
Carrying value At 31 December	16,566	52,642	69,221

Goodwill comprises of:

	2023 KShs '000	2022 KShs '000
Tanelec Limited	60,209	52,655

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

14. INTANGIBLE ASSETS AND GOODWILL (Continued)

(a) Goodwill on acquisition of Tanelec Zambia Limited (formerly Pende Group)

The goodwill recognised represents the excess of the business combination over the acquired business' fair value of the identifiable assets and liabilities. Pende Group was acquired on 31 May 2011 and the fair values determined at that date were relied upon to support the carrying value of the goodwill recognised due to the proximity of the year end to the acquisition date. The carrying amount of the goodwill is reviewed annually on the basis of forecast profits of the cash generating units and forecast sales of the products.

(b) Goodwill Impairment testing

Goodwill is tested annually for impairment. An impairment loss is recognized if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognized in profit or loss.

Impairment losses recognized in respect of cash-generating units reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists.

An impairment loss is reversed only to the extent that the asset's or CGU's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognized. An impairment loss in respect of goodwill is not reversed.

The calculation of the carrying amount of the goodwill is based on the following key assumptions:

- Cash flows were projected based on experience, actual operating results and budgets and forecasts approved by management up to 2025.
- The cash flows were discounted using a weighted average cost of capital of 18% for cable manufacturing companies which reflected current market rates appropriate for these businesses. (Tanelec is in the business of manufacturing and selling transformers and switchgear. Its customer base is similar to that of the cable companies while its principal inputs are similar. Like the cable manufacturing companies the principal raw materials for Tanelec are copper and aluminum. The drivers of demand for Tanelec are also similar to those of the cable companies. In our view, therefore, El Sewedy in Egypt, Havells in India, Voltamp Transformers in India and East African Cables in Kenya are comparable to Tanelec. In addition, El Sewedy - like Tanelec, is a transformer manufacturer).
- Perpetual growth rate was projected at 1% which is reasonable compared to the forecast growth rate in real GDP for Zambia.

The key assumptions described above may change as economic and market conditions change. Management believes that reasonable possible change in any of the key assumptions on which the fair value of the intangible has been based will not cause the carrying amounts to exceed their recoverable amount.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

15. INVESTMENTS

(a) Quoted shares

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Movement during the year:				
At 1 January	221	213	221	213
Fair value (loss) gain in the year	(16)	8	(16)	8
At 31 December	205	221	205	221
Comprising:				
Cost	18,006	18,006	18,006	18,006
Cumulative fair value change	(17,801)	(17,785)	(17,801)	(17,785)
	205	221	205	221

(b) Unquoted shares

Development Bank of Kenya Limited:

Cost	78,689	78,689	78,689	78,689
Cumulative fair value gain	101,311	101,311	101,311	101,311
Disposal value	(180,000)	-	(180,000)	-
	-	180,000	-	180,000

Mwangaza Limited:

Cost	101,764	101,764	-	-
Forex exchange	18,325	16,468	-	-
Cumulative fair value loss	(120,089)	(118,232)	-	-
	-	180,000	-	-

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

15. INVESTMENTS (Continued)

(c) Investment in subsidiaries – fair value

	2023 KShs '000	2022 KShs '000
Cable Holdings (Kenya) Limited 100% (2022 – 100%):		
Cost	460,232	460,232
Cumulative fair value gain	248,956	248,956
	709,188	709,188
AEA Limited (formerly Avery East Africa Limited) 94.4058% (2022 – 94.4058%):		
Cost	49,853	49,853
Cumulative fair value gain	269,154	269,154
	319,007	319,007
Tanelec Limited 70% (2022 – 70%):		
Cost	78,720	78,720
Cumulative fair value gain	2,172,925	2,342,662
	2,251,645	2,421,382
TransCentury Holdings Pty Limited: 100% (2022 – 100%):		
Cost	122,167	122,167
Cumulative fair value loss	(122,167)	(122,167)
	-	-
Crystal Limited 100% (2022 – 100%):		
Cost	52	52
Cumulative fair value gain	-	-
	52	52
TC Mauritius Holdings Limited 100% (2022 – 100%):		
Cost	973,103.0	973,103
Cumulative fair value loss	(973,103.0)	(973,103)
	-	-
TOTAL INVESTMENT IN SUBSIDIARIES	3,279,892	3,449,629
Movement during the year:		
At 1 January	3,449,629	2,984,270
Fair value loss in the year	(169,737)	465,359
At 31 December	3,279,892	3,449,629
Comprising of:		
Cost	1,684,127	1,684,127
Cumulative fair value gain	1,595,765	1,765,502
Total investment in subsidiaries	3,279,892	3,449,629

Fair value of investment in subsidiaries is determined based on the group's fair value policy per Note





NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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15. INVESTMENTS (Continued)

(d) Change in fair value of investments

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Quoted shares	(16)	8	(16)	8
Unquoted shares	(891)	(97,445)		(96,339)
Investment in subsidiaries (Note 15(c))	-	-	(169,737)	465,358
	(907)	(97,437)	(169,753)	369,028



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

15. INVESTMENTS (Continued)

(d) Change in fair value of investments (continued)

Measurement of fair values

Valuation techniques and significant unobservable inputs

Financial assets measured at fair value at 31 December 2023 and 31 December 2022

Fair value hierarchy	Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Level 3	Investment in subsidiaries	TransCentury PLC has investments in the following subsidiaries: - Cable Holdings (K) Ltd – Valued using the Adjusted net assets method.	Fair values of net assets in the balance sheet	- Increase/ (decrease) in fair value of net assets will result to an increase/decrease in the fair value of the investment.
		• AEA Limited– Valued using Discounted Cash Flow (DCF) method	Weighted Average Cost of Capital (WACC) of -23.2% (2022; 23.2% Marketability discount of 10%(2022, 10%) Terminal value of KShs. Million (2022, KShs. 1,257 Million)	- Increase/ (decrease) in WACC results in a decrease/ increase in the fair value of the investment. - Increase/ (decrease) in marketability discount results in a (decrease)/increase in the fair value of the investment. - Increase/ (decrease) in terminal value results in a (decrease)/increase in the fair value of the investment. - Increase/ (decrease) in projection cashflow results in a (decrease)/increase in the fair value of the investment.
		- Tanelec Limited – Valued using DCF method	Weighted Average Cost of Capital (WACC) of 13.3%(2022, 13.3%). Marketability discount of 15%(2022, 15%) Terminal value of KShs. Million (2022, KShs 5,224 Million)	Increase/ (decrease) in WACC results in a (decrease)/increase in the fair value of the investment. Increase/(decrease) in marketability discount results in a (decrease)/increase in the fair value of the investment. Increase/ (decrease) in terminal value results in a (decrease)/increase in the fair value of the investment. Increase/ (decrease) in projection results in a (decrease)/increase in the fair value of the investment.



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15. INVESTMENTS (Continued)

(e) Non-controlling Interest (NCI)

The following table summarises the information relating to each of the Group's subsidiaries that has material NCI, before any intra-group eliminations:

	Tanelec Ltd	EAC PLC	AEA Ltd	TC Mauritius Holdings Ltd	Total
31 December 2023: 31 December 2023: In Kshs'000					
NCI percentage	30.00%	31.63%	5.59%	0.10%	
Non-current assets	1,286,231	4,496,285	216,116	2,264,276	
Current assets	2,540,860	912,006	1,039,278	1,038,736	
Non-current liabilities	(664,113)	(1,492,248)	(112,052)	(3,029,306)	
Current liabilities	(1,583,158)	(3,549,596)	(2,011,422)	(14,283,326)	
Net assets excluding Underlying NCI	1,579,820	366,447	(868,080)	(14,009,620)	
Underlying NCI	(188,767)	(173,384)	-	(224)	
Net assets including underlying NCI	1,768,587	539,831	(868,080)	(14,009,396)	
Carrying amount of NCI	341,809	(2,656)	(48,562)	(224)	290,367
Revenue	3,181,996	2,524,553	602,252	263,435	
Profit	42,228	(301,876)	(438,382)	(564,675)	
OCI	380,712	(20,486)	(67,814)	(2,253,573)	
Total comprehensive income	422,940	(322,362)	(506,196)	(2,818,248)	
Profit allocated to NCI	(33,410)	(96,256)	(24,523)	(945)	(155,134)
OCI allocated to NCI	193,438	(73,693)	(3,794)	-	115,951
Cash flows from operating activities	77,267	1,863,988	36,157	(217,522)	
Cash flows from investment activities	(40,438)	(3,895)	(37,145)	(16,835)	
Cash flows from financing activities	(327,813)	(1,912,937)	13,358	608,896	
Net increase (decrease) in cash and cash equivalents	(290,984)	(52,844)	12,370	374,539	

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

15. INVESTMENTS (Continued)

(e) Non-controlling Interest (NCI) (continued)

31 December 2022:

31 December 2022:

In Kshs'000

NCI percentage	Tanelec Ltd 30.00%	EAC PLC 31.63%	AEA Ltd 5.59%	TC Mauritius Holdings Ltd 0.10%	Total
Non-current assets	1,101,197	4,401,492	262,194	1,867,129	
Current assets	2,080,065	956,602	959,803	1,233,630	
Non-current liabilities	(555,037)	(2,447,461)	(94,446)	(3,005,544)	
Current liabilities	(1,654,915)	(2,201,230)	(1,489,436)	(11,689,684)	
Net assets excluding Underlying NCI	971,310	709,403	(361,885)	(11,594,469)	
Underlying NCI	(184,089)	(56,537)	-	451	
Net assets including underlying NCI	1,155,399	765,940	(361,885)	(11,594,920)	
Carrying amount of NCI	162,529	185,701	(20,244)	449	328,437
Revenue	2,242,717	2,605,761	774,128	114,075	
Profit	(15,967)	(345,272)	(459,255)	(964,580)	
OCI	109,613	40,222	(46,195)	925,321	
Total comprehensive income	93,646	(305,050)	(505,450)	(39,259)	
Profit allocated to NCI	(23,325)	(258,256)	(25,690)	-	(307,271)
OCI allocated to NCI	(37,810)	159,897	(2,535)	-	119,552
Cash flows from operating activities	(64,459)	1,863,988	36,157	(171,521)	
Cash flows from investment activities	(15,505)	(3,895)	(37,145)	(13,275)	
Cash flows from financing activities	78,547	(1,912,937)	13,358	480,127	
Net increase (decrease) in cash and cash equivalents	(1,417)	(52,844)	12,370	295,331	

*Underlying non-controlling interest at Civicon Africa Group Limited.



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FOR THE YEAR ENDED 31 DECEMBER 2023

16. LOANS TO SUBSIDIARIES

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Payable after 12 months:				
East Africa Cables Limited	-	-	866,905	724,552
AEA Limited	-	-	64,845	-
			931,760	724,552
Movement during the year:				
At 1 January	-	-	724,552	642,834
Foreign exchange gain	-	-	65,510	36,171
Additional loan	-	-	61,615	-
Accrued interest during the year	-	-	80,083	45,547
At 31 December (Note 29 (e))	-	-	931,760	724,552

17. INVENTORIES

Raw materials	866,872	636,860	-	-
Finished goods	170,078	271,897	-	-
Work in progress	97,438	94,474	-	-
Goods in transit	182,147	195,608	-	-
Spares and lubricants	95,683	129,148	-	-
Machines	128,075	60,552	-	-
Consumables and packaging	6,282	5,666	-	-
Provision for obsolescence and slow-moving stocks	(117,463)	(103,095)	-	-
	1,429,112	1,291,110	-	-

Inventories of KShs 4,193,563 (2022- KShs 3,429,321) were recognised as an expense during the year and included in cost of sales.

18. (a) TRADE AND OTHER RECEIVABLES

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Trade receivables	5,071,679	4,194,826	-	-
Expected credit loss (Note 5(a))	(2,777,135)	(2,393,424)	-	-
	2,294,544	1,801,402	-	-
Prepayments	545,103	877,105	-	-
Sundry receivables	-	-	179,472	60,382
Staff receivables	3,587	1,883	1,088	1,705
Due from related parties (Note 29(g))	-	-	713,795	668,461
	2,843,234	2,680,390	894,355	730,539

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

18. (b) CONTRACT ASSETS

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Contract assets	169,290	147,625	-	-

19. CASH AND BANK

a) Cash and cash equivalents

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Bank balances	393,934	173,607	1,682	351
Cash at hand	239	69	36	-
Cash and bank	394,173	173,676	1,718	351
Bank overdraft	(76,347)	(63,471)	-	-
Total cash and cash equivalents	317,826	110,208	1,718	351

Bank overdrafts are repayable on demand and form an integral part of the Group's cash management.

In 2018 Tanelec Limited, a subsidiary of TransCentury PLC took an overdraft facility with TIB bank Limited. The interest on the overdraft is 13.5% per annum.

The overdraft is secured by:

- Specific debenture over the company's assets registered to cover USD 12,282,875 (KShs 1,389million) being 125% of the facilities. Its also secured by a legal mortgage over property located on plot35 Them Industrial Area, Arusha city valued at USD 400,000 (KShs 44 million).
- Cash lien of USD 400,000 (KShs 43 million) over the company's accounts held with the bank.
- Corporate guarantee and indemnity by TransCentury Ltd registered for USD 12,282,875 (KShs 287 million) to cover the credit facility by 125%.

(b) Adjustments to Operating cash flows following the indirect method

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Depreciation expense (Note 10)	189,190	228,086	878	623
Interest received	-	-	(80,083)	(45547)
Depreciation of ROU Assets (Note 7)	82,973	100,921	2,407	305
Amortisation of intangibles	4,408	3,778	-	-
(Gain)/loss on sale of property, plant and equipment	(9,869)	(2,501)	-	-
(Gain)/loss on retirement of lease	(9,417)	-	-	-
Impairment of inventory	(2,020)	-	-	-
Impairment of financial instruments (Note 6(e))	453,058	444,872	-	-
Impairment of property, plant & equipment	-	11,165	-	-
Lease interest charge	2,699	8,840	1,052	43
Shareholder loan interest	220,766	182,371	173,842	145370
Exchange (losses)/gain	226,754	2,079,196	1,414,196	204565
Interest accrued on preference shares	152,934	128,705	-	-
Interest accrued on convertible bond	39,722	46,532	-	-
Interest accrued on bank interest	717,017	-	298,024	495,325
Provision for staff gratuity	4,524	636	-	-
Release on disposal of subsidiary	402,827	-	-	-
Total	2,475,566	3,232,601	1,810,316	800,684



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

20 SHARE CAPITAL

Consolidated and Company Authorised	2023		2022	
At 1 January and 31 December	KShs '000		KShs'000	
1,200,000,000 ordinary shares of KShs 0.50 each	600,000		600,000	

	Number of shares		Nominal values	
	2023	2022	2023	2022
			KShs'000	KShs'000
Issued and fully paid ordinary shares of KShs 0.50 each				
At 1 January	375,203	375,203	187,601	187,601
Issued ordinary shares of KShs 0.50 each	752,826	-	376,413	-
At 31 December	1,128,029	375,203	564,014	187,601

The shareholders are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company. All the ordinary shares rank equally with regards to the Company's residual assets.

21 SHARE PREMIUM

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
At 1 January	1,873,089	1,873,089	1,873,089	1,873,089
Share premium of KShs 0.60 each	451,695	-	451,695	-
	2,324,784	1,873,089	2,324,784	1,873,089

Share premium relates to amounts received over and above the par value of the issued and paid up ordinary shares

22 RESERVES

(a) Revenue reserves

Revenue reserves relate to accumulated profits or losses over the years.

(b) Translation reserve

The translation reserve comprises all foreign currency differences arising from the translation of the financial statements of foreign operations.

(c) Fair value reserve

The fair value reserve comprises the cumulative net change in the fair value of equity financial assets measured at fair value through other comprehensive income (FVOCI) until the investment is derecognised.

(d) Revaluation reserve

The revaluation reserve relates to the revaluation gain/losses on leasehold land, property, plant and equipment. Revaluation reserve is recognised net of related deferred tax and transferred to retained earnings upon disposal of related property.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

23. PROPOSED DIVIDENDS AND EARNINGS PER SHARE

(a) Basic and diluted earnings/(loss) per share

The calculation of basic earnings per share at 31 December 2023 was based on the loss attributable to ordinary shareholders of KShs (2022 : loss of KShs 2,468,527) and a weighted average number of ordinary shares outstanding during the year of 375,202,766 (2022: 375,202,766).

	2023 KShs '000	2022 KShs '000
Loss attributable to ordinary shareholders	(3,076,078)	(2,468,527)
Basic and diluted loss per share (KShs)	(2.73)	(6.58)

Diluted earnings per share is calculated by adjusting the earnings and weighted average number of ordinary shares outstanding during the year for the effects of dilutive options and other dilutive potential ordinary shares.

(b) Weighted average number of ordinary shares

	2023	2022
Issued ordinary shares as at 1 January	375,202,766	375,202,766
Weighted effect of shares issued in the year	752,825,555	-
At 31 December	1,128,028,321	375,202,766

(c) Proposed dividends

Proposed dividends are accounted for as a separate component of equity until they have been ratified at a General Meeting. During the year, the directors do not recommend any dividends (2022 – Nil).

24. BOND, PREFERENCE SHARES AND SHAREHOLDER LOAN

(a) Bond

In 2011 the Group issued a United States Dollar (USD) denominated convertible bond through one of its subsidiaries, TC Mauritius Holdings Limited amounting to USD 60,270,000 (KShs 5.1bn). Over the years, some of the bond holders converted their portion of the bond to ordinary shares between the year ended 31 December 2011 and 31 December 2018 while the Group has continued to repay the bond based on the agreement with bond holders. The bond accrues an interest rate of 8% and is repayable on a quarterly basis with the initial final settlement due in 2024. On 15 July 2022, the Group reached an agreement with the bondholders to extend the maturity of the bond from to 30 June 2025.

The movement in the bond during the year is as follows:

	2023 KShs '000	2022 KShs '000
At 1 January	837,728	951,859
Interest accrued	39,722	46,532
Settlement to bondholders	(23,469)	(246,747)
Forex losses	224,675	86,084
At 31 December	1,078,656	837,728

Presented in the statement of financial position as follows:

	2023	2022
Current	1,078,656	837,728
At 31 December	1,078,656	837,728



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

24. BOND, PREFERENCE SHARES AND SHAREHOLDER LOAN (Continued)

(b) Preference shares

On 3 April 2017, the Group issued to Kuramo Capital Management 70,120 preference shares of USD 7 million in TCM at a par value of USD 100 each. The preference shares are cumulative and are redeemable at any time after the expiration of seven (7) years at 4.9% coupon and 1.75 times of the par value.

	2023	2022
	KShs '000	KShs '000
Interest and redemption premium on preference shares	1,088,963	792,717
Foreign exchange difference	440,249	124,940
Preference shares	723,861	723,861
	2,253,073	1,641,518

(c) Shareholder loans

	KShs '000	KShs '000	KShs '000	KShs '000
Shareholder loans	4,473,140	3,595,963	3,293,162	2,702,526

The movement in shareholder loans during the year is as follows:

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
At 1 January	3,595,964	2,829,256	2,702,526	2,043,850
Interest accrued	220,766	182,371	173,842	145,370
Loan advanced	58,924	308,742	58,924	308,742
Repayment	(329,380)	-	(329,380)	-
Forex losses	926,865	275,594	687,250	204,564
At 31 December	4,473,140	3,595,964	3,293,162	2,702,526

In 2017 and 2018, Kuramo Capital advanced loans amounting to USD 7,623,400 to TC Mauritius Holdings Limited, at an average interest rate of 5.2%;

The loans are secured by a charge of 56,703,563 ordinary shares of KShs 0.50 each in the capital of East African Cables and USD 500,000 is charged on 100,067 ordinary shares of Tanzanian Shillings ten thousand (TZS 10,000) each in the capital of Tanelec Limited. The loan which was payable in December 2021 has been subordinated to be payable by 31 December 2024. TC Mauritius Holdings is a wholly owned subsidiary of the Company.

Kuramo Capital has advanced the following loans to Transcentury PLC:

- USD 800,000 in November 2018 at annual interest rate of 7% payable in 31 December 2023.
- USD 4,750,000 during the year ended 31 December 2019 at an annual interest of 7% payable in 31 December 2023.
- USD 4,935,000 during the year ended 31 December 2020 at an annual interest of 7% payable in 31 December 2023.
- USD 6,025,000 during the year ended 31 December 2021 at an annual interest of 7% payable in 31 December 2023.
- USD 2,502,500 during the year ended 31 December 2022 at an annual interest of 7% payable in 31 December 2023
- USD 376,606 during the year ended 31 December 2023 at an annual interest of 7% payable in 31 December 2023

On 8th February 2024, the maturity date of all the shareholder loans was extended from 31 December 31 December 2025.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

25. DEFERRED TAX (ASSET)/LIABILITY

(a) Deferred tax asset Consolidated

	As at Jan 1	Recognised through P&L	Exchange rate diff	As at Dec 31
	KShs '000	KShs '000	KShs '000	KShs '000
2023				
Property, plant and equipment	(61,601)	(279)	-	(61,880)
Accruals	60,048	-	(38,769)	21,279
Tax losses	21,932	-	-	21,932
Unrealised exchange losses	51,225	-	-	51,225
Lease liability	4,278	-	-	4,278
	75,882	(279)	(38,769)	36,834

Consolidated

	As at Jan 1	Recognised through P&L	Exchange rate diff	As at Dec 31
	KShs '000	KShs '000	KShs '000	KShs '000
2022				
Property, plant and equipment	(60,732)	(869)	-	(61,601)
Accruals	41,116	18,932	-	60,048
Tax losses	21,931	-	-	21,932
Unrealised exchange losses	51,225	-	-	51,225
Lease liability	12,369	(8,091)	-	4,278
	65,910	9,972	-	75,882

Company

	At January 1	Recognised through profit or loss	Exchange rate difference	At December 31
	KShs '000	KShs '000	KShs '000	KShs '000
2023:				
Property, plant and equipment	1,193	(279)	-	914

Company

	At January 1	Recognised through profit or loss	Exchange rate difference	At December 31
	KShs '000	KShs '000	KShs '000	KShs '000
2022:				
Property, plant and equipment	2,062	(869)	-	1,193



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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25. DEFERRED TAX (ASSET)/LIABILITY (Continued)

(b) Deferred tax liability

	As at Jan 1	Recognised through P&L	Prior year under/over provision	Recognised in Equity	Exchange rate diff	As at Dec 31
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
2023						
Staff gratuity provision	(15,344)	741	-	2,545	(1,302)	(13,360)
Accruals	(360,069)	(121,876)	-	-	(24,623)	(506,568)
Tax loss	(389,987)	3,783	-	-	-	(386,204)
Unrealised exchange gain	80,527	30,649	-	-	(4,122)	107,054
Property plant and equipment	1,372,966	(39,593)	(38,275)	-	106,404	1,401,502
ECL	(6,000)	(2,300)	-	-	(3,261)	(11,561)
Revaluation	124,862	(8)	-	-	21,873	146,727
Right of use asset	11,519	-	-	-	-	11,519
	818,474	(128,603)	(38,275)	2,545	94,968	749,109

	As at Jan 1	Recognised through P&L	Prior year under/over provision	Recognised in Equity	Exchange rate diff	As at Dec 31
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
2022						
Staff gratuity provision	(15,581)	(1,758)	-	2,645	(650)	(15,344)
Accruals	(364,619)	14,912	-	-	(10,362)	(360,069)
Tax loss	(413,556)	23,569	-	-	-	(389,987)
Unrealised exchange gain	33,397	51,914	-	-	(4,784)	80,527
Property plant and equipment	1,370,366	(55,067)	-	1,908	55,759	1,372,966
ECL	(1,884)	(3,365)	-	-	(751)	(6,000)
Revaluation	158,257	(25,016)	-	(17,843)	9,464	124,862
Right of use asset	18,967	(7,448)	-	-	-	11,519
	785,347	(2,259)	-	(13,290)	48,676	818,474

(c) Deferred tax movement through profit or loss is as follows:

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
<i>Current year</i>				
Deferred tax asset	(279)	(9,972)	279	869
Deferred tax liability	(128,603)	(2,757)	-	-
	(128,882)	(12,729)	279	869
<i>Prior year</i>				
Deferred tax liability	(38,275)	-	-	(2,026)
	(167,157)	-	-	(2,026)

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

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26. STAFF GRATUITY

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000
Balance at 1 January	59,371	64,879
Payments made in the year	(312)	(707)
Remeasurement of gratuity	4,486	2,716
Translation losses (gains)	4,276	1,301
Accrual for the year	(9,864)	(8,818)
At 31 December	57,957	59,371

Unionisable staff for East African Cables PLC and Tanelec Limited are eligible to gratuity upon retirement based on the terms stipulated in the respective Collective Bargaining Agreements. The gratuity is based on 16 days' pay if an employee has served 1-5 years, 20 days' pay if an employee has served 6-10 years and 23 days' pay if an employee has served 11 years and above. Gratuity is computed at current salary by an external actuary at each reporting date. A provision is made in the financial statements for the estimated liability of such gratuity payable.

27. LOANS PAYABLE

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Bank loans				
- Long term	786,950	2,434,538	-	-
- Short term	10,136,151	7,445,152	4,846,675	3,821,707
Loans from subsidiaries(Note 29(f))	-	-	576,073	576,073
	10,923,101	9,879,690	5,422,747	4,397,780
Payable after 12 months	786,950	2,434,538	576,073	576,073
Payable within 12 months	10,136,151	7,445,152	4,846,675	3,821,707
	10,923,101	9,879,690	5,422,747	4,397,780

Movement in the loans is as shown below:

	Consolidated 2023 KShs'000	Consolidated 2022 KShs'000	Company 2023 KShs'000	Company 2022 KShs'000
Balance at 1 January	9,879,690	9,498,006	3,821,707	3,326,382
Received during the year	1,101,017	-	-	-
Interest accrued during the year	717,017	1,381,956	298,024	249,159
Repaid during the year	(1,487,616)	(1,000,272)	-	-
Exchange difference	712,993	-	726,943	246,166
At 31 December	10,923,101	9,879,690	4,846,674	3,821,707



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

27. LOANS PAYABLE (Continued)

The major loans at 31 December 2023 had the following terms:

The Company has a term loan facility with Equity Bank Limited (Kenya) amounting to USD 20 million. It is secured by way of existing corporate guarantees by Cable Holdings (Kenya) Limited and TC Mauritius Holdings Limited for USD 77 million each executed in favour of the Bank, existing charge over the Borrower's shares in East Africa Cables PLC, Avery East Africa Limited and TC Mauritius Holdings Limited each executed in favour of the Bank for USD77 million and existing all-asset debenture charge over the TransCentury PLC assets executed in favour of the Bank to cover an aggregate of USD 77 million. The applicable interest rate is the 6-month USD LIBOR + 8% subject to a minimum rate of 10% p.a. on reducing balance.

East African Cables Plc has facility arrangements with Equity Bank Kenya Limited, Ecobank Kenya Limited and SBM Bank Kenya Limited. The borrowings are secured by certain land and buildings and a debentures over all assets of East African Cables PLC and East African Cables (Tanzania) Limited for KShs 2.3 billion (2022 - KShs 2.3 billion). The bank facility comprises of term loans from Equity Bank Kenya Limited and Ecobank Kenya Limited.

A subsidiary, Tanelec Limited entered into various bank facilities with TIB Corporate Bank (Tanzania) amounting to USD 8.7 million. The USD denominated facilities have an interest rate of 7% and the TZS denominated facilities have an interest rate of 13%. The facilities are secured by first charge over Property located on Plot No. 35 Themu Industrial Area, Arusha City, a corporate guarantee by TransCentury PLC of USD 12.7m and debenture over the fixed and floating assets of the Company.

A subsidiary, AEA Limited, has bank facilities with SBM Bank (Kenya) Limited for KShs 359million (2022 - KShs 362 million) and Sidian Bank Limited for KShs 21 million (2022 KShs 23 million). These facilities are secured by its leasehold land and building and a corporate guarantee from TransCentury PLC of USD 2.6m. Interest on these facilities is charged at 13% (2022 - 13%).

On 16 November 2018, a subsidiary of Civicon Africa Group Limited, Civicon Kenya Limited refinanced its existing banking facilities with Equity Bank Kenya Limited into a new long-term banking facility with a tenor of seven (7) years with a moratorium of twelve (12) months on principal repayment. The facility is secured by way of a corporate guarantee from TransCentury PLC, the ultimate holding company, for USD 47 million a first ranking over all asset debenture of USD 47 million; and a legal charge over the land known as subdivision 2428 (original number 1955 and 2077) Section V, mainland North Mombasa in the amount of USD 5.9 million. The land has subsequently been disposed and used to offset the bank loan. The subsidiary also has an asset finance facility from Equity Bank.

The applicable pricing for the US Dollar denominated loans during 2023 was six (6) month LIBO R p.a subject to a minimum interest rate of 10%. The interest rate on the bank loan was at 10%.

Breach of loan covenants

As at 31 December 2023, the Group and Company had breached loan repayments with respect to the lenders listed below and amounts detailed below.

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27. LOANS PAYABLE (Continued)

Group

	Defaulted or overdue repayments KShs 000'	Long term portion that became due to demand due to default KShs 000'	Total amount due on demand at 31 December 2023 KShs 000'
SBM Bank	-	380,475	380,475
Equity Bank Kenya Limited	-	7,035,581	7,035,581
Total	-	7,416,056	7,416,056

Company

	Defaulted or overdue repayments KShs 000'	Long term portion that became due to demand due to default KShs 000'	Total amount due on demand at 31 December 2023 KShs 000'
Equity Bank Kenya Limited	-	4,846,675	4,846,675

Remediation of the breaches

Lender	Remediation status
Equity Bank Kenya Limited	- The breach on the facility has not been remedied as at the date of approval of the financial statements. As a result of the breach, the bank, initiated litigation action against TransCentury PLC and East African cables PLC, as highlighted below; - - That on the 8th of June 2023, TransCentury PLC's senior lender (Equity Bank Holdings Limited) issued a demand notice for USD 34,343,806.61. - That on 16th June 2023, Equity Bank appointed Mr George Weru and Mr Muniu Thoithi as the joint receivers over the affairs of TransCentury PLC. - That on 19th June 2023, TransCentury PLC, through Nyachoti & Company Advocates, was able to secure an injunction order suspending the appointment of the joint receivers and putting in abeyance their actions. - That on the same date, the bank filed an application seeking to set aside the injunction order. However, the court, on 26th June 2023, declined to set aside the injunction and directed that TransCentury PLC only apply funds towards settling critical operational expenses and debt repayments for the survival of the business. - That on 6th October 2023, the Court issued a ruling dismissing the Bank's application. - On 18th October 2024 a temporary injunction restraining the bank from exercising its rights under the debentures for a period of 120 days from the date of the ruling.
SBM Bank Kenya Limited	- The breach on the facility at Group level has not been remedied as at the date of approval of the financial statements. - The Group has made payments to regularize the facility and will continue to reduce the arrears with the expected improved cashflows from a robust order book.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

28. (a) TRADE AND OTHER PAYABLES

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
Trade payables	2,062,237	1,825,053	-	62,950
Sundry creditors	6,674,043	5,565,675	504,450	677,156
Due to subsidiaries (Note 29(h))	-	-	469,128	546,813
	8,736,279	7,390,728	973,578	1,286,919

28 (b) CONTRACT LIABILITIES

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
Contract liabilities	13,052	31,671	-	-

Contract liabilities primarily relate to the advance consideration received from customers for construction work, for which revenue is recognised over time.

29. RELATED PARTY TRANSACTIONS

Related party transactions are carried out in the normal course of business and are unsecured. The following transactions were carried out with related parties:

(a) Directors' emoluments

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
Directors' emoluments	121,623	136,282	53,086	53,955
Directors' emoluments comprise:				
As executives	57,429	75,519	35,475	35,475
As non-executives	64,194	60,763	17,611	18,480
	121,623	136,282	53,086	53,955

(b) Inter-company sales

	2023	2022
	KShs '000	KShs '000
From Civicon Limited to AEA Limited	-	-
From AEA Limited to EAC Limited	-	-
	-	-

(c) Interest income from subsidiaries- Company

East African cables PLC	76,854	45,547
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(d) Technical fees from subsidiaries- Company

Tanelec Limited - Tanzania	72,320	54,316
AEA Limited	18,944	23,013
East African cables PLC	69,669	66,357
	160,932	143,686

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

29. RELATED PARTIES TRANSACTIONS (Continued)

(e) Loans to subsidiaries – Company

	2023 KShs '000	2022 Ksh '000'
Payable after 12 months:		
TransCentury Holdings (Proprietary) Limited		
- South Africa	-	164,014
East African cables PLC(Note 16)	866,905	724,541
AEA limited	64,845	-
	931,750	888,555
Impairment loss on TransCentury Holdings (Proprietary)	10	(164,003)
	931,760	724,552

*On 22 April 2014, the Company issued an unsecured loan of USD 4 million East African cables PLC at an interest rate of 6 month Libor rate plus 8% per annum from August 2023(2021 to 2023 July at 11% per annum and ;2014 to 2020 – 9% per annum). The loan is subordinated to bank borrowings. It is revalued from USD to KShs at the closing rates at the end of each reporting date. The loan is repayable after the subsidiary has fully settled its existing bank borrowings obligation.

(f) Loan from subsidiary – Company

	2023 KShs '000	2022 Ksh '000'
Cable Holdings (Kenya) Limited (Note 27)	576,073	576,073

TransCentury PLC borrowed KShs 576,073,000 from Cable Holdings (Kenya) Limited to meet its working capital and capacity expansion requirements between year 2006 and 2010. The loan is unsecured and interest free and shall be repaid in full on or before 31 December 2022.

(g) Due from subsidiaries

Company (2023)

	Amt Due 2023 KShs '000	Impairment 2023 KShs '000	Net 2023 KShs '000
Subsidiary			
Cable Holdings (Kenya) Limited	9,861	-	9,861
AEA Limited	197,924	-	197,924
TC Mauritius Holdings	3,844,661	(3,844,661)	-
East African cables PLC	227,846	-	227,846
Crystal Limited	30,530	(30,530)	-
Tanelec Limited	270,624	-	270,624
TC Railway Holdings Mauritius	4,804	(4,804)	-
Safari Rail Company Limited	4,364	(4,364)	-
Tanelec Zambia Limited	47,651	-	47,651
Cable Holdings (Mauritius) Limited	(40,111)	-	(40,111)
Total (Note 18)	4,598,153	(3,884,358)	713,795

The impairment in the current year relates to intercompany receivables (bond paid on behalf of TC Mauritius Holding by the parent), audit fees, secretarial fees and tax fees paid by the holding company.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

29 RELATED PARTIES TRANSACTIONS (Continued)

(g) Due from subsidiaries (continued)

Company (2022)

Subsidiary	Amt Due 2022 KShs '000	Impairment 2022 KShs '000	Net 2022 KShs '000
Cable Holdings (Kenya) Limited	9,861	-	9,861
AEA Limited	175,781	-	175,781
TC Mauritius Holdings	3,768,835	(3,768,835)	-
East African cables PLC	229,079	-	229,079
Crystal Limited	30,530	(30,530)	-
Tanelec Limited	213,124	-	213,124
TC Railway Holdings Mauritius	4,804	(4,804)	-
Safari Rail Company Limited	4,364	(4,364)	-
Tanelec Zambia Limited	40,616	-	40,616
Total (Note 18)	4,476,994	(3,808,533)	668,461

(h) Due to subsidiaries – Company

	2023 KShs'000	2022 KShs'000
Cable Holdings (Kenya) Limited	5,422	5,422
Cable Holdings (Mauritius) Limited	-	40,111
Civicon DRC Holdings Limited	255,825	255,836
Civicon Limited	207,881	245,444
Total (Note 28)	469,128	546,813

(i) Key management compensation

	Consolidated 2023 KShs '000	Consolidated 2022 KShs '000	Company 2023 KShs '000	Company 2022 KShs '000
Short-term employee benefits	276,657	224,696	61,771	61,771
Post-employment benefits	16,025	14,288	4,671	4,671
	292,682	238,984	66,442	66,442

(j) Key management transactions

Directors control 3.34% of the voting shares of the company. A number of key management personnel or their related parties hold positions in other companies that result in them having control or significant influence over those other companies.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

29. RELATED PARTIES TRANSACTIONS (Continued)

(k) Borrowings from shareholders (Kuramo Africa Opportunity Kenyan Vehicle Limited)

	Consolidated 2023	Consolidated 2022	Company 2023	Company 2022
	KShs '000	KShs '000	KShs '000	KShs '000
Preference shares - Note 24(b)	2,253,073	1,641,518	-	-
Shareholder loans - Note 24(c)	4,473,139	3,595,963	3,293,162	2,702,526
	6,726,212	5,237,481	3,293,162	2,702,526

30. SEGMENT INFORMATION

(a) Basis of segmentation

The Group has two reportable segments which are the strategic business units in the following segments:

- Power; and
- Engineering

These business units offer different products and services and are managed separately because they require different technology and marketing strategies. The following summary describes the operations of each reportable segment:

Reportable segment	Operations
Power	Manufacturing of aluminium and copper cables, manufacture of transformers and switchgear
Engineering	Civil, mechanical engineering, cranes & erection and logistic services. Also includes installation of weigh bridges, generators, bearings and sub-stations

For each of the reportable segments, the Group Chief Executive Officer reviews internal management reports.

(b) Information about reportable segments

Information regarding the results of each reportable segment is described below. Performance is measured based on each segment profit after tax because management believes that this information is the most relevant in evaluating the results of the respective segment relative to other entities that operate in the same industries.



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

30. SEGMENT INFORMATION (Continued)

(b) Information about reportable segments

Year ended 31 December 2023	Power KShs'000	Intra-group Engineering KShs'000	Others KShs'000	Adjustments KShs'000	Total KShs'000
Segment revenue	5,706,549	865,688	-	(930)	6,571,307
Profit/(loss) before depreciation, impairment, and finance costs	720,005	(168,853)	(194,943)	-	356,209
Depreciation and amortization	(232,028)	(41,258)	(3,286)	-	(276,571)
Finance costs	(679,469)	(140,002)	(2,012,594)	-	(2,832,064)
Income tax expenses	(26,867)	(602)	(279)	-	(27,747)
Loss for the year	(401,637)	(775,600)	(2,053,974)	-	(3,231,211)
Attributable to:					
Equity holders	(275,201)	(755,702)	(2,053,974)	-	(3,084,877)
Non-controlling interest	(126,436)	(25,723)	-	-	(152,159)
Other information:					
Segment assets	9,235,382	4,855,503	(723,506)	-	13,367,378
Segment liabilities	7,484,310	11,523,397	9,449,068	-	28,456,775

**NOTES TO THE CONSOLIDATED AND
SEPARATE FINANCIAL STATEMENTS**
FOR THE YEAR ENDED 31 DECEMBER 2023

30. SEGMENT INFORMATION (Continued)

Year ended 31 December 2022	Power KShs'000	Intra-group Engineering KShs'000	Others KShs'000	Adjustments KShs'000	Total KShs'000
Segment revenue	4,848,478	888,202	-	(930)	5,735,750
Profit/(loss) before depreciation, impairment, and finance costs	446,942	(346,361)	(194,743)	-	(94,162)
Depreciation and amortization	(255,745)	(76,969)	(921)	-	(333,636)
Finance costs	(419,114)	(387,733)	(1,009,441)	-	(1,816,288)
Income tax expenses	(95,813)	21,006	(869)	-	(75,675)
Loss for the year	(481,913)	(1,214,606)	(1,079,279)	-	(2,775,798)
Attributable to:					
Equity holders	(330,753)	(1,193,425)	(1,079,279)	-	(2,603,457)
Non-controlling interest	(151,160)	(27,007)	-	-	(178,167)
Other information:					
Segment assets	8,569,661	4,505,254	(567,813)	-	12,507,102
Segment liabilities	8,113,147	9,822,279	6,417,164	-	24,352,590



NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

30. SEGMENT INFORMATION (Continued)

(b) Information about reportable segments (continued)

Segment assets comprise primarily property, plant and equipment, intangible assets, inventories, receivables and operating cash and exclude certain intra-group receivables. Segment liabilities comprise operating liabilities and exclude certain corporate borrowings.

(c) Geographic information

The geographic information below analyses the group's revenue and non-current assets by the group and subsidiaries' country of domicile.

(i) Revenue

	2023 KShs '000	2022 KShs '000
Kenya	2,878,273	2,820,884
Tanzania	3,327,074	2,674,288
Uganda	80,271	54,488
Rwanda	165,074	138,658
Zambia	120,615	47,432
	6,571,307	5,735,750

(ii) Non-current assets

Kenya	4,452,302	4,501,923
Tanzania	2,872,515	2,547,833
Uganda	1,003,461	791,292
South Sudan	1,114	879
Zambia	33,525	28,485
	8,362,917	7,870,412

31. CAPITAL COMMITMENTS

There were no capital commitments across the Group during the year (2022 - Nil).

32. CONTRACTUAL LEASE COMMITMENTS

	2023 KShs'000	2022 KShs'000
Consolidated		
Less than one year	19,227	42,555
Between one and five years	76,344	14,139
	95,571	56,694
Company		
Less than one year	7,200	330
Between one and five years	41,162	770
	48,362	1,100

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023

33. CONTINGENCIES

Claims have been made by certain former employees of the Group and Company resulting from termination of employment. However, in the opinion of the Directors, no significant liability is likely to crystallise. Furthermore, this cannot be currently established.

Guarantees with the bankers amounted to KShs 759,041,962 as at 31 December 2023 (2022- KShs 917,863,000). Letters of credit amounted to KShs 414,781,801.3 as at 31 December 2023 (2022 - KShs 284,681,000) whose related liabilities have been accrued in the financial statements as appropriate for the supplies.

34. EVENTS AFTER THE REPORTING DATE

(a) Debt dispute resolution

As disclosed in Note 27 to the consolidated and separate financial statements, the group and company had breached their loan covenants with lenders. The breach had not been remedied as at the date of approval of these financial statements. As a result of the breach, the senior lender, Equity bank, initiated litigation action against Transcentury PLC and East African cables PLC

On 18th October 2024 a temporary injunction restraining the bank from exercising its rights under the debentures for a period of 120 days from the date of the ruling.



Appendix

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the Twenty Sixth (26th) Annual General Meeting of Trans-Century Plc (the “Company”) will be held via electronic means on Thursday 27th March 2025 at 11am EAT to conduct the following business:

AGENDA

A. ORDINARY BUSINESS

1. To receive, consider and adopt the Group’s audited financial statements for the year ended 31 December 2023 together with the Chairman’s, Directors’ and Auditor’s reports thereon.
2. To approve the Directors’ remuneration and the Directors’ Remuneration Report for the year ended 31st December 2023.
3. To note that the Directors do not recommend payment of a dividend for the year ended 31 December 2023.
4. To elect Directors:
 - 4.1 In accordance with the Company’s Articles of Association, Mr. Wale F. Adeosun retires by rotation and being eligible offers himself for re-election.
 - 4.2 In accordance with the Company’s Articles of Association, Mr. Shaka Kariuki retires by rotation and being eligible offers himself for re-election.
 - 4.3 Pursuant to paragraph 2.5.1 of the Code of Corporate Governance Practices for Issuers of securities to the Public 2015, to approve the continuation in office as a director, Mr. Wanjuki Muchemi who is above the age of seventy (70) years.
5. Pursuant to the provisions of Section 769 of the Companies Act 2015, Mr. Kamal Pallan and Mrs. Anne Mutahi being Members of the Board Audit, Risk & Compliance Committee be re-elected to continue to serve as Members of the said Committee.
6. To approve the re-appointment of Messrs. RSM Eastern Africa LLP Kenya as the auditor in accordance with the provisions of Section 721 (2) of the Companies’ Act, 2015 and to authorize the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724(1) of the Companies Act. 2015.
7. To transact any other business of which due notice has been given.

B. SPECIAL BUSINESS

8. To consider and if thought fit, to pass the following resolution as Ordinary Resolution;
In accordance with Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023, Thirteenth Schedule (r.53) Continuing Obligations Clause 8.21 the following company Policies be and are hereby approved for implementation;
 - (i) Remuneration Policy
 - (ii) Stakeholder Communication Policy
 - (iii) Dispute Resolution Policy

By Order of the Board
Company Secretary
P.O. Box 42334-00100
NAIROBI
Date: 4th March, 2025

NOTES

1. Shareholders wishing to participate in the meeting should register for the AGM online by dialling ***483*901#** on their mobile telephone and follow the various prompts on the registration process
2. Shareholders domiciled outside of Kenya or those wishing to participate through the online platform should send an email to Image Registrars via info@image.co.ke. II. Shareholders with email addresses will receive a registration link via email through which they can use to register III. The online registration will close 48 (forty eight) hours prior to the AGM.
3. To complete the registration process, shareholders will need to provide their National ID/Passport Numbers which were used to purchase their shares and/or their CDSC Account Number. For assistance shareholders should dial the following helpline number: (+254) 709 170 000 from 8:00 a.m. to 5:00 p.m. from Monday to Friday. Shareholders outside Kenya should dial the helpline number or send an email to info@image.co.ke for assistance during registration. Registration to open when the AGM notice is published and close 48 (forty eight) hours before the AGM.
4. The following documents may be viewed on the Company's website www.transcentury.co.ke (a) a copy of this Notice and the proxy form; (b) Audited financial statements for year ended 31 December 2023. (c) The proposed Company's Policies mentioned in agenda no. 8 above. The reports may also be accessed upon request by dialling the USSD code above and selecting the Reports option. The reports and agenda can also be accessed on the livestream link.
5. Any shareholder who is entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote on their behalf. Such proxy need not be a member of the Company.
6. A proxy form will be provided with the notice of the AGM. The proxy form can also be obtained from the Company's website www.transcentury.co.ke or from Image Registrars Limited, Absa Towers (formerly Barclays Plaza), 5th Floor, Loita Street, P. O. Box 9287 - 00100, Nairobi, Kenya. Shareholders who do not propose to be at the General Meeting are requested to complete and return the proxy form to Image Registrars Limited, or alternatively to the Registered Office of the Company so as to arrive not later than 48 (forty-eight) hours before the AGM. Duly signed proxy forms may also be emailed to info@image.co.ke in PDF format. A proxy form must be signed by the appointor or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under the hand of an officer or duly authorized attorney of such body corporate.
7. Shareholders wishing to raise any questions or clarifications regarding the AGM may do so by: a) sending their written questions by email to info@image.co.ke; b) shareholders who will have registered to participate in the meeting shall be able to ask questions via sms by dialing the USSD code above and selecting the option (ask Question) on the prompts c) to the extent possible, physically delivering their written questions with a return physical address or email address to Image Registrars offices at 5th floor, Absa Towers (formerly Barclays Plaza), Loita Street; or d) sending their written questions with a return physical address or email address by registered post to Image Registrars' address at P.O. Box 9287 - 00100 Nairobi.
8. Shareholders must provide their full details (full names, National ID/Passport Number/ CDSC Account Number) when submitting their questions or clarifications. The Company's directors will provide written responses to the questions received no later than 12 (twelve) hours before the start of the AGM. A full list of all questions received, and the answers thereto will be published on the Company's website not later than 12 (twelve) hours before the start of the AGM.
9. The AGM will be streamed live via a link which shall be provided to all shareholders who will have registered to participate in the AGM. Duly registered shareholders and proxies will receive a short message service (SMS/USSD) prompt on their registered mobile numbers or emails on their registered email addresses, 24 (twenty-four) hours prior to the AGM acting as a reminder of the AGM. A second SMS/USSD prompt shall be sent one hour ahead of the AGM, as a reminder that the AGM will begin in an hours' time and providing a link to the live stream.
10. Shareholders and proxies who have registered to attend the AGM may follow the proceedings using the live stream platform, access the agenda and vote (when prompted by the chairman) via the USSD prompts.
11. Results of the resolutions voted on will be published on the Company's website www.transcentury.co.ke within 24 (twenty-four) hours following conclusion of the AGM. Shareholders are encouraged to continuously monitor the Company's website for any updates relating to the AGM.



PROXY FORM

I/We _____ of _____ being a shareholder/shareholders of the above-named Company, hereby appoint _____ of _____ or failing him _____ of _____ as my/our proxy to attend and vote for me/us on my/our behalf at the Annual General Meeting (AGM) of the Company to be held on 27th March 2025 and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2025.

SIGNED: _____

SIGNED: _____

This Form is to be used in for or against any resolutions below. Please mark as appropriate. Unless otherwise instructed, the proxy shall vote as he thinks fit.

ORDINARY BUSINESS	FOR	AGAINST	WITHHELD
1. To receive and adopt, the Chairman's statement, reports of the Directors and Auditors and audited financial statements for year ended 31 December 2023;			
2. To approve the Directors' remuneration and the Directors' Remuneration Report for the year ended 31st December 2023;			
3. To note that the Directors do not recommend payment of a dividend for the year ended 31 December 2023;			
4. To elect Directors:			
4.1 In accordance with the Company's Articles of Association, Mr. Wale F. Adeosun retires by rotation and being eligible offers himself for re-election.			
4.2 In accordance with the Company's Articles of Association, Mr. Shaka Kariuki retires by rotation and being eligible offers himself for re-election.			
4.3 Pursuant to paragraph 2.5.1 of the Code of Corporate Governance Practices for Issuers of securities to the Public 2015, to approve the continuation in office as a director, Mr. Wanjuki Muchemi who is above the age of seventy (70) years.			
5. Pursuant to the provisions of Section 769 of the Companies Act 2015, Mr. Kamal Pallan and Mrs. Anne Mutahi being Members of the Board Audit, Risk & Compliance Committee be re-elected to continue to serve as Members of the said Committee.			
6. To approve the re-appointment of RSM Eastern Africa LLP Kenya as the auditors in accordance with section 721 (2) of the Companies' Act, 2015 and to authorize the Directors to fix their remuneration for the ensuing year in accordance with the provisions of Section 724(1) of the Companies Act. 2015.			
7. To transact any other business of which due notice has been given			
SPECIAL BUSINESS			
8. To consider and if thought fit, to pass the following resolution as Ordinary Resolution; In accordance with Capital Markets (Public Offers, Listings and Disclosures) Regulations, 2023, Thirteenth Schedule (r.53) Continuing Obligations Clause 8.21 the following company Policies be and are hereby approved for implementation; (i) Remuneration Policy (ii) Stakeholder Communication Policy (iii) Dispute Resolution Policy			



PROXY FORM

ELECTRONIC COMMUNICATIONS CONSENT FORM

Please complete in BLOCK CAPITALS

Full name of Proxy(i) _____

Address: _____

Mobile Number:

Date: _____

Signature: _____

Please tick ONE of the boxes below and return to Image Registrars Limited at P.O. Box 9287- 00100 Nairobi, 5th Floor, Absa Towers (formerly Barclays Plaza), Loita Street, Nairobi:			
Approval of Registration			
I/We approve to register to participate in the virtual AGM to be held on 28th June 2024.			
Consent for use of the Mobile Number provided			
I/We would give my/our consent for the use of the mobile number provided for purposes of voting at the virtual AGM.			

Notes:

1. If a member is unable to attend personally, this Proxy Form should be completed and returned (together with a power of attorney or other authority (if any) under which it is assigned or a notarized certified copy of such power or authority) to Image Registrars Limited, Barclays Plaza, 5th Floor, Loita Street and address P.O. Box 9287-00100 Nairobi, or through their email address TransCenturyAgm@image.co.ke to arrive not later than 11.00 a.m. on 26th June 2024 i.e. 48 hours before the meeting or any adjournment thereof.
2. In case of a member being a corporate body, the Proxy Form must be under its common seal or under the hand of an officer or duly authorized attorney of such corporate body.
3. As a shareholder you are entitled to appoint one or more proxies to exercise all or any of your shareholder rights to attend and to speak and vote on your behalf at the meeting. A proxy need not to be a shareholder of the Company.
4. Completion and submission of the Proxy Form will not prevent you from attending the meeting and voting at the meeting in person, in which case any votes cast by your proxy will be excluded.
5. A "vote withheld" option has been included on the Proxy Form. The legal effect of choosing this option on any resolution is that you will be treated as not having voted on the relevant resolution. The number of votes in respect of which votes are withheld will, however, be counted and recorded, but disregarded in calculating the number of votes for or against each resolution.



DEFINITION AND ACRONYMS

TC	- TransCentury PLC
GCEO	- Group Chief Executive Officer
EAC	- East African Cables
CMA	- Capital Markets Authority
NSE	- Nairobi Securities Exchange
KRA	- Kenya Revenue Authority
IIRC	- International Integrated Reporting Council
CSR	- Corporate Social and Governance
ESG	- Environmental Social and Governance
SDGs	- Sustainable Development Goals
SSA	- Sub-Saharan Africa
Kwh	- Kilowatts
OECD	- The Organization for Economic Cooperation and Development.
GDP	- Gross Domestic Product
PPPs	- Public Private Partnerships
ICT	- Information and Communication Technology.
USD	- United States Dollar
Ahidi +32%	- TransCentury PLC Strategy (2022-2025)





ABOUT THIS REPORT

This is a comprehensive report that combines financial and non-financial information that provides a holistic view of a company's performance, strategy, governance, and value creation. This report aims at giving stakeholders a broader understanding of the company's activities and how it creates value. The Report has been prepared for the period of 1st January 2023 to 31st December 2023.

REPORTING STANDARDS AND FRAMEWORK

The report has been prepared in compliance with global best practice and prudent accounting frameworks for existing and prospective investors. The report is aligned to Companies Act, 2015, Capital Markets Authority (CMA) guidelines and the Nairobi Securities Exchange (NSE). This Report is also in compliance with the International Integrated Reporting Council (IIRC) Guidelines.

STAKEHOLDERS

The year 2023 marks the fifth year since TC PLC adopted integrated reporting. The objective of this report is to provide a clear and meaningful understanding of the Group's purpose, strategy, business model, governance, risk management and how these factors lead to value creation. We welcome all related feedback which can be shared via email via investorrelations@transcentury.co.ke



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